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Pixels of crisis: A granular look at the risks of non-payment due to the conflict in the Middle East

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In Summary

- The Middle East conflict and the disruption of the Strait of Hormuz have led to a broad-based reassessment of non-payment risks, with country downgrades outweighing upgrades.** We downgraded the non-payment risk backdrop for five economies (Kuwait, Qatar, Serbia, the UK and the UAE) and upgraded only three (Azerbaijan, Costa Rica and Kazakhstan). Downgrades are due to either first-round effects such as higher input prices and rising supply shortages jeopardizing profitability or simply to growing domestic fragilities such as the UK's fiscal situation. Triple-deficit economies – energy, current account and fiscal – are set to bear the brunt of second-round effects, notably Ukraine, Jordan, Pakistan, Kenya and Ethiopia, followed by Ghana, Egypt, Sri Lanka, Türkiye and Morocco. In Asia, we are closely monitoring Indonesia, Thailand, Philippines and Taiwan. Third-round effects are also becoming more visible as FX reserve accumulation has decreased and tighter external financing conditions begin to feed into higher sovereign risk premia and rising debt-service costs, particularly in countries geographically close to the conflict and those where weaker external buffers and policy constraints amplify vulnerability (e.g. Türkiye's gross reserves are down -25%).
- Sector risk ratings, measuring non-payment risks by sector, have also deteriorated markedly, reversing the improving trend seen since mid-2025. The global transport sector and the energy sector in GCC countries in particular are caught in the crossfire. Europe's energy-intensive companies, already affected since the 2022 energy crisis, are set for even tighter margins.** With 21 sector rating downgrades versus just six upgrades – one of the sharpest negative balances since end-2022 – the impact is already visible. Gulf countries sit at the epicenter, accounting for more than half of our proprietary rating downgrades, particularly in energy and transport-related sectors. Bunker oil prices have surged by around +70%, pushing total operating costs up by +25% for sea carriers, while freight rates have increased only modestly (+16%), squeezing margins amid weak demand. Airlines face a different dynamic: although jet fuel prices have hit record highs, stronger pricing power has allowed fares to rise significantly (up to +70% on some long-haul routes). However, the sector is also grappling with major disruptions, including over 70,000 flight cancellations and the closure of key Middle Eastern hubs, with tourism losses for the region potentially reaching USD55bn and international arrivals dropping by around -30% y/y in 2026. Fragilities are also resurfacing in already weakened sectors, notably chemicals and metals in Europe, highlighting the broadening reach of the shock. In Europe, natural gas accounts for 40% of final energy consumption across industries, leaving the already downsizing chemicals, steel and cement sectors in the dark in 2026.
- Beyond these first-round effects, the risk of broader and more persistent second-round impacts is rising.** The Middle East's central role in supplying critical inputs such as LNG, fertilizers, aluminum, helium and sulfur is also pushing up costs across global value chains, from agrifood to manufacturing, healthcare and technology. Emerging markets remain particularly vulnerable, followed by Europe, where energy-intensive sectors now face further capacity reductions, while consumer confidence and pricing power show early signs of strain. If the shock persists, tighter financial conditions, weaker demand

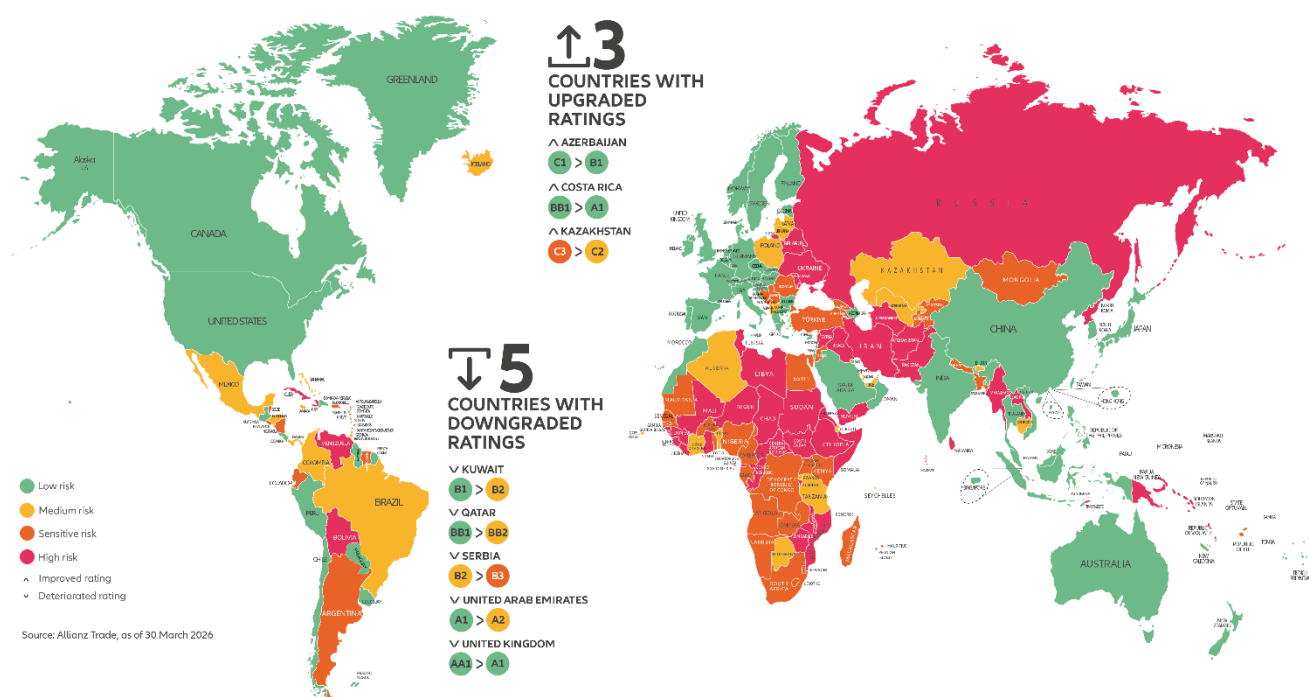
and rising input costs could trigger a more systemic downturn, echoing – or potentially accelerating – the dynamics seen during the 2022 energy crisis.

Brinkmanship trap drives country-risk repricing

The escalation of the Middle East conflict and the resulting disruption in the Strait of Hormuz have triggered a broad-based reassessment of country and sector risk ratings, reflected in five country risk and 21 sector risk downgrades and only three country risk and six sector risk upgrades across our review. The immediate macroeconomic impact has been transmitted through three key channels: weaker global growth, elevated and more volatile energy prices and heightened trade and financial disruption. For energy importers, higher oil prices are feeding into inflation, eroding real incomes and weighing on consumption, while exporters face uncertainty linked to disrupted shipping routes and volatile revenues. In parallel, country-specific dynamics – most notably in the UK – continue to play a critical role. The UK's downgrade reflects persistent fiscal and external imbalances, with public debt on an upward trajectory and a wide fiscal deficit expected to persist amid limited policy adjustment. This combination of global shocks and domestic fragilities underscores a more challenging and uncertain macroeconomic environment overall.

At the country level, the downgrades are concentrated among economies directly exposed to the Strait of Hormuz shock or facing compounding domestic vulnerabilities. Kuwait, Qatar and the UAE have all seen their short-term risk profiles deteriorate as the blockade constrains trade and hydrocarbon exports, despite large sovereign buffers mitigating immediate financing risks; in all three cases, the crisis raises structural questions about diversification models reliant on services, tourism and expatriate-driven demand. Serbia's downgrade reflects a different but reinforcing set of pressures, including weaker growth, rising energy costs, sanctions-related disruptions and intensifying political instability. The UK's downgrade is rooted in structural fiscal weaknesses rather than the conflict per se, though the external environment adds pressure. On the upgrade side, Kazakhstan and Azerbaijan benefit from stronger hydrocarbon demand, improved geopolitical positioning and, in Azerbaijan's case, reduced political risk following regional normalization. Costa Rica stands apart as an example of the relative insulation of Latin America from last month's crisis, with solid growth, low inflation, improved external balances and political continuity supporting an upgrade in its medium-term risk profile.

Figure 1: Country risk map, end of March 2026



Source: Allianz Research, based on the [Country Risk Methodology](#) and the [Q1 2026 Country Risk Ratings](#)

Looking ahead, the risk of further country-risk downgrades remains tilted to the downside in a scenario where the conflict is prolonged or escalates. A more severe scenario – such as a sustained closure of the Strait of Hormuz, a widening of the conflict and greater geopolitical uncertainty – could amplify global supply disruptions and even intersect with geoeconomic flashpoints elsewhere, including Canada and Taiwan, with significant implications for supply-chain reconfiguration, production systems and trade flows. In the Gulf, Oman and Saudi Arabia face mounting challenges from trade disruptions, rerouting costs and increased revenue volatility, which could undermine fiscal and external stability despite higher oil prices. Kuwait, Qatar and the UAE also remain on watch. Secondary effects are visible in Cyprus and Thailand, which face tourism slowdowns and weaker domestic demand as higher energy costs and security concerns weigh on activity. The Philippines and Indonesia are also particularly exposed to imported inflation and subsidy pressures, with risks of energy shortages, demand compression and overall stagnation. Among high-income economies, Canada could face downside risks despite benefiting from higher oil prices. While stronger energy revenues provide some support, this is offset by deteriorating public debt dynamics and weakening potential growth. At the same time, a more protectionist US stance ahead of the USMCA/CUSMA review threatens around 80% of Canadian exports, weighing on the medium-term outlook.

More broadly, second-round effects are likely to materialize most severely in economies facing a triple vulnerability: high dependence on hydrocarbon imports – particularly those sourced from or transiting through the Gulf – compounded by a current account deficit and a large fiscal deficit. This triple exposure, which subsumes the classical twin deficit framework, is further amplified in countries carrying elevated external debt burdens and significant debt-service obligations falling due in 2026. While some economies enter this shock in a stronger position than at the onset of the Ukraine war, pockets of acute vulnerability remain. A first tier of most-exposed economies includes Ukraine, Jordan, Pakistan, Kenya and Ethiopia, where weakened external positions leave limited buffer to absorb both the energy price pass-through and the tightening of global financial conditions simultaneously. A second tier – Ghana, Egypt, Sri Lanka and Türkiye – faces a different but equally acute stress profile. While direct supply disruption through Hormuz is less of a concern for these economies, an energy-price surge alone is sufficient to destabilize their already fragile fiscal and external balances. Egypt is a particular case in point: the simultaneous loss of Suez Canal revenues, tourism receipts and remittances from the Gulf constitutes a current account shock of the first order, compressing the very external financing channels that have historically offset its twin deficit. A third tier of hydrocarbon-dependent but somewhat more insulated economies – including the Philippines and Morocco – face meaningful import cost pressures given their high exposure to energy imports, but are less directly affected by supply constraints, given their more limited reliance on Hormuz-transiting cargoes. Finally, most Latin American economies remain comparatively less exposed, with the noticeable exception of Chile, benefiting from greater energy self-sufficiency, geographic distance from the conflict zone and, in several cases, commodity export windfalls that partially offset higher import costs.

Table 1: EMs most exposed to the Middle East crisis

Country	Exposure to the Middle East crisis						Market reaction since Feb 27		Coping mechanisms					
	Energy balance (% of GDP)	Strategic oil reserves (days of consumption)	Oil dependency (% primary energy)	Gas dependency (% primary energy)	Vulnerability to energy price shock	Vulnerability to ME supply shock	FX (% change vs USD)	Bond yields (bps)	Fiscal balance (% of GDP)	Current Account (% of GDP)	FX reserves (months of imports)	FX outlook	Central Bank stance (by mid-2026)	Risk of fiscal slippage throughout 2026
Argentina	0.6	NA	-8%	0%	Medium	Low	1.3	N/A	-1.5	-0.4	3.8	Neutral	On hold	Low
Bangladesh	-3.5	49	0%	N/A	High	High	-0.5	36.0	-3.9	-0.9	4.9	Negative	On hold	High
Brazil	0.9	NA	-16%	2%	Low	Low	-2.3	60.0	-7.5	-2.3	12.1	Positive	Cautious easing	Medium
Chile	-4.4	25	46%	9%	High	Medium	-4.6	42.0	-0.6	-2.2	6.7	Negative	On hold	Low
China	-2.4	100	12%	3%	Medium	Medium	-0.7	42.0	-5.0	2.8	12.3	Neutral	On hold	Medium
Colombia	3.9	NA	-34%	4%	Low	Low	1.0	38.0	-5.7	-2.6	9.6	Negative	Hike	Medium
Czechia	-2.4	117	28%	12%	High	Medium	-2.9	46.0	-2.1	0.4	9.3	Negative	On hold	Medium
Egypt	0.0	NA	8%	9%	Medium	High	-5.0	51.0	-10.7	-4.3	4.3	Negative	On hold	High
Ethiopia	-4.0	NA	0%	N/A	High	High	-0.6	N/A	-1.7	-2.6	3.7	Negative	On hold	Medium
Hungary	-3.6	215	15%	20%	High	Medium	-5.1	106.0	-5.1	0.9	3.7	Negative	On hold	High
India	-3.7	30	13%	4%	High	Medium	-3.3	18.0	-1.8	-1.4	9.1	Neutral	On hold	Medium
Indonesia	1.1	20	15%	-3%	Low	Medium	-1.3	44.0	-2.7	-1.2	7.1	Negative	On hold	High
Jordan	-8.0	45	#N/A	#N/A	High	High	0.1	-44.0	-3.5	-5.5	7.7	Negative	On hold	Medium
Kenya	-4.5	NA	16%	2%	High	High	-0.5	10.0	-5.6	-3.4	5.7	Negative	On hold	High
Malaysia	-0.4	NA	13%	-19%	Medium	Medium	-1.3	7.0	-3.6	1.8	5.3	Negative	On hold	High
Mexico	0.7	NA	2%	6%	Low	Low	-3.6	72.0	-4.1	-0.3	4.3	Neutral	On hold	Medium
Morocco	-5.0	30	50%	15%	High	Medium	-2.1	29.0	-4.5	-1.5	7.4	Neutral	On hold	Medium
Nigeria	12.2	NA	-48%	-17%	Low	Low	-1.2	62.0	-3.7	3.6	12.0	Neutral	On hold	Medium
Pakistan	0.0	28	20%	7%	High	High	0.1	84.0	-4.1	-0.4	11.6	Negative	On hold	High
Peru	-0.5	NA	34%	-6%	High	Low	-3.1	44.0	-2.2	1.2	14.8	Negative	On hold	Low
Philippines	-4.2	60	36%	5%	High	Medium	-4.6	106.0	-0.3	-3.5	8.2	Negative	On hold	Medium
Poland	-2.1	121	35%	2%	High	Medium	-3.0	76.0	-6.3	-0.8	5.7	Negative	On hold	High
Romania	-1.7	92	28%	0%	High	Medium	-1.9	105.0	-6.2	-8.6	6.0	Neutral	On hold	High
South Africa	-2.3	NA	19%	1%	Medium	Low	-5.8	92.0	-5.6	-1.2	5.6	Neutral	On hold	Low
Sri Lanka	-4.5	35	47%	4%	Medium	High	-1.2	14.0	-6.5	0.5	4.5	Negative	On hold	High
Taiwan	-5.1	80	28%	19%	Medium	High	-6.1	4.0	-0.2	13.1	15.9	Negative	On hold	Medium
Thailand	-7.8	60	35%	11%	High	High	-2.5	55.0	-2.5	1.3	8.9	Negative	On hold	Medium
Tunisia	-4.0	60	21%	22%	High	High	-1.6	N/A	-6.0	-2.0	4.9	Negative	On hold	High
Türkiye	-3.6	94	7%	2%	High	Medium	-0.8	375	-0.7	-1.3	2.7	Neutral	Hike	Medium
Vietnam	-2.5	15	20%	2%	Medium	High	-1.1	8	-2.3	2.4	2.3	Negative	On hold	Medium

Source: various, Allianz Research

While emerging markets' FX reserves are 20% higher than they were a year ago, third-round effects are becoming more visible as FX volatility and capital outflows have started adding pressures to central banks.

FX reserve depletion and tighter external financing conditions in countries geographically closer to the conflict are starting to feed into higher sovereign risk premia and rising debt-service costs, particularly among countries where weaker external buffers and policy constraints amplify vulnerability to a prolonged shock. For example, Türkiye's external buffers have deteriorated markedly since late February, with gross reserves declining by over -25% amid broad-based pressure across both FX and gold holdings. In parallel, Egypt's reserves declined by -3% in the month since the start of the conflict, though it still holds 35% higher reserves than a year ago. In the GCC region, Bahrain has been the sovereign most impacted by yield deterioration as the conflict arrives at an already delicate moment when it faces a large twin deficit.

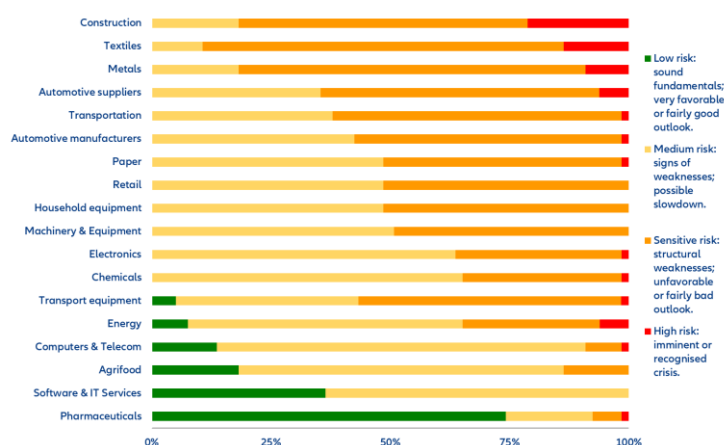
Meanwhile, sector risk ratings have deteriorated in net terms for the first time since Q2 2025. With only six upgrades (compared to 12 in Q4 2025) and 21 downgrades (5 in Q4 2025), this represents one of the largest quarterly numbers of downgrades since the end of 2022 (see Table 2). Downgrades occurred mainly in GCC countries (12 cases) where the immediate impact of the war, in terms of risk ratings, is spread across the energy (6), transportation (3) and transport equipment sectors (3). The energy sector moved from low to medium risk in the UAE, Saudi Arabia, Qatar and Oman, and from medium to sensitive in Kuwait and Bahrain. Downgrades in the transport-related sectors were all from medium to sensitive. Elsewhere, chemicals and metals both stand out, the former with a batch of downgrades to sensitive risk in Western Europe (Denmark, Finland, France, Norway), and the latter with Czechia and Türkiye entering the highest level of risk. In Canada, smaller producers and regional mills in the paper sector are facing heightened risks due to cost inflation, workforce shortages and raw-material constraints. At the same time, the better risk outlook remained limited (six cases) and all from sensitive to medium level of risk. This includes construction in Switzerland, household equipment in Czech Republic and Denmark, machinery equipment in Denmark, retail in Czech Republic and transportation in Uruguay. A prolonged or escalating conflict could lead to further sector risk downgrades due to the various channels of transmission of the direct impact of higher oil prices and supply-chain disruptions, and the multiple second-round effects through inflation, rates and confidence that would lead to more broad-based and persisting impacts.

Table 2: Q1 2026 changes (downgrades and upgrades) in sector risk ratings

WORSE RISK RATINGS (DOWNGRADES)				BETTER RISK RATINGS (UPGRADES)			
Sector	Country	Q4 2025 rating	Q1 2026 rating	Sector	Country	Q4 2025 rating	Q1 2026 rating
Chemicals	Denmark	2 (medium)	3 (sensitive)	Construction	Switzerland	3 (sensitive)	2 (medium)
Chemicals	Finland	2 (medium)	3 (sensitive)	Household equipment	Czech Republic	3 (sensitive)	2 (medium)
Chemicals	France	2 (medium)	3 (sensitive)	Household equipment	Denmark	3 (sensitive)	2 (medium)
Chemicals	Norway	2 (medium)	3 (sensitive)	Machinery equipment	Denmark	3 (sensitive)	2 (medium)
Construction	Uruguay	2 (medium)	3 (sensitive)	Retail	Czech Republic	3 (sensitive)	2 (medium)
Electronics	Slovakia	2 (medium)	3 (sensitive)	Transportation	Uruguay	3 (sensitive)	2 (medium)
Energy	Bahrain	2 (medium)	3 (sensitive)				
Energy	Kuwait	2 (medium)	3 (sensitive)				
Energy	Oman	1 (low)	2 (medium)				
Energy	Qatar	1 (low)	2 (medium)				
Energy	Saudi Arabia	1 (low)	2 (medium)				
Energy	UAE	1 (low)	2 (medium)				
Metals	Czech Republic	3 (sensitive)	4 (high)				
Metals	Turkey	3 (sensitive)	4 (high)				
Paper	Canada	2 (medium)	3 (sensitive)				
Transport equipment	Bahrain	2 (medium)	3 (sensitive)				
Transport equipment	Oman	2 (medium)	3 (sensitive)				
Transport equipment	UAE	2 (medium)	3 (sensitive)				
Transportation	Bahrain	2 (medium)	3 (sensitive)				
Transportation	Qatar	2 (medium)	3 (sensitive)				
Transportation	UAE	2 (medium)	3 (sensitive)				

Source: Allianz Research, based on the [Sector Risk Methodology](#) and the [Q1 2026 Sector Risk Map](#)

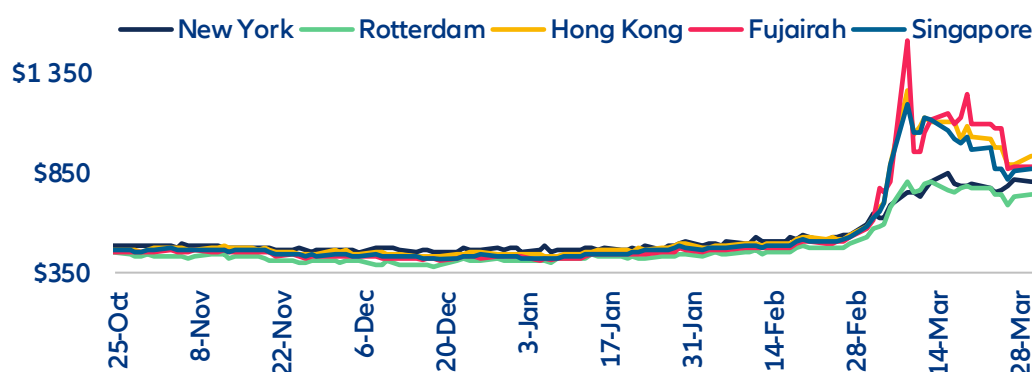
Figure 2: Sector risk ratings as of end March 2026, in number of countries, by level of risk



Source: Allianz Research, based on the [Sector Risk Methodology](#) and the [Q1 2026 Sector Risk Map](#)

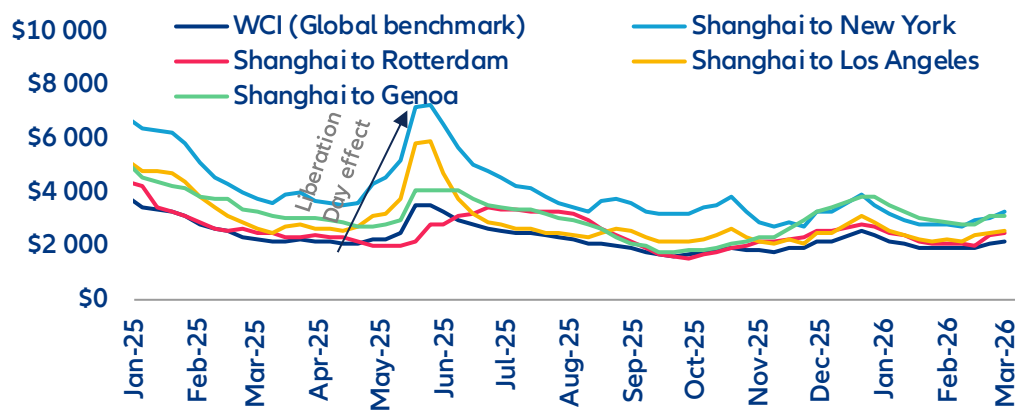
Global transportation and GCC energy sectors are caught in the crossfire. Firstly, the ongoing conflict exposes an unusual downside for GCC energy sectors: for once higher oil prices are not translating into higher revenues. With the Strait of Hormuz effectively closed, large volumes of oil and LNG are stranded or shut in, sharply reducing export throughput despite elevated prices on global markets. Furthermore, beyond delayed and/or lost revenues as shipments cannot clear and contracts are disrupted, widespread damage to energy infrastructure - already estimated in the tens of billions of dollars - will require sustained maintenance. Rebuild capex, will further erode cash flow and delay any normalization of production capacity and thus of revenues. For shipping, fuel typically accounts for approximately 35% of operating costs in maritime transport under normal conditions. Since the closure of the Strait of Hormuz, bunker fuel prices have surged considerably (+70%), with spot prices even temporarily tripling in early March (see Figure 3). As a result, the entire marine fleet – from containerships to cruise operators – is experiencing a sharp and immediate increase in cost pressures. Moreover, the ability to pass these costs through to customers remains somewhat constrained. In 2026, weak demand relative to available liner capacity has significantly eroded pricing power, effectively capping freight-rate upside. Consistent with this dynamic, containership freight rates have increased by only +16% since the end of February (see Figure 4), a modest adjustment that stands in stark contrast to the pronounced rate spikes observed in prior stressful episodes, such as after “Liberation Day”. Therefore, should the strait remain closed for an extended period, the financial impact on the shipping sector is likely to be quite severe (total operating costs have jumped by +25% for a month already), especially for companies whose fleet is 100% containerships, as the dynamics for other type of vessels, such as oil tankers, differ materially.

Figure 3: Marine fuel oil prices* (USD/MT) at different seaports



Sources: Allianz Research. Note: Prices are for very low-sulfur fuel oil (VLSFO), the most widely used bunker fuel (and IMO-compliant) in the shipping industry today

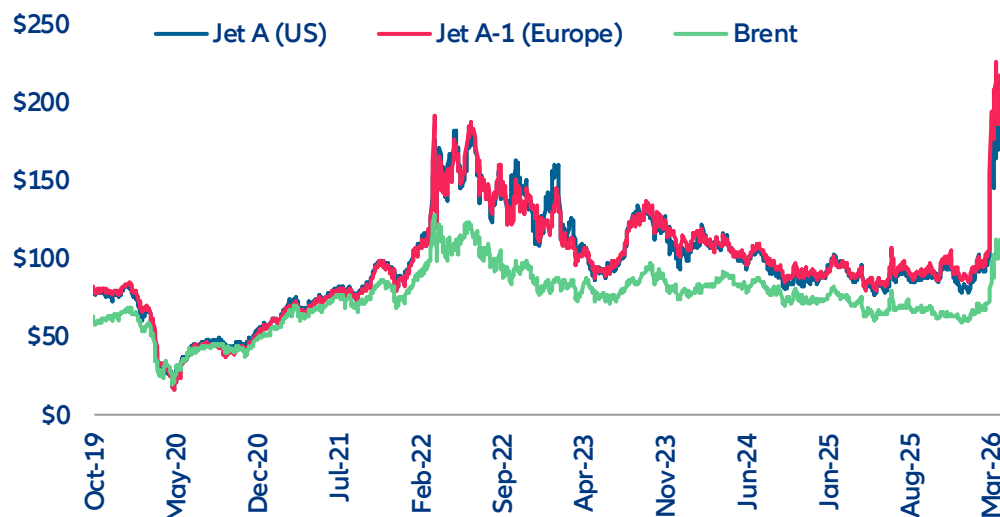
Figure 4: Containerships freight rates (USD/FEU)



Sources: Bloomberg, Allianz Research

While airlines also face soaring fuel costs, they do have pricing power. 40% of the world's jet fuel passes through Hormuz and accordingly prices have reached an all-time historic high (see Figure 5), with the crack surpassing USD100/bbl for the first time and prices in Europe particularly surpassing those in the US. However, unlike the shipping sector, the aviation sector's capacity is expanding only gradually, largely due to the production challenges faced by major aircraft manufacturers in recent years, giving the sector room to increase airfares as travel demand has remained robust since borders reopened after the pandemic. While demand is generally more price-sensitive for leisure travel (particularly in Europe, where low-cost carriers and rail alternatives intensify competition) it remains inelastic for business routes, which is precisely the segment that has historically been a key driver of airline margins. These dynamics help explain the unusually sharp increases in airfares already observed on certain long-haul routes (+70% y/y for this summer), particularly for connections between Asia and Europe.

Figure 5: Jet fuel prices (USD per barrel)



Sources: Bloomberg, Allianz Research

Airlines also have to deal with revenue losses in the Middle East (over 70,000 cancelled flights) and with significant logistical constraints. The Middle East region serves as a critical hub in global aviation networks. Since the closure of the airspace for normal commercial flights, major aviation hubs such as DXB, AUH, and DOH were forced to suspend civil operations, disrupting connections between Europe and Asia and forcing airlines to identify alternative intermediate hubs, with such adjustments being operationally complex. Beyond losing revenues from its strategic hub-role, the region will also feel the pinch on its tourism sector just as it was emerging as one of the fastest-growing tourism regions globally after the pandemic, led by cities like Dubai, Abu Dhabi, Riyadh and Doha. With one month of conflict already elapsed, and assuming an additional month of closed airspace, we can expect the number of international visitors to decline by ~30% y/y this year, which implies an estimated loss of USD55bn in

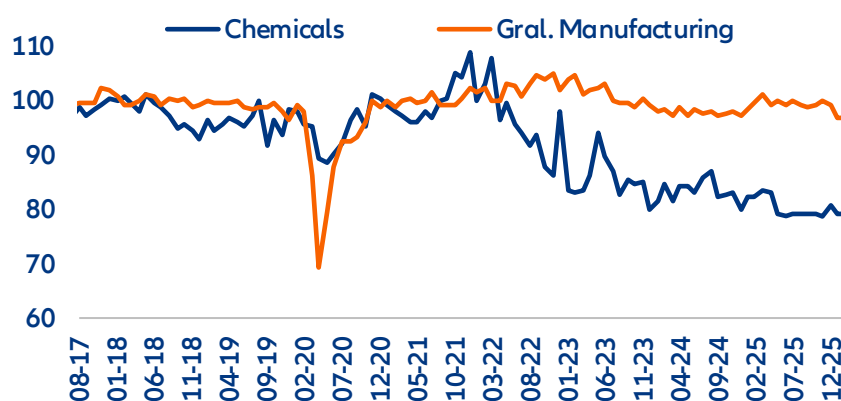
tourism receipts. It should be noted that potential losses could extend even further as tourism will not rebound overnight – even if a ceasefire is reached – because restoring traveler confidence takes time.

Zooming in on Europe, and going beyond transportation, energy-intensive sectors are the most immediately exposed in the region, with chemicals, steel and cement feeling the impact of developments in the Middle East most acutely (see Table 3). As we have written previously¹, the conflict in Iran underscores Europe's persistent energy vulnerability, with natural gas representing approximately 40% of final energy consumption across industries. The situation for the chemicals sector is particularly concerning as the closure of the Strait of Hormuz is exacerbating an energy crisis that has been hitting the industry since 2022. As shown in Figure 6, chemical production levels in the region remain way lower than before the start of the war in Ukraine, with petrochemicals recording the sharpest drop (-10.2% y/y in 2025). This deteriorating trend is unlikely to recover anytime soon, given the combination of persistent weak demand, uncompetitive natural gas prices and the added pressure from the Middle East (a critical upstream supplier of petrochemical feedstocks) not providing relief. Indeed, energy is the largest single operating cost for petrochemicals and basic inorganics (e.g. fertilizers), accounting for approximately 35% and 50%, respectively, while at the same time these two segments together represent around 40% of the region's chemical sales.

Table 3: Impact on sectors – first-round effects

Sectors	Europe	Asia	Upside/Downside catalysts
First round effect			
Base metals	↓↓	↓↓	Large margin compression (rising energy costs)
Basic chemical - Fertilizer	↓↓	↓↓	/
Airlines	↓↓	↓↓	Large margin compression if unhedged (rising jet fuel costs)
Building materials – Cement	↓↓	↓↓	
Food	↓	↓	Moderate margin compression (rising energy costs)
Glass	↓	↓	/
Paper	↓	↓	/
Plastic	↓	↓	/
Textile	↓	↓	/
Shipping	↓	↓	Moderate margin compression (rising energy costs and low pricing power)
Utilities – Electricity provider	↑↑	↑↑	Moderate margin improvement (pricing effects on electricity)
Oil & Gas - Refinery & Distrib.	↑↑	↑↑	Large margin improvement (pricing effects on oil)

Figure 6: EU's production index, chemicals vs general manufacturing

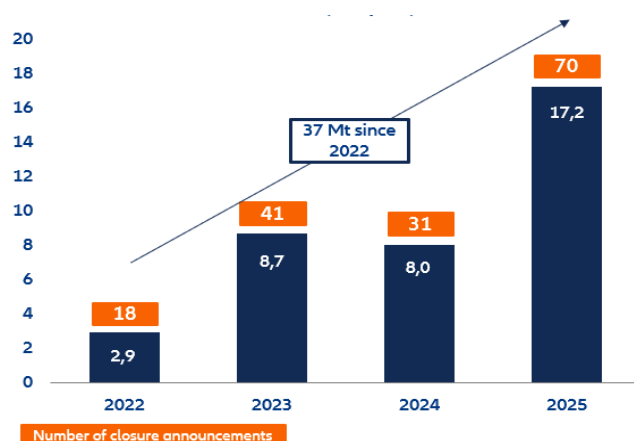


Sources: Eurostat, Allianz Research

To cope with energy-related challenges, companies in Europe have been downsizing their capacity through plant closures. Prior to 2022, Europe produced an average of around 415 megatons of chemicals per year. Since 2022, 37 Mt (or roughly 9% of production capacity) has been slated for closure, with the largest closures, both in terms of size and number of announcements, occurring last year (Figure 7). Petrochemicals is again the segment suffering the most, accounting for 48% of the sector's plant closures. By geography, Germany and the Netherlands stand out as the two countries most affected by the loss of competitiveness, accounting for nearly half (44%) of the region's production shutdowns.

¹ [The second energy shock – Allianz Research](#)

Figure 7: European chemical production capacity announced for closure (in Mt p.a.)



Sources: CEFIC, Allianz Research

Second-round effects: more broad-based and persisting impacts

A more broad-based commodity story. Rising tensions in the Middle East extend well beyond oil and gas price volatility, with potentially broader implications for global supply chains and production costs. The region is not only a critical energy supplier but also a dominant provider of several strategic commodities: it accounts for a material share of global LNG exports (around 20% from Qatar), is a leading supplier of aluminum (notably via Bahrain and the UAE) and plays a key role in fertilizer inputs such as ammonia, urea and sulfur, as well as the helium market (with Qatar alone representing roughly a third of global supply). These inputs are deeply embedded across industrial value chains – from semiconductors and data centers to agrifood and construction. With markets increasingly pricing in the risk of supply disruption – particularly in the event of a prolonged shutdown of the Strait of Hormuz – a risk premium is being incorporated across a broad set of commodities. This dynamic is likely to raise input costs across multiple industries, especially for corporates exposed to Middle Eastern supply and lacking hedging strategies, amplifying the risk of second-round effects on global inflation and growth if the conflict persists.

Table 4: List of commodities highly exposed to supply-disruption risks.

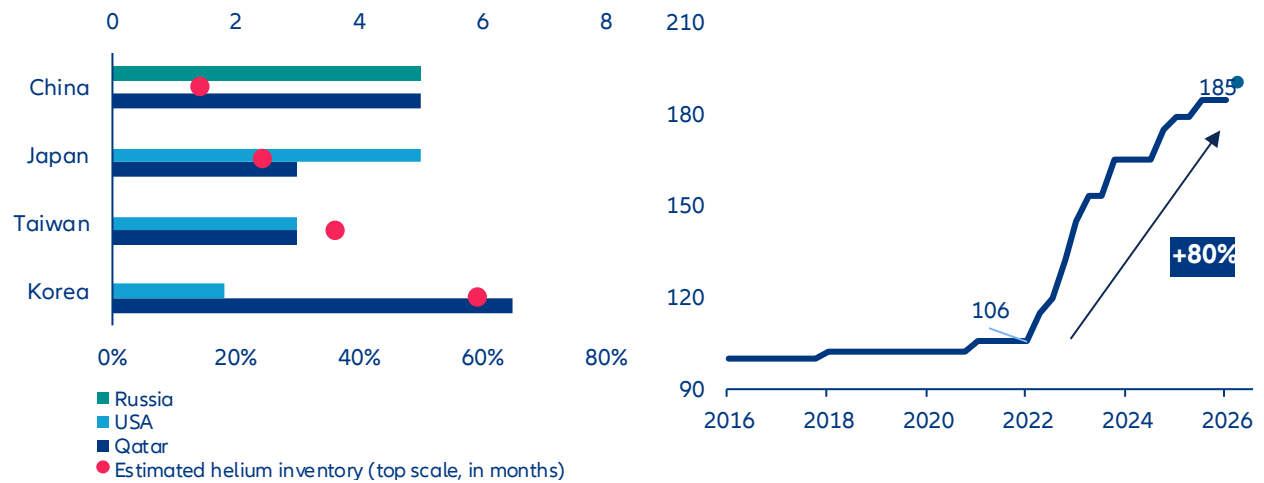
Commodity	Industry impacted
Aluminum	Auto, Aerospace, Construction, Packaging
Ammonia	Fertilizer, Chemicals, Agrifood
Helium	Semiconductors, Pharmaceuticals, Chemicals / Automotive, Data centers, Technology hardware & Telecom (by extension)
LNG gas	Oil & Gas refiners, all manufacturing firms (via electricity prices)
Phosphate, Urea	Fertilizer, Agrifood (by extension)
Polypropylene	Automotive, Packaging, Medical equipment, Food distributor (by extension)
Sulfur	Fertilizer, Metal mining

Source: Allianz Research

Helium shortages are a contained risk for the semiconductor industry – for now. The semiconductor industry is exposed to renewed Middle East tensions through the helium supply chain, with Qatar supplying 66% of South Korea's imports, 50% of China's and 30% of Taiwan's (the three largest global foundry hubs). A disruption in the Strait of Hormuz would threaten access to this critical gas, essential for wafer production, particularly in cooling (high thermal conductivity, very low boiling point) and lithography processes used in advanced AI chips. That said, near-term risks remain contained. Industry disclosures suggest helium inventories of ~6 months in South Korea and slightly above one quarter in Taiwan, limiting disruption risks before summer. Since the 2022 shortage, both countries have strengthened resilience via process optimization, long-term supply contracts and supplier diversification. In addition, excess US helium inventories could provide a buffer if disruptions extend beyond Q2. Given the strategic importance of semiconductors, supply allocation would likely prioritize this sector over

pharmaceuticals or chemicals. Paradoxically, the situation may support pricing. Strong demand from AI and data centers, combined with capacity constraints, gives semiconductor firms scope to pass through a “geopolitical premium”, supporting revenues. However, medium-term risks are building: industrial electricity prices in South Korea are already ~80% above 2022 levels, and further increases in H2 remain possible (Q2 guidance unchanged so far). Rising input costs could slow AI infrastructure expansion and force allocation trade-offs, prioritizing AI over consumer electronics and automotive, which may face shortages, lower-performance components or reduced output.

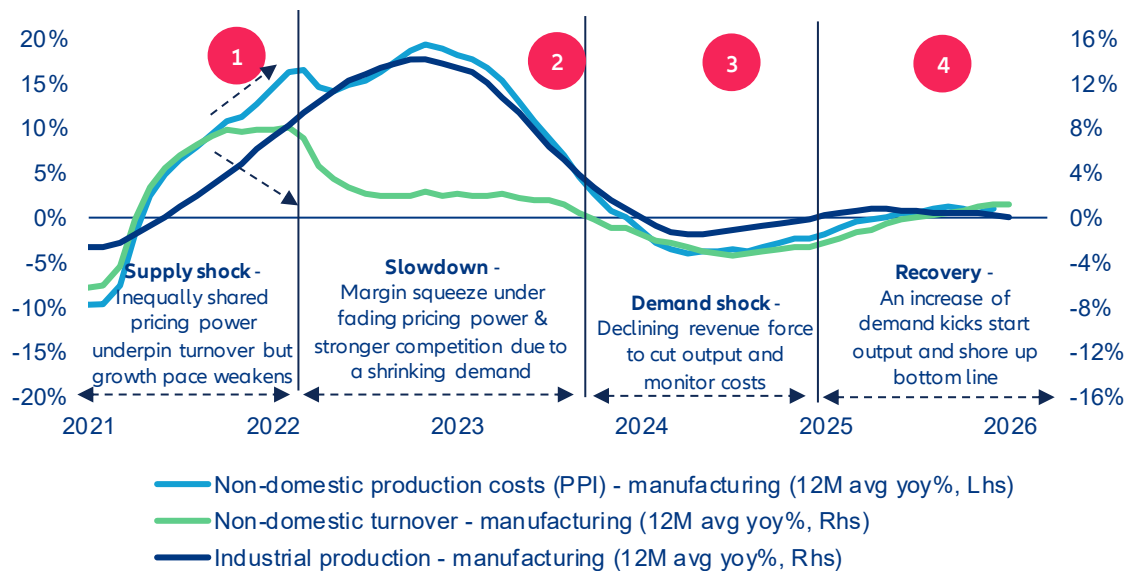
Figures 8 & 9: Top importers of helium for main Asian semiconductor foundry hubs & estimated current inventory capacity / Historical evolution of industrial electricity price in South Korea (in KRW per W)



Storage capacity based on public statement made by top foundries and/or regional association.

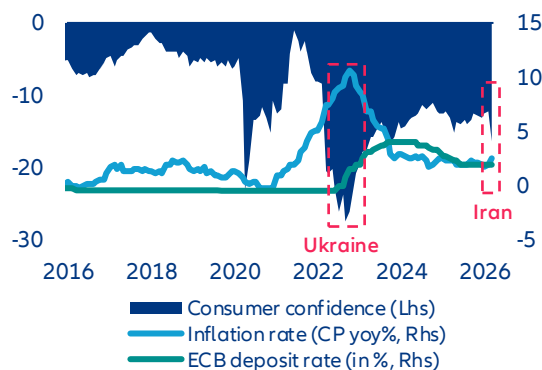
Source: Kepco, Allianz Research

Figure 10: Industrial output, production costs & turnover of Eurozone manufacturing industry (year on year change of price index based on a 12-month average)



Sources: Eurostat, Allianz Research

Figure 11 & Table 5: Consumer confidence, inflation & policy rates in Eurozone /
List of macro drivers potentially impacted by Middle East tensions



Drivers	Impacts
Productions costs (↑)	↑/↓ Margin (depending on pricing power strength)
Consumer confidence (↓)	↓ Demand
Interest rates (↑)	↓ Demand + ↓ Investment (higher lending costs)
Fiscal tightening / loosening	↓ Margin (windfall tax) / → Margin (tax freeze / postponement)
Regulatory constraints (↑)	↓ Demand (black-out measures) + ↓ Margin (pricing freeze)

Source: ECB, DG ECFIN, Eurostat, Allianz Research

Watch out for second-round effects. We see a growing need to closely monitor early signals of a macro regime shift as a renewed supply shock could again evolve into a demand shock – echoing the 2022 pattern, albeit in a more globalized and structurally constrained context. The 2022 energy shock provides a useful blueprint for assessing the potential macro and micro impacts of a prolonged Middle East conflict, highlighting two distinct transmission channels at the micro level: first-round effects driven by energy price spikes and second-round effects linked to tightening financial conditions and weakening demand. Unlike 2022, the shock is unfolding amid ongoing tensions around grid capacity and efficiency, particularly as AI-driven infrastructure expansion accelerates energy demand. At the same time, consumer price sensitivity remains elevated, suggesting corporates may struggle to pass through costs and protect margins to the same extent as during the post-Covid rebound. The recent drop of consumer confidence in Europe in March to its lowest level since Q4 2023 (-4pts at -16) is a gentle reminder that energy price volatility and inflation risks remain a hot topic for households and their purchasing power, even more when economic growth is moving sideways.

2026 is not 2022. Households remain highly price sensitive today, with lingering scars from the last inflation shock. The previous episode followed a clear sequence: an initial phase where higher commodity prices did not immediately hurt all sectors as many – energy, tech hardware, automotive, retail and consumer services – successfully passed through costs to protect margins amid strong post-Covid demand; a second phase where pricing power eroded as inflation weighed on confidence, forcing price cuts and margin compression; a third phase (2023–2024) marked by demand destruction driven by higher interest rates and declining purchasing power and finally a gradual recovery supported by easing financial conditions and improving sentiment. The Eurozone is only in the early stages of a fragile recovery, suggesting a faster and more pronounced demand reaction to renewed price pressures, increasing downside risks for corporates. That said, some sectors – particularly semiconductors – are better prepared, having implemented hedging strategies such as supplier diversification, long-term contracts, process optimization and strategic inventories, which should provide partial buffers against renewed supply-side disruptions.

A quick look in the past and corporate earnings in Europe following the war in Ukraine gives us some guidance about the likely impacts generated by a severe and long-lasting energy-led inflation spiral, and confirms as well the greater magnitude of casualties caused by second-round effects on corporates, notably rising rates.

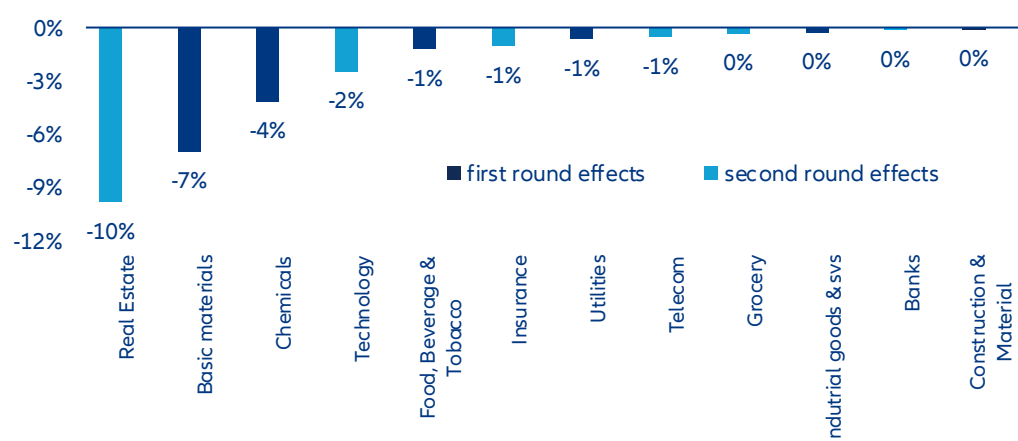
Measuring peak net margin drawdowns from Q4 2021 to the 2022–2023 period, the European market saw an average compression of ~40bps, masking much sharper sectoral divergences. Energy-intensive industries were hit first: basic materials (-700bps) and chemicals (-400bps) experienced severe margin erosion due to surging input costs, while food, beverage & tobacco (>-100bps) proved more resilient thanks to still-solid demand. In contrast, the most acute impact came from second-round effects, with real estate (-1,000bps) heavily penalized by rising interest rates and collapsing transaction volumes. Technology (-200bps) also faced pressure, reflecting its cyclical exposure to capex and discretionary spending cuts during downturns. Looking ahead, this pattern remains relevant: sectors exposed to financing conditions, such as real estate and tech, are likely to be most vulnerable, while utilities and

insurers face increasing regulatory and risk-pricing challenges. More cyclically exposed segments like retail and automotive – already weakened by structural pressures – could face amplified downside risks in an environment of sluggish demand in Europe.

Beyond demand risks, a potential renewed monetary tightening cycle would weigh on investment, delaying digitalization and/or expansion projects. This is particularly critical for AI: higher borrowing costs and rising electricity prices could directly pressure data-center expansion pipelines, while reinforcing investor concerns around capex monetization. This dynamic could cap tech sector valuations – especially in the US – and limit capital-market gains that have so far supported the AI investment cycle. Paradoxically, higher financing costs may still accelerate AI diffusion at the enterprise level as firms seek productivity gains to offset weaker volumes. However, capped IT budgets under macro deterioration would moderate new demand for computer and telecom equipment in Europe and America. In parallel, we are monitoring fiscal responses and tax adjustments – from windfall taxes on energy players to supportive measures such as tax deferrals – as well as potential regulatory interventions (e.g., energy rationing, mobility restrictions) already observed in some emerging markets. Together, these factors will be critical in assessing whether current tensions trigger broader second-round effects across the global economy.

We see greater downside risk for Asian consumer electronics and technology components/equipment than in other regions, as the continent is more directly exposed to Middle East-driven energy supply constraints and resulting power price volatility. While the current AI-driven capex cycle remains intact, a persistently higher cost and energy price environment could slow the pace of data-center expansion. At the same time, it is likely to intensify political and industrial efforts to reduce reliance on Asia within the semiconductor supply chain, while accelerating the shift toward less energy-intensive technologies. These dynamics – already structural – could gain further momentum as geopolitical tensions persist, creating additional headwinds for the region's tech ecosystem.

Figure 12: Maximum net margin drawdown recorded by European industries over the period 2022-2023 (based on 12-month trailing weighted earnings reported by firms listed into Stoxx 600 index)



Sources: LSEG Datastream, Allianz Research

Table 6: List of sectors in Asia and Europe that are most exposed to second-round effects from the Middle East conflict

Sectors	Europe	Asia	Upside/Downside catalysts
Second round effect			
Real Estate	↓↓	↓↓	Higher interest rate (deteriorating demand)
Consumer electronics	↓	↓↓↓*	Rising costs (inputs pricing) + Higher interest rate (weaker business & household spending)
Technology - Components & Equipment	↓	↓↓↓*	Higher interest rate (weaker investment pipeline + corporate IT budget cut)
Automotive	↓	↓	Rising costs (inputs pricing) + Higher interest rate (weaker business & household spending)
Datacenter	↓	↓	Rising costs (electricity bill) + Higher interest rate (weaker investment pipeline)
Insurance	↓	↓	Large margin compression (higher repairing costs/higher insolvency risks)
Banks	→	→	Higher interest rates (sluggish household consumption & business investment)
Construction	→	→	Higher interest rates (weaker investment pipeline)
Retail	→	→	Higher interest rates (sluggish household consumption)
Telecom services	→	→	Higher interest rates (more expensive capex)
Utilities	→	→	/

*Influenced by Korean and Taiwanese producers. Source: Allianz Research

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Economic outlook 2026-27: The Fog of War

31 March 2026



Content

Page 3-4

Executive Summary

Page 5-11

Global outlook: Escalation risks in a fragmented world

Page 11-14

Inflation and central banks: Price shock triggers reaction

Page 15-17

Developed markets: Stagflation returning

Page 18-20

Emerging markets: Triple deficit countries in focus triggers reaction

Page 21-22

Corporates navigating one crisis after another

Page 23-32

Capital markets outlook: Ultimately a function of geopolitics

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• **The war in the Middle East sets the stage. For the US and Europe, we expect lower growth, higher inflation, stronger fiscal pressure and a challenging situation for central banks.** Global GDP is expected at +2.6% in 2026 (revised down by -0.5pp), inflation at 3.2% in the US and 3.0% in the Eurozone this year (revised up by +0.7pp and +1.1pp, respectively) and trade growth at +1.5% in 2026 (revised down -0.5pp). Growth is expected to stay at +2.1% in the US and +0.8% in the Eurozone and deficits will remain elevated: -7% of GDP in the US and -3.0% in Europe, while higher debt-servicing costs limit room for support. Oil prices are expected to hover around 80 USD/bbl at end-2026 after reaching a record high in Q1 2026 on the back of geopolitical volatility. The Fed is expected to look through the inflation spike and remain on hold, with only one cut in early 2027. The ECB is likely to deliver a +25bps hike to anchor expectations, then pause as growth weakens. Both central banks will treat the shock as temporary in the baseline scenario, but prolonged energy pressures would trigger a more hawkish response.

• **The Gulf countries (GCC) and Asia remain most directly exposed while China should still grow by +4.6% in 2026.** Watch for triple-deficit economies facing recession risks while some commodity exporters benefit from diversification. Triple-deficit economies, combining fiscal, current account and energy deficits, are particularly vulnerable to capital outflows, higher inflation and recession. GCC economies face trade, tourism and real-estate risks despite high financial buffers and we have revised their growth forecast by -2.1pps. For Asia, the end-2025 growth tailwind of +0.2pp has been erased. Latam is relatively more insulated from the shock, with countries such as Argentina, Brazil and Mexico benefiting from their position as commodity exporters.

• **For corporates and consumers: a broad-based cost shock, on top of pre-existing vulnerabilities.** Higher energy, metals and fertilizer prices are creating a cost-push shock amid weak demand and elevated US tariffs, expected to hover around 10%. Energy producers and defense benefit, while energy-intensive, transport and consumer sectors face margin pressure. Tighter financial conditions and weaker demand are expected to push global insolvencies higher in 2026. Weakened consumer sentiment, labor markets and purchasing power in the context of high fuel and food prices are the main challenges ahead.

• **Capital markets: pricing in a geopolitical stagflation scare.** Since the outbreak of the Middle East conflict, investors have shifted decisively into a stagflationary risk off mode. Yield curves have risen and bear-flattened (front end: +50-90bps; long end: +40-70bps) as markets factor in a short term inflation spike and, as a consequence, hawkish reactions from central banks (expected end-of-year policy rates for the Fed and ECB rose 60bps

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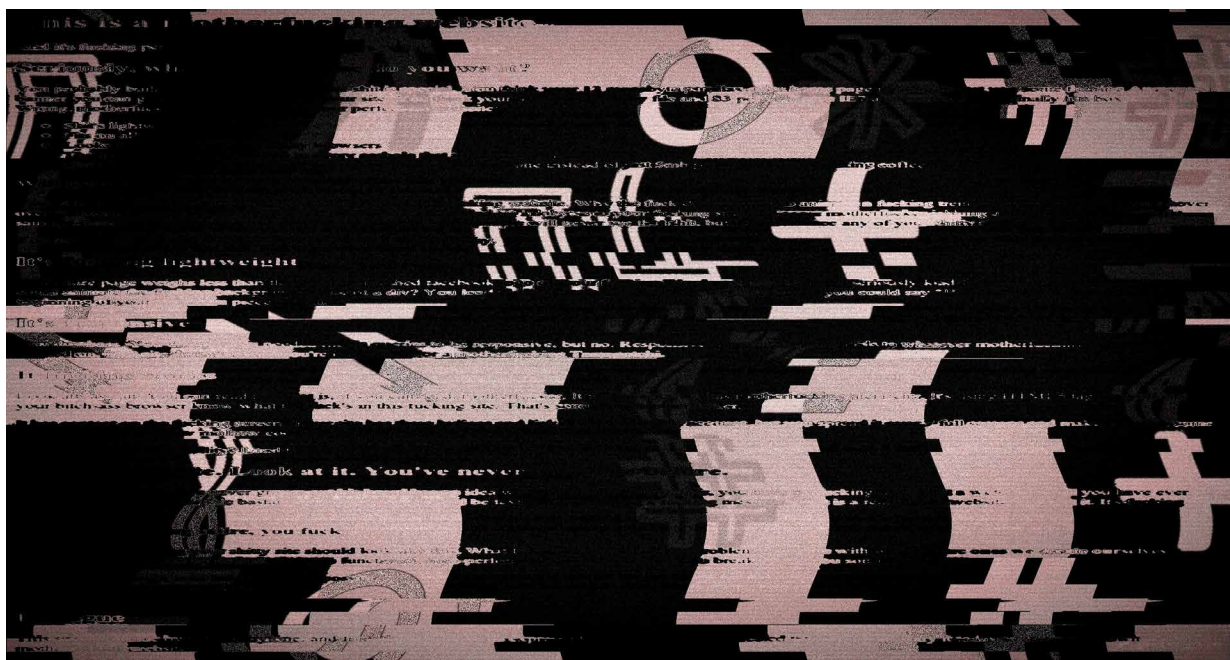
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and 90bps). At the same time, overseas demand appears to be softening as EM central banks draw down FX reserves to stabilize weakening currencies and finance elevated oil and gas imports. The growth scare is reflected in broad equity losses (US: -8%; Europe: -10%; EMs: -12%) and a pronounced flight to the ultimate safe asset: USD (trade weighted +2.5%) cash. Even gold has retreated (-13%), unwinding its earlier exceptional rally and facing selling pressure from countries tapping savings to pay for energy. Credit spreads have widened only modestly (+13bps for Euro IG; +26bps for HY), but broadly in line with previous geopolitical shocks. Importantly, markets still do not expect a structural regime shift: longer term inflation expectations remain well anchored (5y5y), and oil forwards for December are 30 USD below the current price. Our baseline scenario broadly aligns with this view: assuming the conflict and energy disruptions ease within three months, we expect a broad based asset market recovery as the year progresses (US 10y: 4.5%, DE: 2.8%, S&P500: +6%, Eurostoxx +5%). In the near term, however, further volatility and new market extremes remain likely.

• **It could get worse before it gets better: A worsening of the conflict would cause a stagflationary recession.** Mind the chain reaction. In our downside scenario, a prolonged closure of the Strait of Hormuz (>3 months) would magnify the economic shock, with oil rising temporarily to 180 USD/bbl and gas to 200 €/MWh before easing back to 85 USD/bbl and gas to 65 €/MWh towards the end of the year, given the demand-side destruction. The global economy would be pushed into a stagflationary regime, with the Eurozone falling into a technical recession (annual growth at +0.2%) and the US economy significantly slowing down for two years on second-round effects as a strong equity market correction would hit the consumer. Inflation would peak at 4.6% in the Eurozone and 4.9% in the US, forcing central banks into a more aggressive tightening response despite the economic slowdown (ECB: three hikes, Fed: two hikes). For capital markets, this implies a clear risk-off regime: higher yields (US 10y up to 5.7%, DE up to 3.7%), sharp equity corrections with a max drawdown of -30% in Europe and -25% in the US and materially wider credit spreads (Europe IG up to 150bps, HY 440bps), alongside a stronger USD and rising liquidity stress. In this scenario, nonlinear dynamics dominate, with consumer confidence shocks, forced deleveraging and private market stress amplifying the macro downturn.



Global outlook: Escalation risks in a fragmented world

The US-Israeli strikes on Iran will have implications for energy markets, shipping costs, inflation risks and financial conditions – but everything hinges on how long the conflict lasts and how far the escalation on critical energy infrastructure could go. Navigation through the Strait of Hormuz – critical for 25% of global hydrocarbon flows – and disruption of oil production in the Gulf remain the crucial transmission channels. In terms of the energy supply shock, the Middle East accounts for double Russia's share of oil, i.e. 20% of global supply, and a similar exposure for gas, i.e. 5% of global supply. We estimate that half of the oil supply from the Middle East can be covered through rerouting, additional supply from the US & Russia and a progressive release of strategic reserves. This is consistent with oil prices ranging between 80 to 100 USD/bbl. For now, gas prices have doubled but they were multiplied by five during the war in Ukraine, with the peak in oil prices above 130 USD/bbl at that time. In terms of country exposure, Europe is moderately exposed, with 7% of total oil imports from the Middle East and 4% of gas. In the emerging world, Asia is most

exposed as it imports more than 56% of its oil from the Middle East and more than 30% of its gas. Looking at energy vulnerability (price & supply), strategic reserves and coping mechanisms (fiscal and current balance), we identify one group of countries with high exposure and limited room to maneuver (high fiscal and current account deficits) – Egypt, Hungary, Kenya, Poland, Romania, Tunisia, Ethiopia, Jordan, Morocco, Pakistan and Bangladesh – and another group with high exposure but more leeway to counteract the shock – Chile, China, India, Philippines, Sri Lanka, Taiwan, Thailand and Turkey.

In our baseline scenario, energy price dynamics are a large but not sustained supply shock, with oil testing higher levels before gradually normalizing as de-escalation materializes and flows through the Strait of Hormuz return to normal progressively. Hence, we see energy prices coming down to 78 USD/ bbl by year-end from 90 USD/bbl in Q2, which means 2026 CPI inflation is forecast to rise to 3% in 2026 in the Eurozone (after 2.1% in 2025) and 3.2% in the US (after 2.7%). The hit

to GDP growth would range from -0.2pp in the US (to 2.1% in 2026) to -0.4pp in the Eurozone (to 0.8% in 2026). We believe central banks would mostly look through this temporary price shock, with the ECB and the BoE delivering modest 25bps rate hikes in April, and the Fed keeping rates steady. Overall, global GDP growth should reach +2.6% in 2026, from +3.1% prior to the conflict. If the Strait of Hormuz remains blocked for longer than three months, the impact will start to be recessionary. Inflation and central bank reactions will depend on the

length of the conflict and the reaction function of fiscal policy. In a prolonged conflict, we expect central banks to increase key rates more aggressively as markets will be testing their credibility after the 2022 episode (+75bps in the US, the UK and Eurozone by end-2026). In this scenario, GDP growth would take a large hit. The Eurozone would likely go through a technical recession, with annual GDP growth at +0.2% in 2026. The US economy would also take a hit, though more moderately thanks to partially offsetting effects in the mining sector. US GDP growth would drop to a meagre +1.5%.

Table 1: Real GDP growth forecasts, %

Growth (yearly %)	2023	2024	2025	2026f	2027f
Global	2.8	2.9	3.0	2.6	2.9
USA	2.9	2.8	2.1	2.1	2.2
Latin America	2.0	1.7	2.6	2.4	2.9
Brazil	3.2	3.0	2.6	1.9	2.5
UK	0.3	1.1	1.3	0.7	1.4
Eurozone	0.5	0.9	1.5	0.8	1.3
Germany	-0.7	-0.5	0.4	0.7	1.2
France	1.6	1.1	0.9	0.8	1.3
Italy	1.0	0.6	0.7	0.5	0.8
Spain	2.5	3.5	2.8	2.2	1.8
Central and Eastern Europe	1.4	2.2	2.2	2.6	2.7
Poland	0.1	3.0	3.6	3.7	2.6
Russia	3.9	4.3	1.0	1.7	2.0
Türkiye	5.0	3.5	3.6	3.5	4.0
Asia-Pacific	4.2	4.0	4.6	4.2	4.0
China	5.5	5.0	5.0	4.7	4.4
Japan	0.7	-0.2	1.2	1.2	1.0
India	6.8	7.3	7.5	6.4	6.5
Middle East	2.1	2.1	2.3	-1.0	4.0
Saudi Arabia	0.5	2.6	4.6	2.3	8.1
Africa	2.7	3.4	4.1	3.8	3.9
South Africa	0.8	0.5	1.3	1.4	1.6

Sources: national, Allianz Research

Table 2: Middle East conflict scenarios

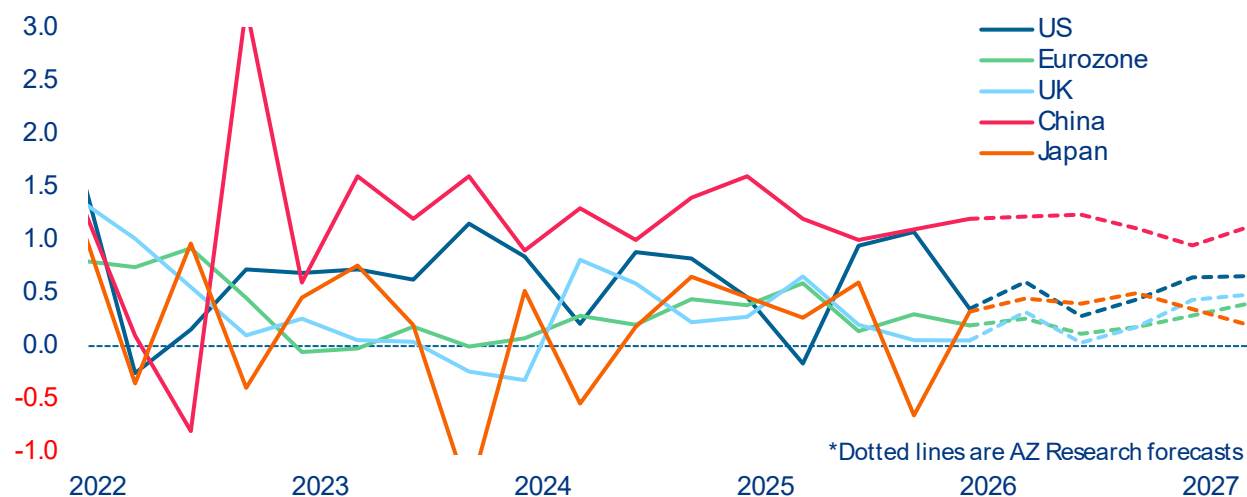
			Feb 28th	Upside (15% probability): Short lived escalation with military exchange ***	Baseline (45% probability): Prolonged conflict with less than three months of global oil and gas disruption ***	Downside (35% probability): Long sustained escalation with prolonged disruption of global oil and gas supply ***
				2026	2026	2026
Description				Deescalation, Hormuz opens in April, no destruction of oil industry	A deal allowing for a progressive normalization of oil and gas trade in May. In between partial re-routing, additional production (US, Russia) and strategic reserves being tapped covers >50% of Hormuz gap in oil and gas; no material destruction of oil/gas industry.	Hormuz closed for more than three months. Oil, gas and other commodity supply shortages (fertilizers, helium) transmits to confidence & equity shock exacerbating downturn.
Oil Brent (USD/bbl), Q2 average / eoY 2026			73\$	70\$ / 70\$ (125\$)*	90\$ / 78\$ (\$140)*	130\$ / 85\$ (\$180)*
Gas prices, annual avg.			32€	35€ (80€)*	49€ (150€)*	65€ (200€)*
GDP	EZ	1.3%**		1.2%	0.8%	0.2%
	US	2.6%**		2.5%	2.1%	1.5%
Inflation	EZ	1.9%**		2.1%	3.0% (3.4%)*	3.9% (4.9%)*
	US	2.5%**		2.6%	3.2% (3.7%)*	4.0% (4.6%)*
EURUSD			1.18	1.19 (1.14)*	1.15 (1.11)*	1.12 (1.05)*
Monetary Policy	ECB	2.0		2.0	2.25	2.75
	Fed	3.75		3.5	3.75	4.25
10y	DE	2.6		2.6 (3.1)*	2.8 (3.3)*	3.1 (3.7)*
	US	4.0		4.3 (4.5)*	4.5 (4.8)*	5.0 (5.7)*
Equity market	EZ	6		9 (-10)*	5 (-10)*	-25 (-30)*
	US	1		10 (-10)*	6 (-10)*	-20 (-25)*
Credit spread	EZ IG	83		83 (100)*	95 (115)*	120 (150)*
	EZ HY	283		283 (320)*	320 (400)*	400 (440)*
	US IG	84		84 (100)*	95 (115)*	120 (140)*
EM HC spread		178		185 (200)*	200 (230)*	235 (280)*
Private Markets (Global)	Private EQ	6.7%		12.5%	10%	-10%
	Direct Lending	530		500	550	650-700
	Infra EQ	8.7%		9.8%	8.5%	5.5%
Insolvencies	EZ	+1.4%		+1.5%	+2.5%	+5.0%
	US	+5.7%		+6.4%	+9.3%	+13.5%

* max daily draw-down in brackets.

** macro forecast for 2026 before the start of the Iran war

*** probabilities add up to 95% with remaining upside and downside tail-risks (<5%) omitted

Sources: national, Allianz Research

Figure 1: Quarterly real GDP growth rates, q/q, %

Sources: national, Allianz Research

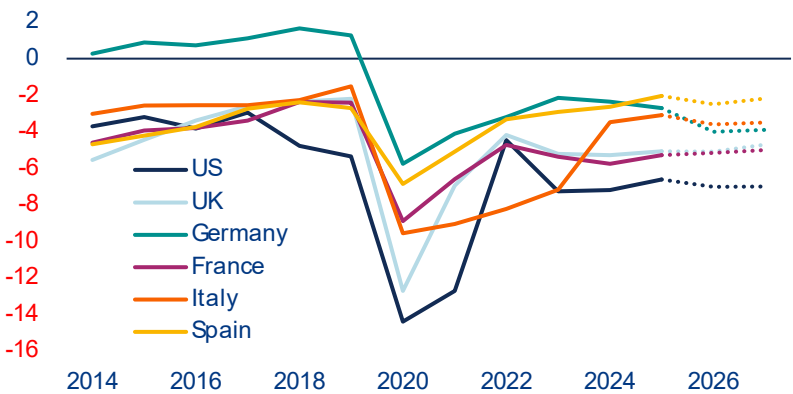
The 2026–2027 risk outlook should be read through the lens of a structural regime shift to a new global order, less rules-based and more power- and influence-driven. The efficiency-led paradigm anchored in free trade, comparative advantage and lean, cost-optimized supply chains is giving way to a system shaped by interventionism, geopolitics and strategic autonomy. Trade is increasingly weaponized via tariffs, export controls, sanctions, energy dependencies and control over strategic corridors while supply chains are diversified and, in many cases, duplicated. This transition is inherently inflationary, implies greater state involvement and is driving a reallocation of global capital toward strategic sectors. Crucially, volatility is no longer episodic but a structural feature of today's new global order. Geopolitical transmission channels, commodity-trade shocks and growth–inflation trade-offs are likely to generate more frequent and less predictable shocks. Market reactions are expected to be increasingly non-linear, with delayed repricing phases followed by abrupt adjustments, while traditional safe havens may prove less reliable in a fragmented geopolitical environment. This increases the need for a strong understanding of transmission mechanisms and second-round effects.

Within this evolving framework, the baseline scenario carries a 45% probability and the balance of risks is clearly skewed to the downside. A disorderly correction in AI-driven valuations could trigger broader equity repricing (with potential corrections of 25–30% in US equities), exposing leverage in private markets and amplifying recessionary dynamics. At the same time, persistently high fiscal deficits in major advanced economies risk morphing into confidence shocks, fueling FX and rate volatility, particularly in a context where macro aggregates remain resilient but micro-level stress is intensifying. In parallel, renewed de-dollarization pressures could act as a destabilizing amplifier, increase term premia and contribute to more volatile capital flows. Financial deregulation may support credit creation in the short term but at the cost of building medium-term vulnerabilities. Meanwhile, structural constraints such as tighter US immigration policies are likely to exacerbate labor shortages, reinforcing the shift toward capital-heavy, labor-light growth while capping potential output.

In this context, policy buffers and fiscal space will increasingly differentiate resilience to geopolitical and macro shocks. Overall, the transition toward modern mercantilism implies a more fragmented, state-driven and investment-heavy global economy, where the interaction between geopolitical competition, policy intervention and financial imbalances increases the likelihood of non-linear adjustments, and where the accumulation of risks intensifies the longer these dynamics persist.

Fiscal policy was already stretched before the Iran shock. Before the escalation of tensions, no major consolidation effort was on the horizon across advanced economies. Fiscal stances were broadly neutral at best, with most governments balancing post-pandemic spending legacies against moderating growth outlooks. The energy shock has since complicated the picture further, forcing some countries to contemplate targeted support measures while avoiding the broad-based subsidies deployed in 2022. Countries enter this period in somewhat better fiscal shape than during previous crises, having rebuilt modest buffers over 2023–2025, but the window for consolidation is narrowing. Slowing growth – amplified by higher energy costs and weakening consumer demand – will weigh on revenue dynamics and make deficit reduction harder to sustain. Adding to the strain, the trend reversal in interest rates will keep debt-servicing costs elevated. The combination of stagnating revenues, energy-related spending pressures and sticky borrowing costs leaves little room for maneuver – and makes any near-term improvement in debt ratios unlikely. In the US, new spending and tax refunds enacted in the One Big Beautiful Bill Act will more than offset tariff revenues, pushing up the federal deficit. In Europe, fiscal challenges look set to intensify into 2027, when major economies such as France, Italy, Spain and Greece, among others, head to the polls, likely on platforms favoring spending commitments over consolidation. Meanwhile, Germany's fiscal bazooka is slowly building momentum, with defense and special fund spending ramping up, though implementation remains gradual and the full economic impact will take time to feed through.

Figure 2: Fiscal deficit forecasts, % of GDP

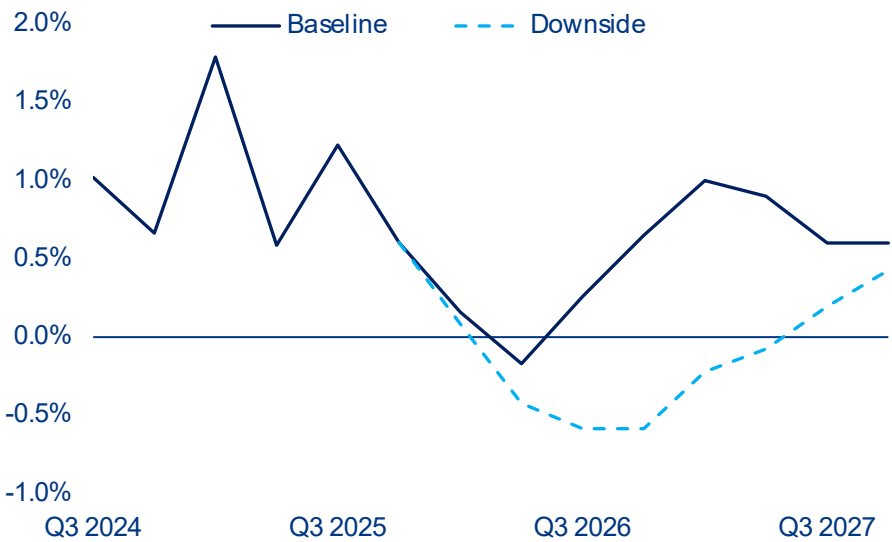


Sources: LSEG Datastream, Allianz Research

Global trade of goods is projected to decelerate to +1.5% in volume terms in 2026 – down from the +2% forecast before the Middle East conflict escalation. The revision reflects the conflict pass-through effects on energy markets, representing a sharp reversal from a stronger-than-expected 2025, when AI-related goods and frontloading ahead of US tariffs drove growth of trade in volume to +3.9%. A strong carry-over effect from late 2025 (+2.1%) provided some momentum into early 2026, but this tailwind is fading as trade volumes are likely to be impacted by the

escalation. In 2027, trade growth is expected to rebound to +2.7% assuming the Strait of Hormuz blockage has ended. However, in a downside scenario, the V-shaped recovery of the baseline would turn towards a U-shaped recovery as a prolonged closure of the Strait, global spillovers from higher energy prices through 2026/27 and reduced global trade would bring global trade growth to +0.5% in 2026, followed by a recession in 2027 with a decline to -0.9%.

Figure 3: Global trade forecast, quarterly path, %

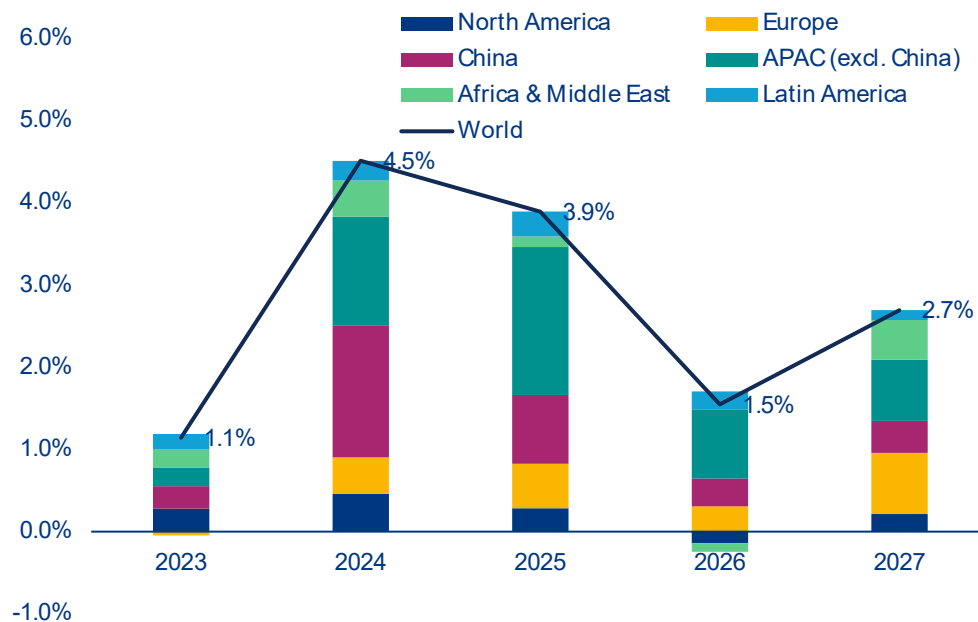


Sources: LSEG Datastream, Allianz Research

The most immediate drag on volumes comes from the physical blockage of the Strait of Hormuz. Trade flows through the Strait represent around 4% of global trade, but the effective disruption is more contained thanks to active rerouting. We estimate that around 1.9% of global trade flows are currently stranded or severely disrupted. In a downside scenario where circulation through the Strait is constrained for longer, we estimate the amount of strained global trade to increase to 2.9%. Currently, strained vessels are mainly oil and gas tankers, while bulk carriers and containerships unable to transit or load in the Gulf account for a residual to global trade. However the direct and growing drag compounds the broader cost channel, where higher bunker oil and jet-fuel prices are layering onto already-elevated trade war frictions. In nominal terms, growth is likely to outpace underlying volumes, as elevated energy costs – impacting both production and transportation – feed through into price increases across some sectors.

Slowdown of global trade will be felt across the board but geography continues to matter. Global trade growth in the Middle East will go to negative territory, last experienced in 2020, during the decline of oil demand due to the pandemic. Asia is expected to remain the main contributor to trade growth but with a much decelerated level of 1%, -0.8pp from the previous year. The region's deep energy dependence makes it acutely exposed to the Iran shock: Trade growth for China, Singapore, South Korea and India is projected to be roughly halved, while Japan faces an outright contraction in trade volumes. Europe's picture is uneven: Germany and France are expected to show tentative improvement, though Germany is set to remain in recessionary territory. The rest of the continent faces a broad-based slowdown. In the US, exports are also set to decelerate, constrained by the lingering drag of trade policy uncertainty and soft external demand for US products in key external markets including China, Mexico and Canada. Meanwhile, US imports will decline relative to 2025 as frontloading of shipments to the US market has largely run its course and elevated tariffs weigh on US demand for foreign products.

Figure 4: Regional contribution to global trade of goods, %



Sources: Oxford Economics, Allianz Research

In our view, a reopening of the Strait of Hormuz following a ceasefire would almost certainly be gradual rather than immediate as security risks tend to normalize far more slowly than physical disruptions.

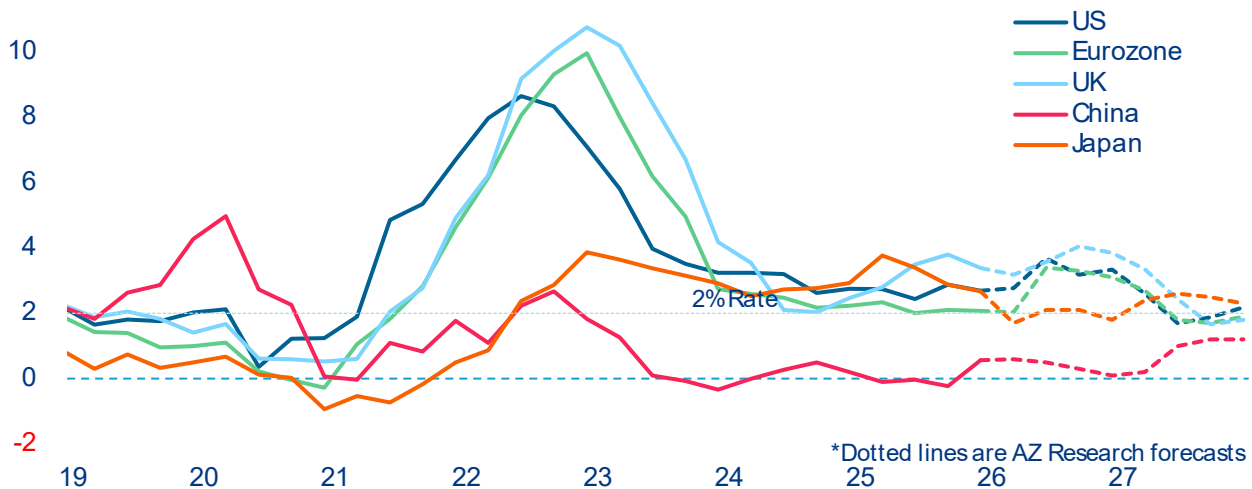
Taking into account the tanker capacity of key emerging market exporters, initial commodity flows would likely recover to only 15–30% of normal levels (roughly 3–6 mn bpd of oil), contingent on the credibility of security guarantees, before scaling up cautiously. This would cover up to 60% of the current oil-supply gap of 10 mn bpd. Historical precedents reinforce this phased dynamic: During the 1980s Iran–Iraq war, throughput initially rebounded to around 20–30% within weeks, with full normalization taking several months due to the need

for naval escorts and mine clearance. Similarly, during the 2019 US–Iran tensions, partial flows resumed within days for insured vessels, but full confidence and capacity recovery took several weeks. Even in non-security scenarios, such as the six-day blockage of the Suez Canal by the ship *Ever Given* in 2021, normalization was not instantaneous: while limited traffic resumed quickly for small vessels, clearing the backlog and restoring full operational throughput still required around two weeks. Taken together, they suggest that even under favorable conditions, a post-ceasefire recovery in Hormuz would follow a cautious, step-wise trajectory rather than a rapid snapback.

Inflation and central banks: Price shock triggers reaction

Inflation is set to pick up significantly in Q2-Q3 2026, and start receding gradually thereafter amid soft economic growth and looser labor markets. The energy-price spike will push up inflation rates in March-May, with a rapid pass-through of higher oil prices onto retail gasoline prices. In the Eurozone, we expect headline CPI inflation to peak at +3.4% in Q2 2026 (after +2.0% in the previous quarter), and +3.7% in the US (after +2.8%). Because of higher wholesale gas prices in Europe feeding through into higher utility bills with a lag, we expect Eurozone inflation to recede a bit less rapidly than in the US. In the UK, inflation will peak later because of an expected sharp hike in the Ofgem utility price cap in July. Peak inflation will hit 4% in Q3. However, under our baseline assumption that energy prices will start drifting lower in Q2, inflation rates are expected to come down heading into 2027. Weaker economic activity will start bearing down on core inflationary pressures, limiting pass-through of higher fertilizer and transportation prices into consumer food and services

inflation. In 2027, we expect annual average inflation to be close or at central banks' 2% target (+2.3% in the UK, +2.1% in the US, +2% in the Eurozone). However, there are upside risks to our forecasts, if energy prices were to stay higher than we expect. Inflation expectations from the private sector (households and firms) may then start to drift higher, leading to second-round effects on wages on price settings. Ultimately though, higher inflation expectations and actual inflation would force central banks to react forcefully, bearing down on core inflation by end 2026-early 2027 through a weak labor market and demand. In all, we think the risk of de-anchoring inflation expectations and permanently higher actual inflation is moderate compared to 2022. The economic backdrop is much less conducive to such outcomes: GDP growth is lower, labor markets are looser, fiscal support more timid and monetary settings generally more neutral (vs deeply negative real interest rates in 2022). All this points to limited risks of persistent stagflationary outcomes.

Figure 5: Inflation forecasts, % y/y

Sources: LSEG Datastream, Allianz Research

US and Eurozone labor markets entered the energy shock from a position of relative resilience, but with less buffer than it may appear. US labor market conditions, though softening sharply since mid-2025 in terms of job creation, remain broadly resilient with a limited pick-up in the unemployment rate, while the Eurozone unemployment rate stands at a record low. However, labor markets on both sides of the Atlantic are weaker than in 2022 during the energy shock, particularly in the UK, with hiring intentions slowing, vacancy rates declining and wage growth moderating. Across developed markets, the energy shock now hits an already decelerating job machine. A deteriorating economic outlook, shaped by higher energy costs, weakening consumer spending and tightening financial conditions, risks amplifying what were already slowing employment intentions, particularly in energy-intensive and trade-exposed sectors. Adding a structural layer to the cyclical pressures, the global labor market was already undergoing a profound transformation ahead of this shock. AI adoption has accelerated across advanced economies, yet its impact on employment and productivity remains uneven and, for most countries, not yet visible in the aggregate data; only a handful of economies successfully converting broader AI diffusion into meaningful productivity gains. Yet, amid weak demographics and our baseline of a relatively short-lived spike in energy prices, we do not expect much of a rise in unemployment.

The Fed is expected to be on a prolonged hold as it looks through the energy price-induced spike in inflation. We expect only one 25bps cut in early 2027. The conflict in the Middle East poses a difficult dilemma for the Fed, with inflation set to pick up significantly amid higher energy prices while the labor market still looks fragile. With inflation now stuck above the 2% target for five years, the Fed clearly does not have the luxury to focus on labor market risks only. Inflation expectations are especially sensitive to energy (and food) prices and could risk de-anchoring if the Fed is perceived as too complacent with inflation risks. Encouragingly, early consumer surveys for March do not point to rising inflation expectations, but the Fed will have to live up to its anti-inflation credibility by keeping interest rates relatively elevated. We now expect the US central bank to remain on a prolonged hold, with no rate cut penciled in before early 2027 (-0.25bp rate cut in January 2027). We have long argued that the Fed will be limited in its ability to cut interest rates, and we were expecting only one rate cut in June prior to the conflict in the Middle East. The labor market is likely to remain weak through the summer as higher inflation eats into households' incomes and some corporates' profit margins, weighing on hiring. Thus, with the Fed staying on hold with still relatively elevated interest rates and a weaker economic backdrop, the risks of second-round effects on broader inflation, which could compound the initial energy price shock, should be much smaller than in 2022. We

Table 3: Inflation forecasts, yearly, %

Inflation (yearly %)	2023	2024	2025	2026f	2027f
Global	6.1	4.5	3.4	4.3	2.9
USA	4.1	3.0	2.7	3.2	2.1
Latin America	14.8	16.6	7.6	3.6	2.9
Brazil	4.6	4.4	5.0	4.5	3.3
UK	7.4	2.5	3.4	3.7	2.3
Eurozone	5.5	2.4	2.1	3.0	2.0
Germany	6.0	2.3	2.2	3.1	2.2
France	4.9	2.0	0.9	1.9	1.4
Italy	5.7	1.0	1.5	3.1	1.5
Spain	3.6	2.8	2.7	3.3	1.7
Central and Eastern Europe	11.2	3.9	5.0	4.2	3.1
Poland	11.6	3.8	3.8	3.3	2.5
Russia	5.9	8.4	8.7	7.8	7.0
Türkiye	53.4	60.0	35.2	28.0	19.5
Asia-Pacific	3.1	2.2	1.3	2.3	1.9
China	0.2	0.2	0.1	1.0	1.2
Japan	3.3	2.7	3.2	2.4	2.1
India	5.7	5.0	2.2	4.7	3.7
Middle East	16.5	10.7	12.7	18.7	10.0
Saudi Arabia	2.5	1.5	2.0	3.1	2.4
Africa	17.0	15.1	8.7	8.4	7.2
South Africa	5.9	4.5	3.2	4.5	3.5

Sources: national, Allianz Research

expect the Fed to remain quite hawkish through 2027 despite moderate growth, to ensure that inflation returns sustainably to target.

The ECB is likely to raise policy rates by 25bps as early as April but look through the subsequent inflation spike if the Middle East conflict is largely resolved by May as expected. The ECB has repeatedly stated that it will not adjust policy rates unless a significant shock occurs. With the war in Iran, such a shock has now clearly materialized. Inflation is expected to surge above 3%, up from the current target-level reading. This mechanically lowers the real interest rate and will prompt the ECB to deliver a hike at its next meeting on 30 April to keep long-term inflation expectations anchored. In our baseline outlook, in which the conflict is resolved and oil and gas price pressures ease by May, we expect the ECB to remain on hold and look through the temporary inflation spike. However, if the conflict persists longer than anticipated and oil prices remain elevated (downside

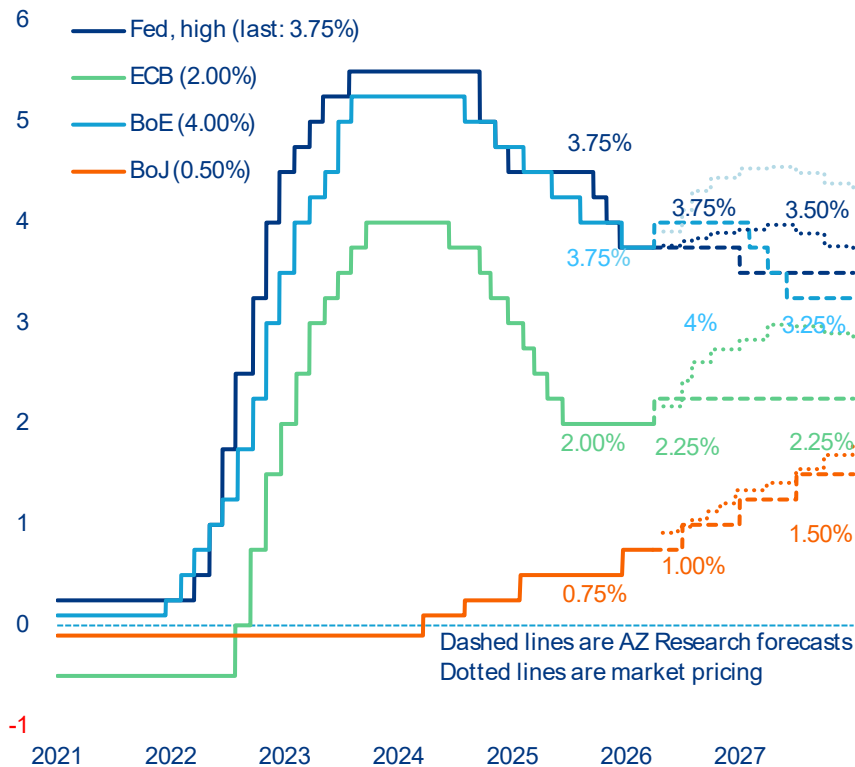
scenario), we would expect at least three consecutive rate hikes.

The Bank of England (BoE) is expected to hike interest rates by 25bps during the April meeting and keep a prolonged hold thereafter. The rate-cutting cycle is expected to resume in 2027. Against the backdrop of a loose labor market, moderating wage growth and fading GDP momentum, we expect the BoE not to over-react to short-term upward pressure on inflation. Nevertheless, with inflation persistently above target even prior the crisis in the Middle East, the BoE will have to hike interest rates by 25bps at its next meeting in April, to 4%, to signal its commitment to bring prices pressures under control. Evidently, if measures of private-sector inflation expectations were to drift higher, the BoE would likely act by hiking rates further. In this scenario, we would expect the BoE to act swiftly by delivering at least 50bps of rate hikes. But the weaker economic backdrop than in 2022, including tighter fiscal and monetary conditions,

should prevent inflation expectations from de-anchoring if energy prices start to fall soon as we expect. Elevated energy prices will further weaken the economic backdrop and, ultimately, pull down core inflationary pressures, which will give room for the BoE to resume its rate cutting cycle in 2027. We look for a terminal rate at 3.25% by June 2027.

The Bank of Japan (BoJ) is likely to bring its policy rate to 1.5% by end-2027, from 0.75% currently. We expect the BOJ to hike by +25bps in Q2 2026 as underlying inflation remains elevated and this year's shunto delivered strong wage increases above 5% for the third consecutive year. Despite Japan's high dependency on energy imports, we expect the current escalation in the Middle East to generate limited short-term inflationary pressures (to 2.4% in 2026) as government energy subsidies and the price oil cap worth 1% of GDP should limit the impact on consumers. Looking forward, we continue to expect two more rate hikes by end-2027, bringing the policy rate to 1.5%.

Figure 6: Central bank forecasts, %



Sources: LSEG Datastream, Allianz Researchs



Developed markets: Stagflation returning

The US economy is expected to continue growing moderately (+2.1% in 2026, +2.2% in 2027) but to remain resilient to external headwinds. The Middle East crisis is expected to affect households' spending primarily as higher inflation will eat into real disposable income. With low household confidence and a meagre savings rate to begin with, any sustained high levels of gasoline prices would risk knocking consumer spending hard enough to provoke a substantial downturn of the economy. A partially mitigating factor is the expected increase drilling activity and higher earnings for workers in the oil patch. In our baseline scenario of gradually declining energy prices from Q2, we expect GDP to grow at the same moderate clip than last year, at +2.1%, thanks to supportive macro policy and dynamic AI capex. The credit cycle is picking up, with accelerating credit to consumers and businesses. With the Fed not expected to tighten policy in our scenario, support to the credit cycle should carry on, also helped by banking deregulation. Meanwhile, the OBBB Act is providing tax refunds to households. All this should limit further

consumer spending and non-AI capex deceleration. Finally, we still see dynamic AI capex this year despite elevated energy costs, given that natural gas prices – which matter more for electricity prices and therefore the data-center buildout – are unlikely to rise much in the US. Nevertheless, we expect AI capex euphoria to wane heading into 2027. Less supportive fiscal policy, still elevated interest rates and worsening demographics should cap US growth, which we expect at a meagre +2.2%.

Eurozone: 2022 stagflation fears re-emerge, but the region looks better equipped this time. The Eurozone stands among the most exposed regions to the Iran energy shock, given its structural dependence on imported oil and gas. The timing is particularly unwelcome: the bloc was emerging from a period of quiet resilience at the end of 2025, with Q4 growth holding up and a moderately constructive outlook for 2026 underpinned by the accelerating rollout of NGEU funds, early signs of recovery in manufacturing activity and

the anticipated boost from Germany's fiscal expansion. That relatively benign baseline has now been severely complicated. Rising energy prices are rekindling the stagflationary dynamics last seen in 2022. High energy import dependency remains a structural vulnerability, leaving the bloc disproportionately exposed to any sustained disruption in global oil and gas markets. Yet the situation is not a straight replay of 2022. Energy supply sources have diversified meaningfully over the past three years, with greater LNG import capacity, expanded renewables penetration and reduced reliance on any single supplier providing a degree of buffer that did not exist at the onset of the previous crisis. However, the capacity to absorb the shock varies considerably across member states, reflecting the uneven pace and ambition of energy diversification efforts, meaning the impact this time will be similarly asymmetric. Whether that buffer proves sufficient will depend heavily on the duration of the conflict and the extent to which Strait of Hormuz disruptions persist. In the baseline scenario, we expect GDP to grow below +1% this year (from +1.3% we were expecting before the Iran attacks) and to resume in 2027 as geopolitical tensions normalize.

Germany is expected to be more resilient than in 2022 as the decoupling from Russian gas was structural. GDP growth for 2026 is now expected to be +0.7%, a decrease of -0.3pp due to higher energy prices resulting from the conflict in the Middle East. Some of the external headwinds are cushioned by fiscal support: the special infrastructure fund adds +0.4pp to potential growth, though gradual spending uptake still limits the pass-through to economic growth. Defense adds +0.2pp and depreciation adds +0.2pp. However, these are offset by tariffs (-0.2pp) and energy prices (-0.3pp). Growth rebounds to +1.2% in 2027 as oil prices fall and fiscal spending boosts demand. However, the recovery remains fragile due to ongoing challenges such as weak exports, competition in key industries, tariff pressure, global fragmentation and weak consumer confidence due to continuously high uncertainty. Inflation is expected to rise to +3.1% in 2026 (+1pp), before easing to 2.2% in 2027. In a downside scenario involving prolonged energy shocks, growth would fall to +0.5% in 2026 (-0.5pp) and inflation would rise to +3.7% (+1.6pp). This would be accompanied by limited fiscal offset due to Germany's high energy dependence and the significant presence of energy-intensive industries.

In France, GDP is expected to grow sluggishly (+0.8%) as higher inflation saps the consumer recovery. With inflation expected to hover around +2.0% in 2026, from less than +0.9% in 2025, households' disposable income will take a hit. Sluggish wage growth (+2% in Q4 2025) and a loosening labor market are also key headwinds for the consumer. However, we continue to expect a favorable backdrop for business investment and exports. New orders in the manufacturing sector remain relatively well oriented according to the latest PMI survey (though those are concentrated in an handful of sectors such as transportation equipment). Meanwhile, we continue to expect dynamic digital investment as French corporates continue to take advantage of looser credit standards and lower funding costs. The ECB-induced moderate increase in short-term interest rates should have a marginal impact on business investment. After +0.8% GDP growth expected this year (from +0.9% in 2025), we expect an acceleration to +1.3% in 2027 amid lower energy costs and a recovery of consumer and residential spending.

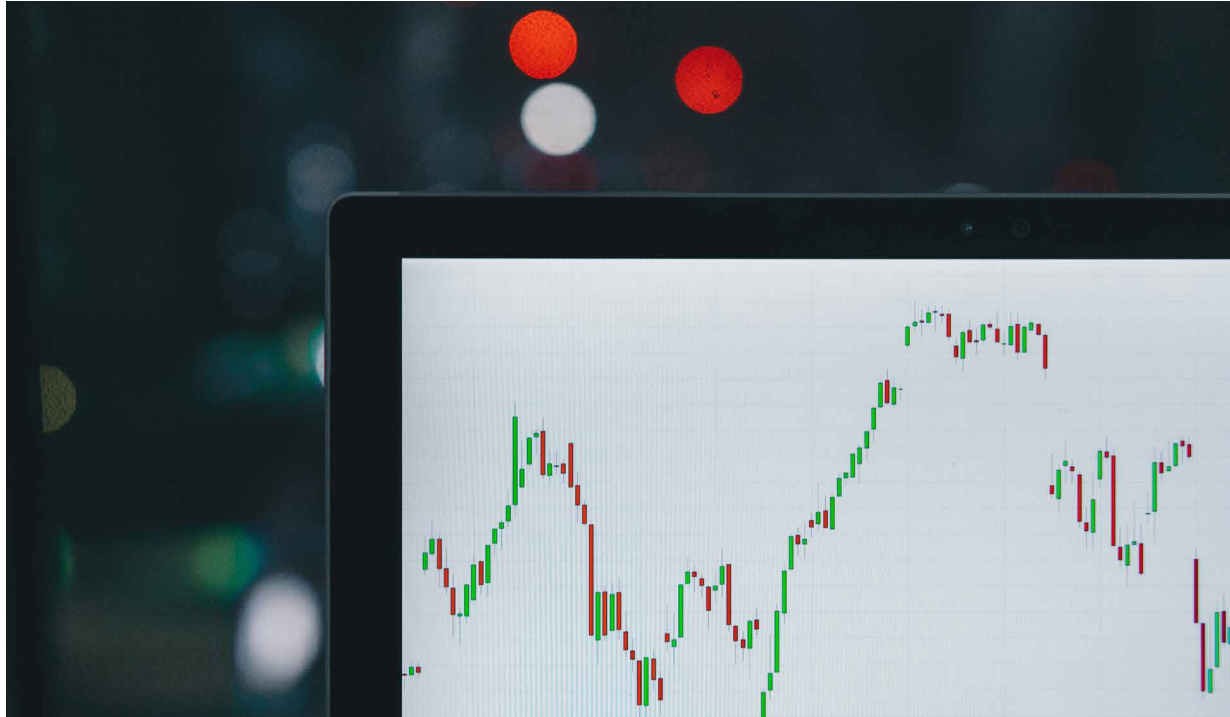
Italy entered 2026 with a degree of quiet momentum, but the energy shock threatens to leave a mark once more. Q4 2025 growth came in better than expected (+0.3% q/q) and the Milano Cortina Winter Olympics are expected to have provided an additional demand boost in Q1 2026. The pre-shock outlook was moderately optimistic, with NGEU disbursements accelerating, German spillovers anticipated and the fiscal deficit narrowing to -3.1% of GDP in 2025. But that tailwind has now collided with a severe external shock. Italy's structurally high dependence on imported energy leaves households and energy-intensive industries among the most exposed in the Eurozone, with the inflation hit expected to be among the sharpest, compressing real incomes at precisely the moment domestic demand was meant to carry growth. Financial markets have taken notice: BTP spreads have widened more than those of any other major eurozone sovereign, reversing from their lowest levels since 2008. Compounding the cyclical pressure, NGEU grant revenues are set to taper sharply from 2027, removing a key fiscal buffer just as energy-related spending pressures build.

In Spain, the growth overperformance faces a stiff test. Spain has firmly cemented its position as the Eurozone's economic outperformer, posting above-consensus +0.8% q/q growth in Q4 2025, providing solid carry-over to 2026. Strong fundamentals and favorable market conditions even allowed Spain to renounce over EUR60bn of the loan component of its NGEU package (out of EUR80bn), a remarkable signal of fiscal confidence. We maintain our baseline forecasts of around +2.0% growth this year. Crucially, Spain enters the Iran energy shock better insulated than most Eurozone peers: a structural shift toward renewables has meaningfully reduced exposure to volatile fossil fuel prices, leaving households and industry less vulnerable to the energy pass-through now hammering peers such as Italy and Germany. The government has nonetheless responded with one of Europe's most ambitious crisis packages (a EUR5bn package across 80 measures including VAT cuts on fuel and electricity tax reductions of up to 60%).

The UK's growth momentum is expected to weaken substantially (+0.7% in 2026, after +1.3% in 2025) amid rising inflation and waning policy-induced boosts.

With rising energy prices expected to push inflation to +4% by Q3 2026, consumers' spending and business' investment are expected to take a hit as real disposable income and profit margins are impacted. Meanwhile, higher mortgage rates should further dampen residential investment, which was artificially boosted in 2025 amid anticipation of tax hikes on the property sector. With limited fiscal space, the government will likely stay pat over elevated energy prices, with marginal support measures announced, though it could cancel the fuel duty hike planned in September. While domestic demand is expected to cool substantially this year, we expect net

trade be less of a drag on GDP thanks to less dynamic imports. At +0.7% expected this year, GDP will grow well below its potential. Momentum should improve significantly in 2027 (GDP +1.4%) thanks to looser monetary conditions but tight fiscal policy and still elevated mortgage rates should cap the rebound. Japan's short term economic outlook remains broadly resilient, underpinned by continued fiscal stimulus and relatively robust public finances, despite rising external pressures. As the escalation in the Middle East weighs on the Japanese economy, we revise our forecast on the downside to +1.2% in 2026 (-0.2pp) and +1.0% in 2027. We expect government spending to remain a key buffer for the economy as Prime Minister Takaichi's supermajority will allow the current administration to maintain its fiscal stance, reinforcing Japan's policy continuity. Up to now, the Japanese government has announced fiscal support measures worth 1% of GDP (or USD41bn) on top of the 1.2% of GDP that was already in place before the conflict escalated. This is a higher support compared to what Europe did back in 2022. However, the external environment presents notable risks, with energy related price dynamics likely to persist.



Emerging markets: Triple deficit countries in focus

China's economic outlook remains resilient, supported by strong external demand and a lower exposure to the Iran crisis, despite challenges from soft domestic demand. We maintain our GDP growth forecasts at +4.6% in 2026 and +4.4% in 2027. While the Iran crisis will constitute a headwind to Chinese growth, the economy's energy mix and its ability to maintain its oil supply shield it compared to the rest of the APAC region. The economy has exceeded expectations since the beginning of the year, with strong external demand likely to remain a tailwind, bolstered by recent Supreme Court decision on the US tariffs. However, some concerns remain surrounding the domestic economy, where policy support is needed. The Two Sessions held the fiscal deficit steady while the policy focus remained heavily oriented toward industry, with a strong emphasis on AI-led investment and self-reliance. We forecast inflation at 1.0% in 2026 and 1.2% in 2027.

In the Middle East, the impacts of the conflict are reverberating across the entire economy of the region. Trade flows have contracted as the partial closure of the Strait of Hormuz imposes a hard physical constraint on the region's main commercial artery. Beyond the direct trade shock, the war is now feeding through into broader economic activity via several reinforcing channels. Tourism has collapsed, and an initial wave of expatriate departure, even if long lived, will add pressure on consumer spending, a meaningful hit given that foreign nationals account for over half the GCC total population. Cities like Dubai and Doha, whose growth models rest on services, retail and hospitality, are among the most exposed. On the supply side, Iranian strikes have disrupted activity on construction sites across the region – a sector that has been one of the primary engines of GCC growth over the past two decades and that underpins a vast, deeply interconnected real estate market.

For other emerging markets, the shock propagates globally through four main transmission channels. Even a short-lived interruption of less than two months could raise EM inflation by +0.8 to +1.0pp, prompting tighter policy responses, while growth effects would remain limited overall – though Gulf economies would be hit more severely.

Table 4: Exposure of EMs to Middle East crisis

Country	Exposure to the Middle East crisis						Market reaction since Feb 27		Coping mechanisms					
	Energy balance (% of GDP)	Strategic oil reserves (days of consumption)	Oil dependency (% primary energy)	Gas dependency (% primary energy)	Vulnerability to energy price shock	Vulnerability to ME supply shock	FX (% change vs USD)	Bond yields (bps)	Fiscal balance (% of GDP)	Current Account (% of GDP)	FX reserves (months of imports)	FX outlook	Central Bank stance (by mid-2026)	Risk of fiscal slippage throughout 2026
Argentina	0.6	NA	-8%	0%	Medium	Low	1.3	N/A	-1.5	-0.4	3.8	Neutral	On hold	Low
Bangladesh	-3.5	49	19%	8%	High	High	-0.5	36.0	-3.9	-0.9	4.9	Negative	On hold	High
Brazil	0.9	NA	-16%	2%	Low	Low	-2.3	60.0	-7.5	-2.3	12.1	Positive	Cautious easing	Medium
Chile	-4.4	25	46%	9%	High	Medium	-4.6	42.0	-0.6	-2.2	6.7	Negative	On hold	Low
China	-2.4	100	12%	3%	Medium	Medium	-0.7	42.0	-5.0	2.8	12.3	Neutral	On hold	Medium
Colombia	3.9	NA	-34%	4%	Low	Low	1.0	-38.0	-5.7	-2.6	9.6	Negative	Hike	Medium
Czechia	-2.4	117	28%	12%	High	Medium	-2.9	46.0	-2.1	0.4	9.3	Negative	On hold	Medium
Egypt	0.0	NA	8%	9%	Medium	High	-9.0	51.0	-10.7	-4.3	4.3	Negative	On hold	High
Hungary	-3.6	215	15%	20%	High	Medium	-5.1	106.0	-5.1	0.9	3.7	Negative	On hold	High
India	-3.7	30	13%	4%	High	Medium	-3.3	18.0	-1.8	-1.4	9.1	Neutral	On hold	Medium
Indonesia	1.1	20	15%	-3%	Low	Medium	-1.3	44.0	-2.7	-1.2	7.1	Negative	On hold	High
Kenya	-4.5	NA	16%	2%	High	High	-0.5	10.0	-5.6	-3.4	5.7	Negative	On hold	High
Malaysia	-0.4	NA	13%	-19%	Medium	Medium	-1.3	7.0	-3.6	1.8	5.3	Negative	On hold	High
Mexico	0.7	NA	2%	6%	Low	Low	-3.6	72.0	-4.1	-0.3	4.3	Neutral	Cautious easing	Medium
Morocco	-5.0	30	50%	15%	High	Medium	-2.1	29.0	-4.5	-1.5	7.4	Neutral	On hold	Medium
Nigeria	12.2	NA	-48%	-17%	Low	Low	-1.2	62.0	-3.7	3.6	12.0	Neutral	On hold	Medium
Pakistan	0.0	28	20%	7%	High	High	0.1	84.0	-4.1	-0.4	11.6	Negative	On hold	High
Peru	-0.5	NA	34%	-6%	High	Low	-3.1	44.0	-2.2	1.2	14.8	Negative	On hold	Low
Philippines	-4.2	60	36%	5%	High	Medium	-4.6	106.0	-0.3	-3.5	8.2	Negative	On hold	Medium
Poland	-2.1	121	35%	2%	High	Medium	-3.0	76.0	-6.3	-0.8	5.7	Negative	On hold	High
Romania	-1.7	92	28%	0%	High	Medium	-1.9	105.0	-6.2	-6.6	6.0	Neutral	On hold	High
South Africa	-2.3	NA	19%	1%	Medium	Low	-5.8	92.0	-5.6	-1.2	5.6	Negative	On hold	Low
Sri Lanka	-4.5	35	47%	4%	Medium	High	-1.2	14.0	-6.5	0.5	4.5	Negative	On hold	High
Taiwan	-5.1	80	28%	19%	Medium	High	-3.1	4.0	-0.2	13.1	15.9	Negative	On hold	Medium
Thailand	-7.8	60	35%	11%	High	High	-6.2	55.0	-2.5	1.3	8.9	Negative	On hold	Medium
Tunisia	-4.0	60	21%	22%	High	High	-1.6	N/A	-6.0	-2.0	4.9	Negative	On hold	High
Türkiye	-3.6	94	7%	2%	High	Medium	-0.8	375	-0.7	-1.3	2.7	Neutral	Hike	Medium
Vietnam	-2.5	15	20%	2%	Medium	High	-1.1	8	-2.3	2.4	2.3	Negative	On hold	Medium

*in green central banks that were cutting before the conflict in the Middle East escalated

Sources: LSEG Datastream, Allianz Research

The shock is deeply asymmetric. A second tier of countries – including Chile, Hungary, India, the Philippines, Taiwan, Thailand and Türkiye – retains more policy space and access to private financing to absorb the pressure, while commodity exporters such as Azerbaijan, Brazil, Mexico and Nigeria may see partial offsetting gains from higher energy export revenues. In emerging Asia more broadly, growth is expected to remain resilient: the region has benefited from sustained AI-driven demand and largely outperformed in 2025, and while its exposure to the Hormuz closure is among the highest globally, the shock is expected to erode much of that upside rather than derail growth entirely. Central banks across emerging Asia, Latin America and Central and Eastern Europe are broadly expected to remain on hold, and several economies including Indonesia, Thailand, Czechia, or Mexico have put on hold their easing cycle. Brazil (mild easing) and Colombia (gradual hiking) are the main exceptions, driven by domestic election-cycle dynamics and diverging inflation trajectories.

The most immediate and universal spillover runs through energy prices. Asian economies are particularly exposed, sourcing 56% of their oil imports and 30% of their gas imports from the Middle East. If disruptions persist, the shock could shift from a price spike to a supply constraint: a prolonged disruption with oil prices doubling would require a 5% to 7% reduction in final energy consumption across energy-importing regions, amplifying the economic drag – though partial mitigation through substitution toward coal and renewables remains possible. In Central and Eastern Europe, higher oil and gas prices pass through relatively quickly into fuel costs and then more gradually into broader consumer prices, while household energy bills adjust more slowly where price caps or longer-term contracts remain in place. This comes at a delicate moment: in Poland and Hungary, the macro narrative had increasingly been one of disinflation, with rate cuts back on the table. The renewed energy shock risks interrupting or reversing that trend. In Latin America, rising oil prices complicate already cautious monetary stances, reinforcing the case for central banks to stay on hold for longer. Governments across all three regions will play an important role in shaping outcomes, with subsidies, tax measures and price controls able to soften the blow in the short term, but at the cost of greater fiscal strain.

Currency vulnerability amplifies the inflation shock in several exposed economies. In Central and Eastern

Europe, countries with weaker currencies face the risk that FX depreciation magnifies imported inflation and complicates the policy response. In Romania, already elevated inflation and deteriorated sentiment raise the danger of de-anchored expectations feeding further price pressures. Turkey is a specific case: a sharper depreciation of the lira could boost exports and widen profit margins for exporters, but would also entrench inflation regardless of the policy rate trajectory. In emerging Asia, currencies in Thailand, Pakistan, Indonesia and the Philippines have come under pressure since the escalation, adding a second layer of vulnerability on top of the direct energy shock. A closure of the Strait extending beyond three months would be particularly severe for economies carrying „triple deficits“ – fiscal, current account and energy – where higher import bills widen external positions while governments simultaneously face rising subsidy costs and financing pressures, forcing procyclical tightening. In this scenario, EM growth excluding China could fall to around +3.1%, implying a drag of at least -0.5pp. The most vulnerable countries in this group include Bangladesh, Egypt, Ethiopia, Jordan, Kenya, Morocco, Pakistan, Poland, Romania, Sri Lanka and Tunisia. For many of these economies, the external pressure is compounded by a distinct and underappreciated risk: their dependence on Gulf remittances. An extended conflict harming deeper economic activity could reduce remittance flows precisely when import bills are rising, creating a potential double squeeze on external accounts that could widen financing gaps and pressure foreign reserves – most acutely in countries with large share of population in the Gulf, in Nepal where GCC remittances represent 10% of GDP, as well as Sri Lanka (2.7%), Bangladesh (3.3%), Egypt (5.6%), Lebanon (13%) and Pakistan (4.7%).

The fertilizer price shock is a slower-moving but potentially severe transmission channel for agriculture-dependent economies. Countries with large farming sectors and limited fiscal space to absorb input cost increases – Kenya, Bangladesh, Indonesia, Pakistan and India among them – face the risk of sustained pressure on agricultural output and food inflation. Egypt and Jordan carry an additional exposure through tourism, as geographical proximity to the conflict is already weighing on arrival numbers. More broadly, countries such as Taiwan, Vietnam, Thailand, Pakistan, Bangladesh and Sri Lanka in Asia, and Egypt, Ethiopia, Kenya and Tunisia in Africa, would face acute price pressures spanning energy, critical materials and food.



Corporates navigating one crisis after another

The war in Iran is triggering a commodity shock beyond oil & gas that is sharply raising input costs across industries. The near-closure of the Strait of Hormuz has removed up to 20 mbpd of oil supply, equivalent to roughly one-fifth of global flows, marking the largest disruption on record. Brent crude has traded close to 120 USD/bbl and we expect prices to average 82 USD/bbl in 2026 (up from our previous forecast of 60 USD/bbl). The shock extends beyond energy: aluminum prices have risen to a four-year high, reflecting curtailed Gulf output and logistics bottlenecks. Fertilizer markets are similarly strained, with prices of nitrogen-based products like urea and ammonia up 30–40% amid disruptions to trade routes that account for roughly 30% of global supply. For corporates, this constitutes a textbook cost-push shock, with energy, metals and agricultural inputs rising simultaneously while pricing power remains constrained by rather weak demand from end markets.

In terms of sectors, the main winners are upstream companies, particularly non-Gulf producers with direct leverage to spot prices. Integrated oil majors would also benefit from short-term cash-flow uplift and stronger trading results, LNG exporters outside the Gulf could capture opportunistic margin increase in Europe and Asia, some refiners would be supported by firmer middle distillate cracks, while defense would also benefit from the current situation. The relative losers are airlines, which are not only contending with operational disruptions in the region but also facing higher jet fuel costs, with the crack exceeding USD 100/barrel, and limited ability to immediately pass these costs through to certain customer segments. Shipping companies (including cruise lines) are also facing higher fueling costs and are unable to increase freight rates as the market is in over-capacity. Other affected sectors include chemicals and petrochemical producers exposed to feedstock inflation and weaker downstream margins, gas-intensive European utilities sensitive to LNG repricing and political constraints on tariff adjustments and consumer discretionary sectors in energy-importing economies where temporary fuel inflation compresses real incomes and weighs on confidence.

On our watch list of the most impacted sectors we have fertilizers and helium.

Fertilizers will primarily impact agriculture and food production, especially in emerging markets. In South Asia, Latam and Africa, reduced input availability could see lower yields from 5-30%, depending on crops and regions. This would drive food price inflation, increase import dependency, weaken food security and eventually spur political instability. This impacts downstream into the food industry, where higher input costs could compress margins. While fertilizer trade flows are partially rerouted through road and alternative suppliers, this adjustment is costly, sustaining elevated prices. In contrast, helium shortages represent a significant disruption in a highly concentrated supply chain, with Qatar accounting for roughly one-third of global helium supply but over two-third of supply in countries like China and South Korea. Although helium is critical for a number of sectors from pharmaceutical to semiconductors, it is too early to be alarmist as disruption risks are limited today. Indeed, the industry has a number of buffers. Firstly, it was in oversupply prior to the war, secondly, there is a significant volume in US storages (2-3 month of Qatari output), and third, US producers can ramp up production, especially if prices are attractive. Some alternatives like low-intensive and optimized energy process (Korea), ramp-up local production (China) or long-term contracts with a diversified panel of suppliers have been observed since 2022. USA holds here a critical role as potential stabilizer of supply imbalances in Middle East but such a role can't be taken for granted at the light of recent past tensions over US tariff. We also keep an eye on aluminium and sulfur whose exports to European industries like automotive, aircraft, construction and packaging could be impacted by a longer conflict.

Second-round macroeconomic effects could materialize through weaker demand, tighter financial conditions and rising recession risks. Higher energy prices and higher food prices could feed directly into inflation, dampening purchasing power and further depressing consumers' confidence. Business surveys across the US, Europe and Asia already indicate slowing activity, declining confidence and rising input costs, raising the risk of stagflation dynamics. As we expect central banks signaling tighter policy, it would also translate into increasing borrowing costs for corporates and households. This is reinforcing the demand slowdown, particularly in discretionary sectors such as

consumer goods, auto, tourism, restaurants but also in higher rate-sensitive industries like construction and real estate. The combination of cost inflation and weakening demand could also create a negative feedback loop for firms, with capex deferrals, hiring freezes and inventory adjustments.

In this context, business insolvencies are projected to keep on increasing by at least +5% globally in 2026.

Expectations were already on the upside prior to the conflict, despite a fourth annual rise in 2025 that pushed insolvencies 19% above pre-pandemic levels. The US and Asia were expected to record noticeable rises and Western Europe a modest increase, with most countries within the -3%/+3% range i.e. indicating a plateau at a (very) high level. We have revised our initial forecasts slightly up to factor in the immediate implications of the war for energy markets, shipping costs, inflation risks and financial conditions. At this stage, we expect business insolvencies to rise by +2.5% in the Eurozone in our baseline scenario for 2026 (+2.4pps from our pre-war estimation, from +1.5% in 2025) and to extend by +8.6% in the US (+4.9pps, from our pre-war estimation, from +6.9% in 2025) as a result of the combination of lower demand, higher costs and tighter financial conditions – with obvious pressure for the most vulnerable, including energy-intensive sectors such as transportation (shipping, aviation, road transport), the chemicals complex and metals industries, as well as companies with weak pricing power or thin margins, debt-heavy firms, businesses with structurally higher working capital requirements (e.g. agri-food distribution, machinery and transport, equipment, electronics, pharmaceuticals, construction) and businesses heavily reliant on consumer credit (automotive, tech, real estate). Yet, the risk is on the upside: the longer the duration of the Middle East conflict, the stronger the impact on the insolvency outlook. Our downside scenario, involving a prolonged energy shock and falling economic growth, has the potential to boost business insolvencies close to +5% and +7% y/y in the Eurozone and APAC, respectively, and above +13% y/y in the US.



Capital markets outlook: Ultimately a function of geopolitics

Capital markets began 2026 in a relatively orderly fashion despite an already heavy news flow, but volatility picked up significantly following the outbreak of the Middle East war. Markets were showing notable resilience despite multiple geopolitical shocks, from the US intervention in Venezuela and transatlantic tensions around Greenland to the legal question mark over US trade policy and the selection of a new Fed chair. Rates remained range-bound, central banks were seen near neutral with anchored inflation expectations, the USD showed mild softness, equities held up and credit spreads stayed contained. Private markets on the other hand already captured a lot of headlines without triggering a wider contagion. But the Middle East conflict has shifted markets toward an energy-driven stagflation scare. Higher oil prices pushed yields up, and expectations for a much more hawkish central bank stance emerged amid

lifted inflation expectations. The USD strengthened, equities sold off (notably in Europe and EM) and credit spreads widened, albeit only moderately. Markets have become highly headline-driven. Nevertheless, our baseline outlook remains cautiously optimistic, with limited energy disruption and market distortions until year-end, given a near-term resolution of the conflict. In the downside, prolonged conflict scenario, with persistently higher oil and gas prices, the adjustment could be more severe, with higher rates, weaker equities, wider spreads and a clearer slowdown in private markets.

Table 5: Capital market forecasts

EMU	Last*	Unit	2023	2024	2025	2026f	2027f
Government Debt							
ECB deposit rate	2.00	%	4.00	3.00	2.00	2.25	2.25
10y yield (Bunds)	3.06	%	2.03	2.36	2.85	2.80	2.70
10y EUR swap rate	3.03	%	2.48	2.39	2.93	2.80	2.70
20y EUR swap rate	3.18	%	2.51	2.39	3.23	3.00	2.90
Italy 10y sovereign spread	94	bps	168	117	66	80	80
France 10y sovereign spread	72	bps	53	83	71	90	70
Spain 10y sovereign spread	53	bps	97	70	44	40	40
Corporate Debt							
Investment grade credit spreads	91	bps	135	101	78	95	90
High-yield credit spreads	309	bps	395	311	270	320	300
Equity							
Eurostoxx (total return p.a.)	-3 ytd	%	19	10	25	5	9

US	Last*	Unit	2023	2024	2025	2026f	2027f
Government Debt							
Fed Funds rate (high)	3.75	%	5.50	4.50	3.75	3.75	3.50
10y yield (Treasury)	4.42	%	3.87	4.57	4.16	4.50	4.10
Corporate Debt							
Investment grade credit spreads	88	bps	104	82	79	95	90
High-yield credit spreads	321	bps	334	292	281	330	320
Equity							
S&P 500 (total return p.a.)	-5 ytd	%	26	25	18	6	11

UK	Last*	Unit	2023	2024	2025	2026f	2027f
Government Debt							
BoE rate	3.75	%	5.25	4.75	3.75	4.00	3.25
10y yield sovereign (Gilt)	4.97	%	3.54	4.57	4.47	4.60	4.20
Corporate Debt							
Investment grade credit spreads	91	bps	134	91	80	115	105
High-yield credit spreads	462	bps	515	364	420	518	480
Equity							
FTSE 100 (total return p.a.)	1 ytd	%	8	10	26	7	8

Emerging Markets	Last*	Unit	2023	2024	2025	2026f	2027f
Government Debt							
Hard currency spread (vs USD)	185	bps	215	202	163	200	195
Local currency yield	6.29	%	6.19	6.39	5.87	6.30	6.00
Equity							
MSCI EM (total return p.a. in USD)	4 ytd	%	10	8	34	8	9

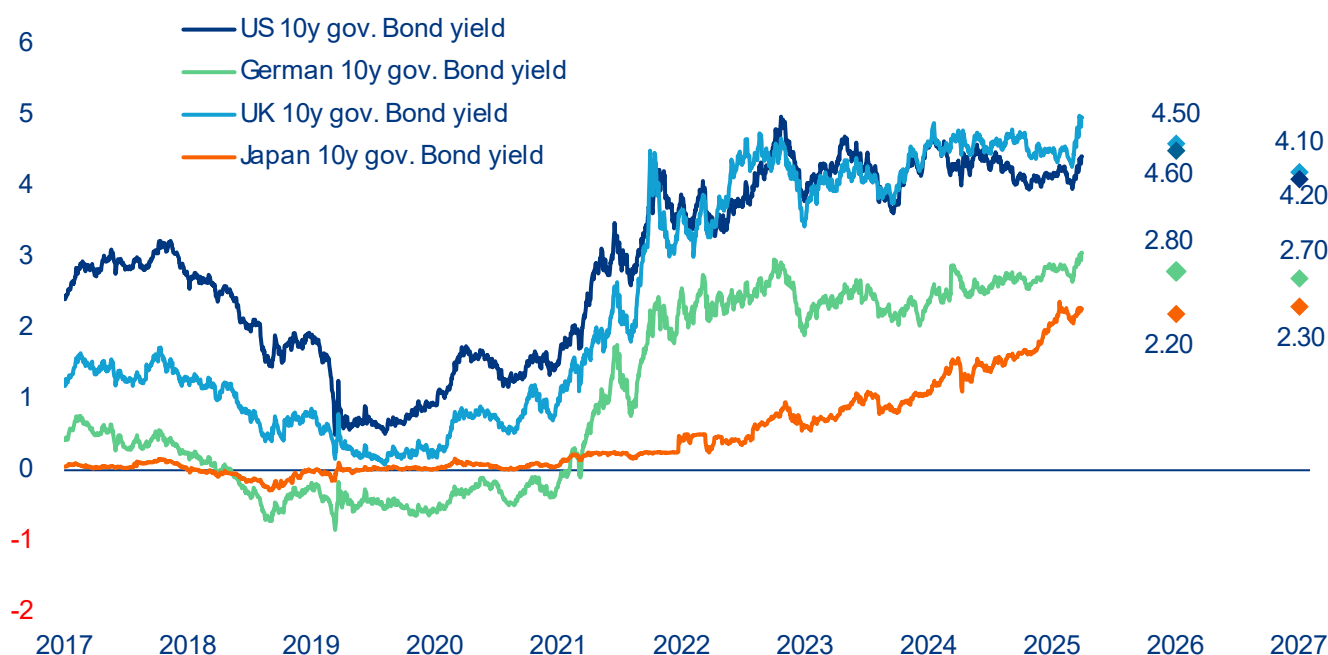
FX & Commodities	Last*		2023	2024	2025	2026f	2027f
EUR USD	1.15	\$ per €	1.10	1.04	1.17	1.15	1.17
Oil (Brent)	113	\$ per bl	78	75	61	78	72
Natural gas (Dutch TTF)	55	€ per MWh	32	49	28	40	30

Sources: LSEG Datastream, Allianz Research

With monetary policy expectations pivoting, global yield curves are giving a stagflationary signal. The shock on global energy markets has led to a complete pivot of monetary policy expectations. The dominating late-cycle easing bias has been replaced by a hawkish narrative focused on central banks hiking quickly to avoid the 2022 transitory-inflation mistake. Short-term yields rose sharply as investors priced in an energy-driven inflation shock, while long-term yields did not keep pace, producing a strong bear flattening move. This is a strong stagflationary signal where near-term inflation premium dominates while the growth drag caps ultra-long yields. In the Eurozone, the short-term rates sell-off was particularly strong, shadowing the price movement of oil and natural gas markets. With markets pricing almost three ECB hikes this year, we see some exaggeration here while the 10-year Bund trades at fair levels. In the US, the front end is repricing near-term inflation risk faster than the long end is absorbing growth deterioration. The 30-year Treasury continued its own logic, with the 10s30s sector behaving mostly as a

pure term-premium and fiscal risk asset. The UK saw the most violent repricing, with the biggest single-session jump in two-year Gilts since the Truss Mini Budget of September 2022. The rising yield volatility is not only due to investors adjusting their expectations but also a signal of growing liquidity stress. US Treasury repo markets had been fragile before the Iran war, transitioning from abundant to ample Fed reserves, with dealers reporting stressed episodes and growing concern about the market's capacity to absorb increasing Treasury issuance. Also in Europe, repo costs are rising as the ECB continues to drain excess liquidity via Quantitative Tightening, limiting arbitrage opportunities at short-dated maturities and putting upside pressure on funding rates. This liquidity stress is most visible in the front end of the EUR swap curve where Euribor vs. €STR spreads began to edge wider, a signal that the excess-liquidity buffer is thinner than markets had assumed. Therefore swap spreads in Europe are expected to continue narrowing.

Figure 7: Rates forecasts, %



Sources: LSEG Datastream, Allianz Research

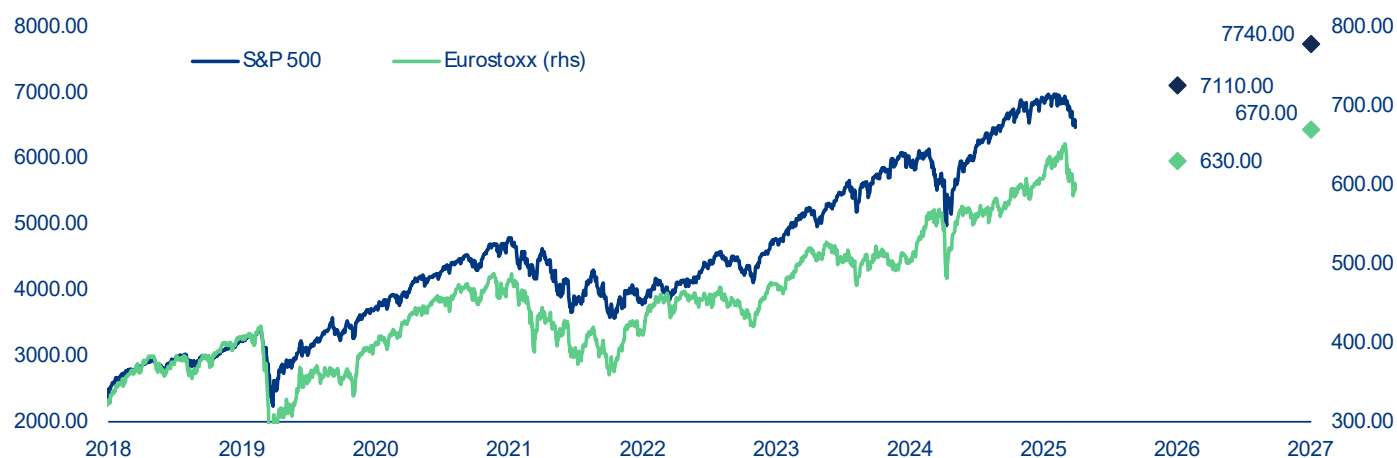
The convergence trend among European government bond yields is being challenged. In the European government bonds (EGB) market, spreads versus the German Benchmark have been widening markedly. Italian BTPs have been punished more than French OATs as markets were digesting more supply, repricing Italy's strong exposure to natural gas risk and unwinding more leveraged carry positions. The dominating EGB convergence trend is now being challenged as markets reassess fiscal risk in the light of government measures to contain energy price pressure. However, the convergence trend could regain traction in case a common European program such as Next Generation EU (NGEU) is launched to face the looming energy crisis. ASW spreads are under widening pressure as risk aversion seems to dominate monetary policy positioning, meaning sovereign sell-offs outpaces swap rate repricing. We forecast the BTP–Bund spread at 80bps for 2026 and 2027. We see OAT–Bund rising to 90bps in 2026 in advance of the presidential elections before returning to 70bps in 2027.

The euro has given away some of its earlier gains after the outbreak of the Iran war, underscoring the US dollar's enduring role as a safe-haven asset. The EUR/USD exchange rate retreated from a high of 1.20 at the end of January to as low as 1.14 in March. Before the conflict, the dollar had been weighed down by policy uncertainty in the US, ranging from tariff disputes and government shutdowns to questions over the next Federal Reserve chair. As these issues became clearer – and as geopolitical risk in the Middle East materialized – global demand for the dollar revived. We expect dollar demand to remain firm through the year amid persistent geopolitical uncertainty, but a gradual softening

remains our base case over the longer horizon. The US administration is unlikely to become substantially more predictable, and periodic threats toward both allies and rivals cannot be excluded. As a result, global investors will continue their gradual efforts to diversify away from the dollar, insofar as viable alternatives are available.

Global equity markets enter Q1 2026 facing an outlook that is more asymmetric than valuations currently suggest. Earnings momentum remains present on both sides of the Atlantic, but the profit cycle is now increasingly vulnerable to a confidence shock that could flip revision trends rapidly and without much warning. The US market, pricing near-perfection at ~21.8x forward P/E, leaves no room for earnings disappointment – and on an equal-weighted basis the market screens even richer, with the S&P 500 EW P/E above its long-run average, implying that prices would need to fall by roughly 2% to revert to historical valuation norms before any earnings damage has even occurred. Europe's relative discount at ~15.7x is not yet a catalyst for outperformance, but it does provide meaningful cushion in a risk-off environment and continues to attract structural inflows from investors reducing concentrated US exposure. The broadening of market breadth beyond mega-cap technology, while encouraging, remains fragile and dependent on a macro backdrop that is now materially less certain than it appeared entering the year. In this context, the baseline scenario still supports modest positive returns, but the distribution of outcomes has widened considerably – and the tails are not symmetric.

Figure 8: Equity forecasts, index



Sources: LSEG Datastream, Allianz Research

The risk that dominates the equity outlook this quarter is not one that earnings models capture well.

It is a confidence shock, and confidence shocks compress multiples before they cut profits. In a contained deterioration scenario, markets drift lower as uncertainty suppresses capital-allocation decisions and PE multiples settle back toward long-run averages – a move that alone would represent a meaningful correction from current levels given where the S&P 500 is trading relative to its own history. Even so, expected EPS growth for 2026 remains positive, with the S&P 500 projected at 17.4% and the STOXX 600 at 13.8%, but Europe's earnings base is structurally more exposed to a growth shock. In a severe scenario, the combination of multiple compression and an earnings revision cycle turning sharply negative could produce drawdowns of 20 to 25% in the US and approaching 30% in Europe, where energy sensitivity and cyclical sector exposure amplify the shock. If the ECB were to add another rate hike, it would further dampen valuation support in Europe and disproportionately pressure Eurozone earnings via higher discount rates and weaker confidence effects. Entry signals for adding equity risk remain unconfirmed – technicals are under stress without yet reaching a high-conviction contrarian point – and the appropriate posture is one of patience, selectivity across regions and sectors and a disciplined bias toward quality earnings over growth optionality for the duration of the quarter.

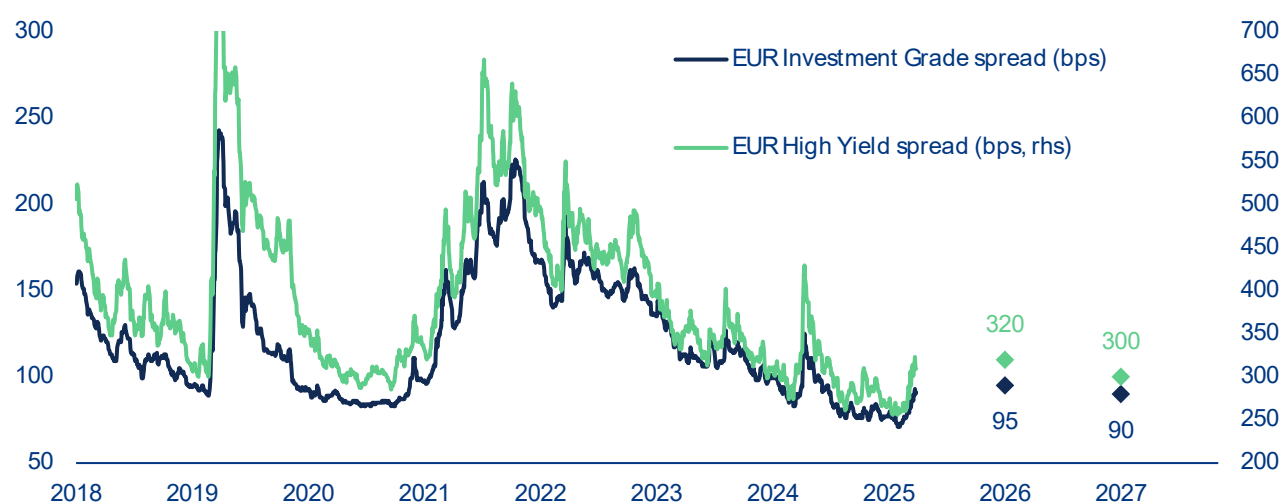
Global credit spreads have widened nearly 25% over the last three weeks, but absolute spreads remain at a tight level due to the historical tight levels pre-Iran-war. Stagflation concerns and higher equity and rates volatility keep the weight on credit spreads, and as the distribution of outcomes is clearly skewed to the downside, investors must take the tail scenario seriously. Against this backdrop, our baseline projects Euro and US IG spreads peaking at 115bps – a level consistent with the "Liberation Day" shock of April 2025 – before tightening to 95bps by year-end. In our downside scenario, where disruption proves more prolonged, IG spreads could reach 150bps. Euro high yield is expected to peak at 400bps in the base case, before recompressing to 320bps as risk appetite recovers through the second half of the year. And in downside scenario, HY spread can go up to 440bps, with limited recovery prospects.

Investment grade spreads are enough to cover downside risk, but not yet attractive on an outright basis. Combined downgrade and credit losses even in the stress year of 2022 amounted to roughly 30bps, well within the current ~90bps buffer – even counting in liquidity cost. But the entry point does not offer a compelling risk/reward as the room for further widening is larger than that for tightening. Within IG, financials are less attractive than non-financials: senior bank debt offers no meaningful spread pick-up over industrial

peers, yet carries higher sensitivity to macro and rate volatility. CDS became more attractive than cash bonds as investors actively hedge with CDS and the spread gap between cash bonds and CDX is narrowing. High yield is more exposed on multiple fronts: Fundamentals are more fragile, liquidity is thinner and the asset class has spread volatility under adverse events. While the relative value of HY versus IG has improved meaningfully and may appear attractive, we should bear in mind that in downturn HY/IG spread ratio can go even higher, as in 2020. It means if escalation continues

and stagflation fears prevail, HY spreads widening could accelerate compared to IG. Therefore we retain our negative HY view: at current spreads of ~300bps, there is barely enough cushion to absorb potential credit losses in a stress scenario, where annual credit loss rates can exceed 3%. This is not good timing for chasing yields, but with spreads widened more than 40bps, opportunities may occur – if spreads widen beyond average and downside risks diminish.

Figure 9: European credit spread forecasts, bps



Sources: LSEG Datastream, Allianz Research

Securitized credit is our preferred area of the market, offering resilience at low opportunity cost as collateral quality and structural protection layers remain solid.

Within the sector, covered bonds are attractive given a meaningful pick-up over unsecured bank debt at minimal additional risk. We prefer ABS most, where wider spreads and floating-rate structures provide both income and a natural hedge should inflation re-accelerate or rate cuts reverse.

Beyond the geopolitical shock, private credit concerns, software sell-off and oversupply by hyperscalers also put pressure on spreads.

The risk of forced selling into public credit markets adds a layer of spread vulnerability that is difficult to time but should not be ignored. Therefore we keep a cautious stance at this moment, preferring higher quality securitized and IG than HY and financials.

Emerging markets entered this geopolitical crisis on a strong footing, supporting a selective but still investable opportunity set.

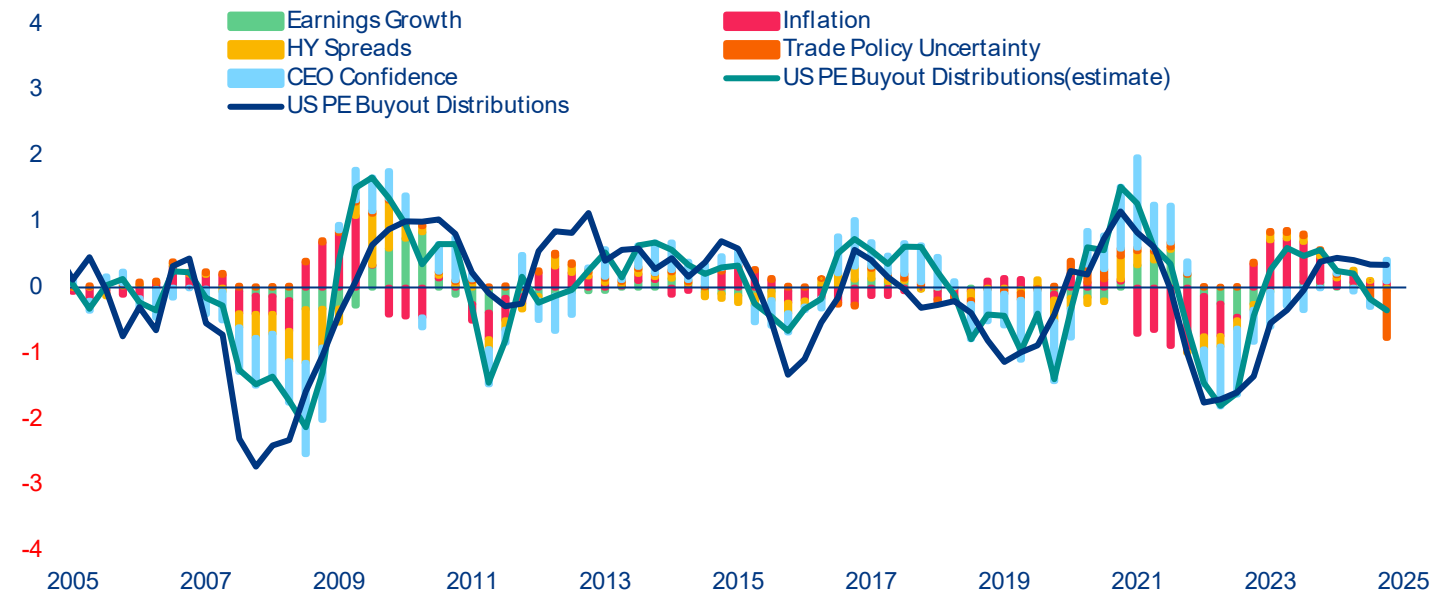
The Middle East escalation primarily represents an inflationary energy shock in the near term, with limited growth impact if disruptions remain contained. However, a prolonged impairment of energy flows through the Strait of Hormuz would materially increase cross country dispersion across EMs, driven by energy dependence, external balances and fiscal space. From an investment perspective, we expect repricing to take the form of a targeted energy risk premium rather than a systemic EM sell off. Vulnerabilities are most pronounced in sovereigns combining fiscal deficits, current account gaps and high energy import reliance, including Egypt and parts of Central and Eastern Europe, where higher energy prices would quickly translate into inflation pressure, currency weakness and wider spreads. By contrast, commodity exporters and structurally more resilient EMs such as Brazil, Mexico, Colombia and Indonesia benefit from positive or offsetting energy balances, stronger buffers

and greater policy flexibility. EM hard currency debt remains attractive on a selective basis, supported by still favorable carry and materially improved market access compared with past stress episodes, though caution is warranted toward the most energy exposed credit. At the same time, EM local-currency debt offers relative value, as elevated real yields and partial inflation repricing create opportunities in markets with credible policy frameworks, adequate reserves and anchored inflation expectations. Overall, we maintain a neutral to constructive stance on EM debt, with performance driven by country selection, resilience to energy shocks and disciplined risk management.

Private markets – Positioning through the fog. Over the past two decades, private markets have shown their portfolio value through a variety of returns, income streams and access to value-creation mechanisms that are not, traditionally, available in public markets. This structural case remains intact. However, the current economic climate, characterized by decelerating growth, persistent inflation and rates that are likely to remain elevated, is exerting significant pressure on commodity and freight markets. This creates meaningfully different conditions across sub-asset classes. The 2022 episode demonstrated the vulnerability of private markets as surging energy prices, hawkish central banks and rapid multiple compression resulted in the worst simultaneous equity and bond drawdown in a generation. Distributions froze, markdowns materialized and the denominator effect left allocators overexposed precisely when liquidity was scarce. The lesson is not to retreat, but to increase discrimination, favoring strategies with inflation linkage, contractual cash flows and secular demand drivers, while approaching segments dependent on exit multiples, cheap leverage and benign financing conditions with commensurate caution.

Private equity – value locked but distributions

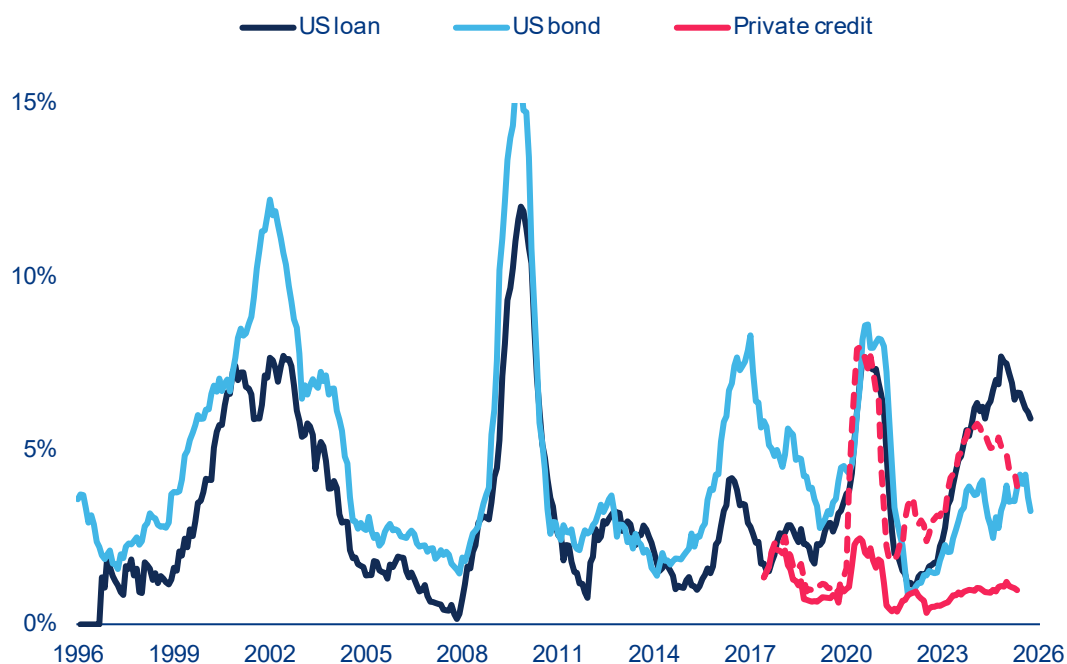
challenged. Private equity faces a distribution problem during this cycle that has yet to be resolved. Buyout funds currently hold a record USD3.8trn in unrealized value, holding periods have stretched toward seven years, and mid-market exits remain effectively frozen. As the chart illustrates, PE distributions are acutely sensitive to inflation spikes and trade policy uncertainty, the two shocks now hitting simultaneously, making the 2022 distribution collapse a direct and uncomfortable precedent for today's setup. The Iran shock has further compounded the pressure. Margin compression from higher energy and transport costs, elevated refinancing rates and weakening consumer spending are all bearing down on portfolio companies at once. Meanwhile, software-heavy portfolios remain exposed to AI-driven multiple compression that has yet to fully pass through to private marks. This necessitates patience and a discerning approach to selection. However, the fundamental case for this asset class remains sound. A resolution of the Middle East conflict would materially improve the exit backdrop, easing financing conditions, restoring M&A confidence and unlocking a substantial pipeline of mature assets that are ready to transact. In the long term, private equity continues to provide opportunities for value creation that are not available in public markets. Investors who are willing to tolerate near-term distribution delays are likely to receive positive returns as the cycle changes (Figure 10).

Figure 10: US private equity distributions breakdown (y/y change in Z-scores)

Sources: Pitchbook, Allianz Research

Private debt offers attractive carry, but investors should respect the tail risk. Private debt enters the current shock as one of the better-positioned private market sub-asset classes, but the margin for error is narrowing. The asset class's floating-rate structure provides a genuine income advantage as central banks adopt a hawkish stance. Additionally, middle-market direct lending spreads continue to command a significant premium over liquid credit. With this in mind, private credit default rates have remained structurally below those of public loans and bonds across every major cycle, including 2020. This is a track record reflecting both structural seniority and the hands-on lender oversight that public markets cannot replicate. However, this historical resilience should not lead to complacency. The current economic environment, characterized by stagflationary risk, poses significant challenges for leveraged borrowers on both sides of the Atlantic.

Margins are being compressed due to rising energy and input costs, and the cost of refinancing is increasing at a time when coverage ratios are deteriorating. PIK-paying loans currently account for approximately 13% of total BDC loan assets, maintaining a steady position close to recent highs. However, with approximately USD1.2trn in leveraged debt set to mature between 2027 and 2029, the upcoming refinancing challenge is substantial. With this in mind, direct lending still retains its appeal due to its income and seniority characteristics, but the current environment warrants a more defensive posture than at any point in the past two years. Vintage and sector selectivity are paramount, energy-intensive and over-levered borrowers should be avoided and allowing the stagflationary dynamic to play out is prudent (Figure 11).

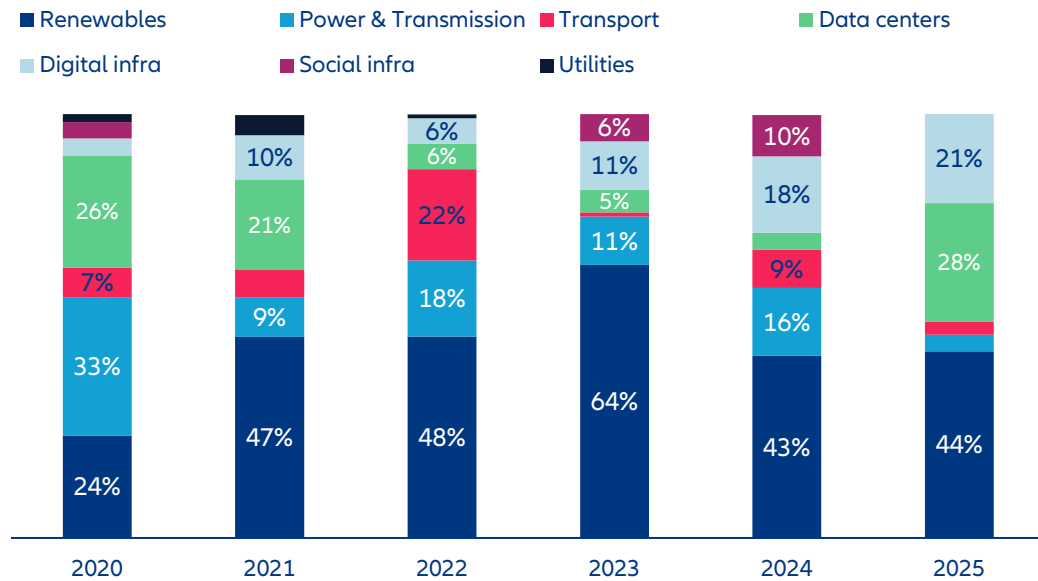
Figure 11: US public and private credit default rates, %

Source: Moodys, S&P Global Ratings. Private Credit: S&P Global Ratings. Dotted line includes distressed debt exchanges as default events.

Infrastructure – The structural winner. Infrastructure stands apart as the asset class best positioned to deliver resilient performance across a range of macro outcomes, and the Iran shock has only reinforced its investment case. Regulated tariffs, CPI-linked concession agreements and availability-based contracts provide precisely the inflation hedge allocators need when growth is slowing and price pressures are persistent. The fundraising composition tells its own story: data centers have surged from a negligible share of infrastructure capital in 2020 to 28% in 2025, reflecting the AI-driven electricity demand revolution now underway. US data centers consumed roughly 4% of national electricity

output in 2024, with demand projected to more than double by 2030. The Middle East escalation has further intensified urgency around energy security, reinforcing tailwinds that were already building across power generation, grid modernization and digital infrastructure. With cumulative global investment needs estimated at USD106trn through 2040, private capital is increasingly being called upon to fill the gap, and at current valuations power generation, grid services and data-center adjacencies continue to offer attractive entry points (Figure 12).

Figure 12: Infrastructure fundraising mix, %

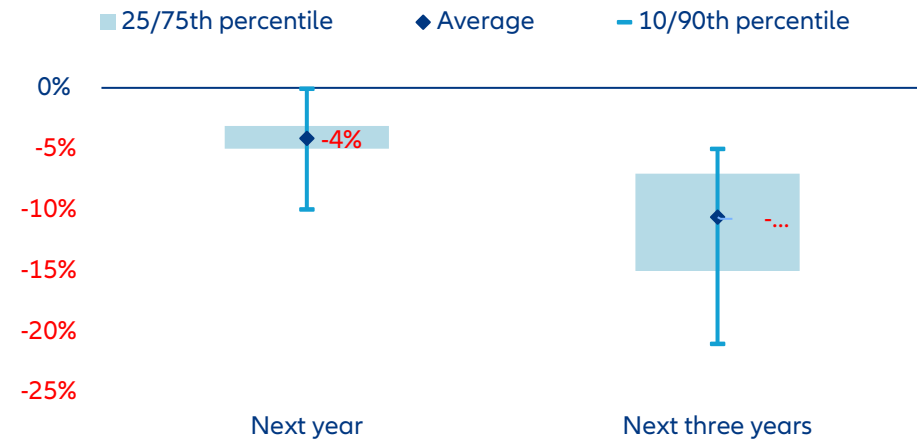


Sources: Infrastructure Investor, Allianz Research

Real estate – navigating the bifurcation. Real estate faces a confluence of pressures that makes the current conditions one of the most challenging in a decade. The Iran shock is adding a stagflationary layer, with slowing growth, persistent inflation and rates remaining higher for longer likely to compress valuations and strain refinancing conditions across the asset class. Well over USD1.5trn in commercial real estate loans will reach maturity by end-2026. The office sector faces a particularly uncomfortable combination of cyclical and structural headwinds. National vacancy rates remain near 20%, and while there are tentative signs of stabilization in prime space, the structural forces bearing down on demand are intensifying rather than easing.

Working from home has permanently reduced space requirements for many occupiers, and AI is now emerging as an additional and underappreciated headwind: while only 11% of US companies are actively cutting headcount today due to AI, corporate headcount is expected to contract by -4% over the next year and -11% over the next three years, a trajectory that points to a sustained softening in office demand beyond the current cyclical weakness. Beyond offices, the picture is more selective but more constructive: multifamily benefits from constrained supply and persistent affordability pressures; industrial and logistics are regaining supply-demand balance and data centers provide AI-driven structural demand largely uncorrelated with the broader cycle (Figure 13).

Figure 13: Expected headcount changes due to AI adoption, next one and three years, %



Sources: Goldman Sachs, Allianz Research

A photograph showing a group of diverse hands of various skin tones stacked on top of each other, resting on a thick, textured tree branch. The background is a lush green forest with sunlight filtering through the leaves. The text "Our team" is overlaid in the center, with "Our" in white and "team" in orange.

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AI capex cycle: war-proof for now

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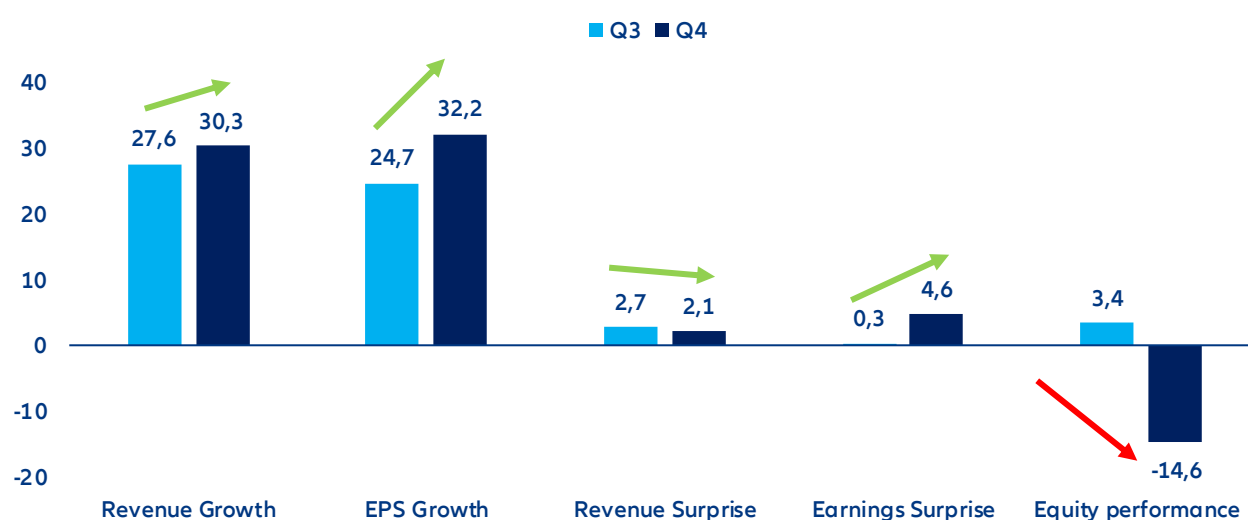
In Summary

- **AI hype deflates amid the capex-monetization debate.** Despite strong recent earnings, investor focus has shifted from profitability boost to revenue growth trajectory and cash-flow visibility, particularly given hyperscalers' elevated capex plans (≈USD 575bn, +50% expected in 2026) and weakening sentiment toward software amid risks of AI-driven revenue dilution. Our [AI Bubble Risk Monitor](#) continues to signal moderate bubble pressures: exuberant positioning has cooled, but widening credit spreads send signals of a higher market sensitivity over balance-sheet quality. Rising geopolitical tensions in the Middle East have further reinforced a rotation away from high-valuation tech as risk-off dynamics regain prominence.
- **The higher volatility regime will test the AI development regime, but the capex supercycle remains intact for now, supported by strong, counter-cyclical demand.** Technology capex has historically been sensitive to the macroeconomic environment and notably energy shocks as new inflationary pressure often results in higher interest rates, and consequently higher investment costs. In the US, tech is among the capital-intensive sectors most negatively impacted by severe energy price variations (~30% correlation) but unlike energy, basic materials and utilities, the drop in investment does not result from windfall benefits stirred up by price effects. Nevertheless, hyperscalers' dominant market positions and substantial cash reserves reduce sensitivity to macroeconomic and geopolitical shocks. In parallel, public-sector investment is accelerating, driven by digital sovereignty and infrastructure build-out agendas. The data-center pipeline is robust (x2 at ~200GW by 2030) and momentum remains resilient despite geopolitical tensions, as illustrated by Germany's plan to double its capacity over the same horizon.
- **Energy volatility may reshape capex allocation rather than overall scale.** While near-term spending levels appear secure, the current concentration in data centers and cloud infrastructure could evolve. AI-related orders benefit from priority access within semiconductor supply chains, limiting immediate exposure to potential disruptions in South Korea and Taiwan linked to LNG and helium supply risks. However, a further ~50% increase in chip costs – as seen in Q1 2026 – could delay project timelines and accelerate the shift toward leasing models to share capital intensity (with estimated savings of 20–30%). At the same time, the case for expanding critical equipment and raw material production outside Asia is strengthening as current tensions expose the risks of supply-chain concentration and may rebalance investment away from the current bias toward software and computing services.
- **How are markets trading the "AI theme"? Focus is shifting from efficiency gains to revenue delivery.** While consensus broadly reflects current momentum, it is increasingly exposed to execution risk on both capex discipline and revenue realization. Valuations – mid-20s P/E for large caps – remain broadly justified but are vulnerable to short-term rotations in a high-volatility environment. The long-term outlook remains supportive, with capex anchored in tangible infrastructure orders that are partly decoupled from the pace of AI adoption. However, value creation is likely to be uneven across the technology stack, with relative winners in semiconductors and telecom equipment, and more challenged segments in software and consumer electronics.

AI cycle: capex monetization debate steals the show during last earnings season

The Q4 2025 earnings season confirmed the fundamental resilience and growth of the global technology sector. The NYSE FANG+ Index – our preferred gauge for tech and tech-enabled growth companies – showed robust financial performance in the most recent quarter. Aggregate results extended on previous strong delivery on expectations, with revenues rising by roughly +17% year-on-year and earnings by around +25%. Each of the leading tech firms exceeded estimates, on average by about 0.5% on sales and 1.6% on earnings across all constituents. Corporate guidance remained constructive, best highlighted by Meta's 5-10% upward revision to its sales outlook. Software companies also highlighted the fundamental potential of AI amid amplified concerns about the potential cannibalization of traditional service lines in areas such as legal, consulting and financial services.

Figure 1: Large-cap tech earnings season compared to past quarter (to end February i.e. pre-Iran war)



Note: Equity performance refers to the three-month period to the end of reporting season and relative to S&P Equal Weighted.
Sources: Bloomberg, Allianz Research

Table 1: Earnings & revenue surprise and annual growth among listed US technology firms

	EPS			Revenue		
	Surprise	YoY%	Next quarter rev.	Surprise	YoY%	Next quarter rev.
Computer Hardware	7%	11%	0.0%	3%	7%	0.0%
Computer svcs	8%	15%	-2.1%	1%	11%	0.0%
Consumer digital svcs	11%	23%	-1.0%	1%	10%	0.0%
Consumer non-digital svcs	1%	-11%	-9.4%	0%	15%	-0.4%
Consumer electronics	16%	33%	2.2%	4%	14%	1.7%
Electrical & Electronic Components	7%	32%	0.0%	3%	17%	0.0%
Electronic equip.	4%	8%	-0.1%	2%	8%	0.0%
Tech equip. manufacturing	6%	2%	1.9%	2%	8%	1.9%
B2B Services	5%	14%	-0.6%	1%	6%	0.0%
Semiconductor	6%	29%	0.1%	1%	16%	0.0%
Software	8%	20%	0.0%	2%	14%	0.1%
Telecommunications equip.	12%	19%	0.6%	2%	19%	0.4%
Telecom svcs	1%	68%	0.0%	1%	2%	-0.1%
Transaction Processing Services	11%	22%	0.2%	2%	11%	0.2%

Data as of 10 March 2025 based on a sample of 383 companies. Sources: LSEG Datastream, Allianz Research

AI capex is set to continue increasing further in 2026, alongside investors' concerns. AI capex remains the defining market debate in 2026 as technology leaders race to build computing capacity they believe will secure – and deepen – their dominant position in a world where data and processing power are becoming strategic geopolitical assets. After rising ~60% in 2025, US Big Tech investment is expected to climb another +50%, surpassing USD600bn and lifting capex intensity to roughly 23% of revenue, more than double pre-ChatGPT levels. Tech now operates with higher capital intensity than telecom operators, whose investment ratios have declined as innovation shifts toward specialized satellite startups. Yet concerns are mounting: monetization timelines remain uncertain, power infrastructure expansion is lagging data-center demand (utilities capex +20% in 2025, +15% in 2026) and investors increasingly question funding massive spending cycles without the dividends or buybacks traditionally used to compensate capital-heavy business models.

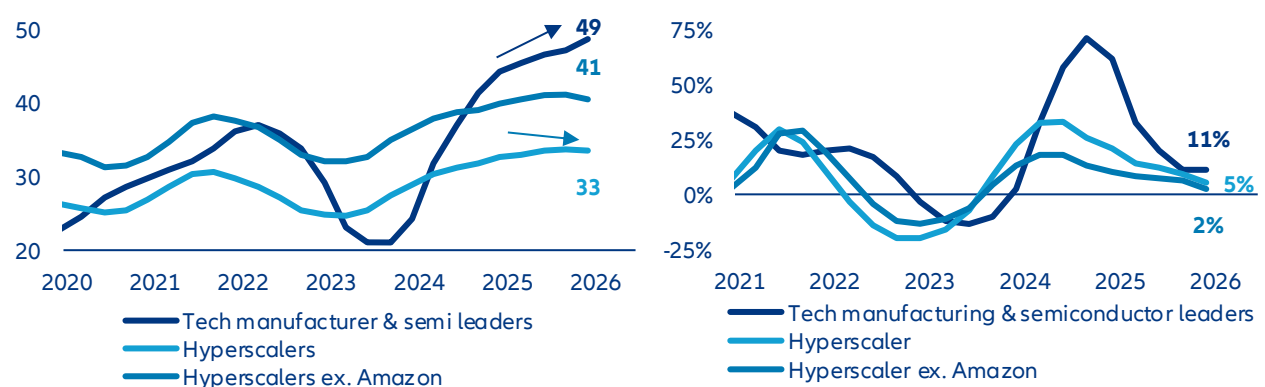
Table 2: Capex growth and intensity over revenue from top 50 biggest spenders within S&P 500 index, per industry breakdown

Industry	End-2023		End-2024		End-2025		End-2026	
	Capex ratio	YoY	Capex ratio	YoY	Capex ratio	YoY	Capex ratio	YoY
Technology*	11%	-4%	14%	44%	19%	58%	23%	50%
Telecom**	16%	-8%	15%	-4%	14%	0%	13%	-5%
Utility***	41%	11%	43%	4%	46%	20%	50%	15%

Sources: LSEG Datastream, Allianz Research

Markets are now questioning how long exceptional margins can last. Investors increasingly doubt the sustainability of profits boosted by quasi-monopolistic positioning and temporary demand–supply imbalances. Early signs from hyperscalers point to easing profit momentum, while Q4 2025 results – despite a +7% median earnings surprise and +17% annual growth – triggered no upward revisions to next-quarter estimates, reinforcing the idea of a profitability cap. Revenue growth remains solid but uninspiring (+2% median surprise vs. +12% for annual growth), reflecting expectations of gradual AI adoption constrained by regulation, costs, trust gaps and skill shortages. As margin expansion normalizes, markets are shifting attention to whether revenue acceleration can compensate, with IT and telecom services seen as most exposed to substitution risks and profit dilution.

Figure 2: Operating margin & profit-revenue growth gap of AI tech leaders* and hyperscalers



*Nvidia (chip design), ASML (chip equipment), TSMC (foundry), SK Hynix (memory chip manufacturer). Data as of Q4 2025. Sources: LSEG Datastream, Allianz Research

Our [AI Bubble Risk Monitor](#) continues to hint at moderate bubble pressures, though the underlying drivers have changed to some extent. Fundamental developments around adoption momentum, data center vacancy rates and GPU product-cycle dynamics remain reassuring. Energy-market developments need watching but see no increase in risk. Meanwhile, exuberant expectations have deflated somewhat reducing the risk of an abrupt market setback triggered, for instance, by an earnings disappointment. In fact, equity positioning, the bear market indicator and 12m forward PE have all come down to more moderate levels over the past three months. Financial risks are on the rise – albeit moderately – and market signals are now flashing red when it comes to US investment grade tech spreads, which have recently moved to bubble-like territory, likely reflecting AI challenging software firms. But overall, bubble risks look less pronounced compared to a month ago. At this stage, tail risks over the long run remain contained but some shadow areas on the pace of capex monetization and rapid cash balance deterioration require monitoring, especially because capex is expected to continue increasing at a rapid pace this year, and because imbalances generated by this massive flow of funds could be broader than cashflow.

Table 3: AI Bubble Risk Monitor

		Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Latest (Feb 25)
Market Signals	Indicator									
	12M price return	2	1	1	1	0	0	0	0	1
	S&P 500 12M yoy breadth	0	0	0	0	0	0	0	0	0
	Data Center Spreads	0	0	0	0	0	0	0	0	0
	US IG Tech spread	0	0	0	0	0	0	0	0	0
	US HY Tech spread	0	0	0	0	0	0	0	0	0
	US HY Tech vs HY spread	0	0	0	0	0	0	0	0	1
	US IG Tech vs IG spread	0	0	0	0	0	0	1	2	3
	S&P 500 1Y implied vola	0	0	0	0	0	0	0	0	0
	10Y Treasury Yield	1	2	0	1	2	1	1	0	1
Exuberant Expectations	S&P 500 Put/Call-ratio	0	0	0	0	1	0	0	0	0
	Long-term earnings growth	0	0	0	0	0	0	0	0	0
	Earnings revisions (3M)	3	3	3	3	3	3	3	3	3
	Tech EPS forecast dispersion	0	0	0	0	0	0	0	1	1
	EQ positioning	1	0	0	1	0	0	1	2	0
	Bear market indicator	0	0	1	2	3	3	3	3	2
Financial Risks	12M forward PE	1	1	1	1	1	0	1	1	0
	Net-debt-to-equity ratio	0	0	0	0	0	0	0	0	0
	Cash on balance sheet as % of market value	0	1	1	1	1	1	1	1	1
	TED spread	0	0	0	0	0	0	0	0	0
	Cryptocurrency volatility	1	0	1	1	0	0	0	0	1
	Hyperscalers CapEx/Cash flow from operating activities	0	0	0	0	0	1	1	2	2
Fundamentals	US 5Y5Y Forward Expected Inflation	0	0	0	0	0	0	0	0	0
	Current Usage of AI	1	1	0	1	0	0	0	0	0
	Expected Usage of AI	2	1	0	0	0	0	0	0	0
	DC power demand vs generation supply growth							2	2	2
	Power capacity queues	1	1	1	1	1	1	1	1	1
	Electricity prices	0	0	0	0	0	0	0	0	0
	Operational Health	0	0	0	0	0	0	0	1	0
	Capex-to-sales level	1	1	1	1	2	2	2	2	2
	Data center pipeline (construction vs. committed)	0	0	0	0	0	0	0	0	0
	Data center vacancy	0	0	0	0	0	0	0	0	0
	Product cycle of GPUs	1	1	1	1	1	1	1	1	1

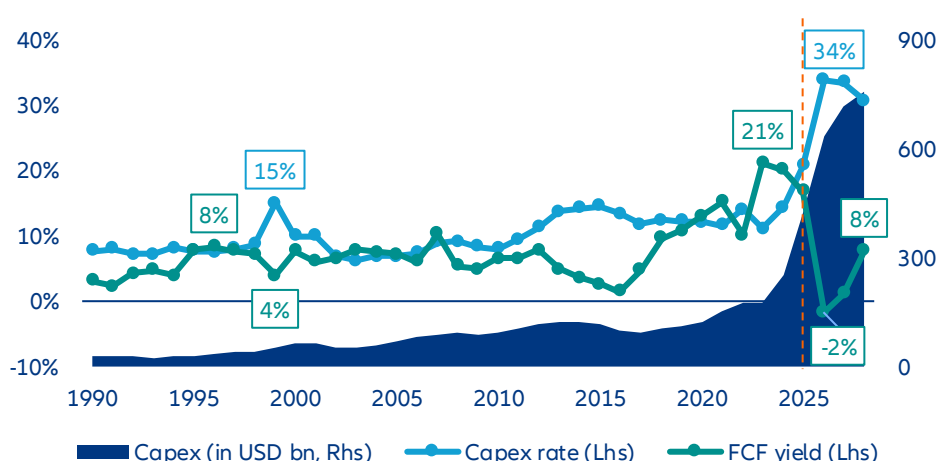
Legend normal elevated overheated bubble-like

Source: Allianz Research. Note: In addition to general market indicators, where applicable we also monitor AI sub-segments via equity baskets. The monitor assigns scores to each signal 0 = normal, 1 = elevated, 2 = overheated and 3 = bubble-like to help aggregate and compare diverse developments within and across dimensions. Thresholds for scores are derived statistically where long-time data series are available but also via expert judgement

Investment cycle: resilient to geopolitical tensions but watch for an allocation shift

Holding the capex intensity no matter what. The five largest US technology spenders are on course to commit over USD600bn in capital expenditure in 2026 alone – part of an estimated USD2.1trn deployment across 2026–2028 – driving capex intensity to 34% of revenue, more than double the 15% peak seen at the height of the 1990s internet buildout. Figure 3 tells the story starkly: absolute capex is now in vertical ascent, free cash flow is turning negative for the first time in 35 years and the inflection is sharper than anything in the modern history of listed US firms. Growth in capital spending will decelerate – from 51% in 2026 to 13% in 2027 and roughly 5% in 2028 – but that deceleration reflects the natural digestion of an extraordinary base, not a change of conviction. These firms are deliberately engineering a year of negative free cash flow because they have concluded that the revenue potential of AI justifies the sacrifice: technology penetration into enterprise and consumer segments is inherently gradual, and the returns on infrastructure laid today will accrue over years, not quarters.

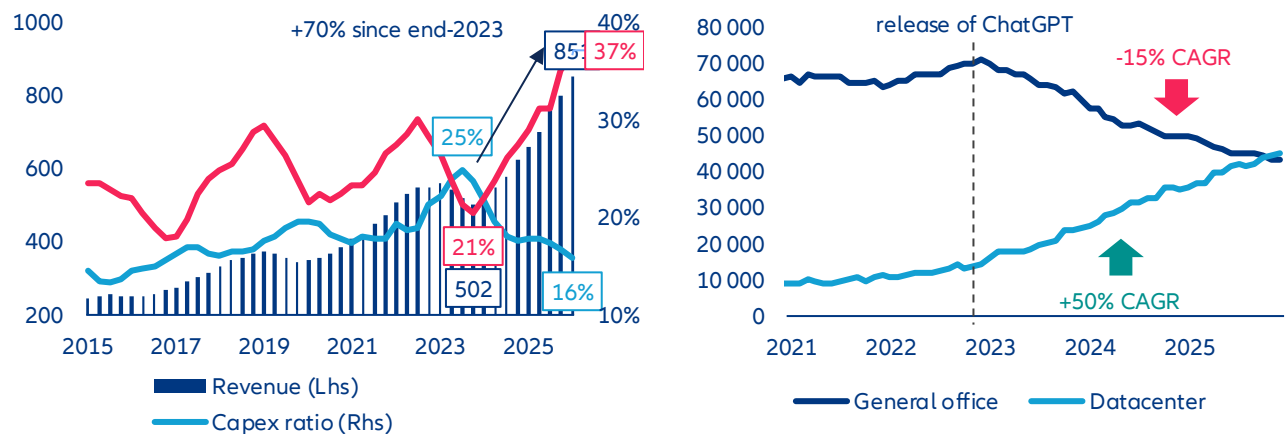
Figure 3: Capital expenditure (amount and intensity over revenue) and free-cash-flow yield of top five US capex contributors among listed firms



Note: The composition of top five capex leaders changes every year. Sources: LSEG Datastream, Allianz Research

AI benefits are already visible, but not yet broad-based. Hyperscalers are committing hundreds of billions of dollars to a technology cycle whose return horizon remains fiercely debated, and skepticism is rational. Yet, reducing this debate to a binary verdict – productive investment or reckless speculation – misses what the data already shows on the ground. US construction spending on data centers has exploded since 2023, while office construction continues its structural decline, a physical reallocation of capital that is reshaping the built economy in real time. Semiconductor revenues tell a similar story: Industry sales surged roughly 70% from end-2023, with operating margins expanding sharply even as capital expenditure intensity hit multi-decade highs. These are not paper gains – they reflect real backlogs, real pricing power and real profit flowing through the supply chain. The distribution of those gains is, admittedly, narrow: A handful of firms with defensible technology edges – in advanced logic, memory bandwidth, cooling and power infrastructure – are capturing a disproportionate share of the AI cake. But the notion that AI investment is generating only financial abstraction, widening inequality without creating tangible economic output, is countered by capacity-utilization rates, order books and the income statements of those positioned at the infrastructure layer. The more pressing question, then, is not whether AI capex is producing returns – it clearly is, for some – but whether those returns are being recycled in ways that build a genuinely durable and expansive ecosystem, or whether they are accruing narrowly and compounding existing structural asymmetries.

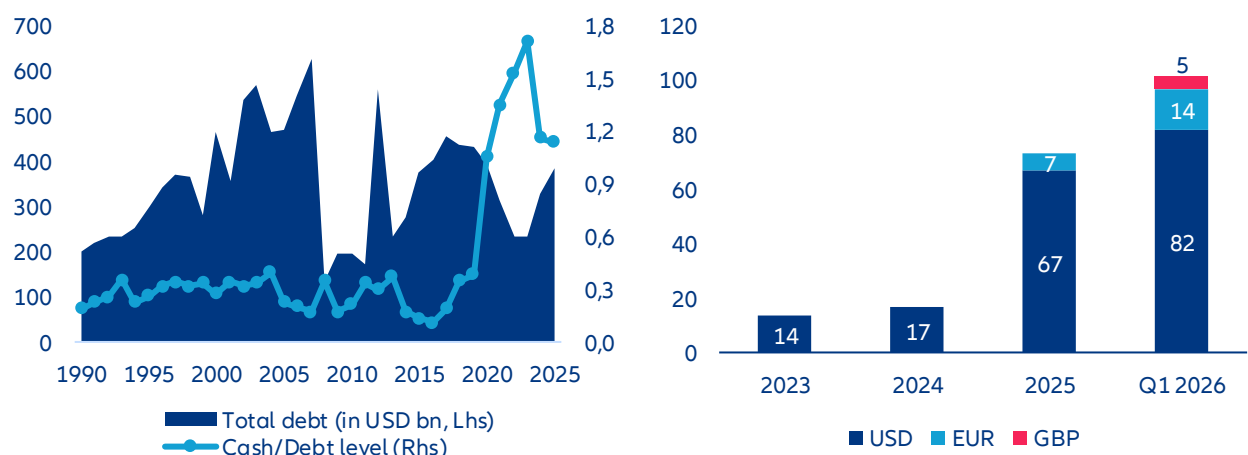
Figures 4 & 5 : Global semiconductor industry revenue, margin and capex intensity / Value of private construction spending in general office and datacenter in USA (annualized rate, in USD bn)



Right chart: November and December 2025 are preliminary data. Sources: US Census bureau, LSEG Datastream, Allianz Research

Solvency risks are overdone but rising debt still needs to be monitored. The parallel with heavy telecom investment in the late 1990s is imperfect as that was largely debt-funded and ended in widespread capital destruction; this round is being funded from the strongest corporate balance sheets in history, by firms with demonstrated monetization engines. But while solvency risks are not a major concern, we cannot overlook the ongoing shift of funding architecture and the increasing volume of AI-labeled debt since 2025. Even among hyperscalers who ignored the debt market for a decade, we note a structural pivot that is gaining more momentum in 2026 as they had already issued as of mid-March more debt than during the full year of 2025 (over USD100bn vs. ~USD80bn). With a total of USD385bn of debt reported in end-2025, the top US capex providers show a leverage ratio around -20% below their “high spender” peers in 2000, so ongoing rising leverage is not a matter of concern in the short term. However, the uptrend will be scrutinized by investors, alongside the downtrend on free-cash-flow.

Figures 6 & 7: Cash ratio & total debt level of top five largest US capex contributors / Corporate debt issuance of US hyperscalers* since 2023

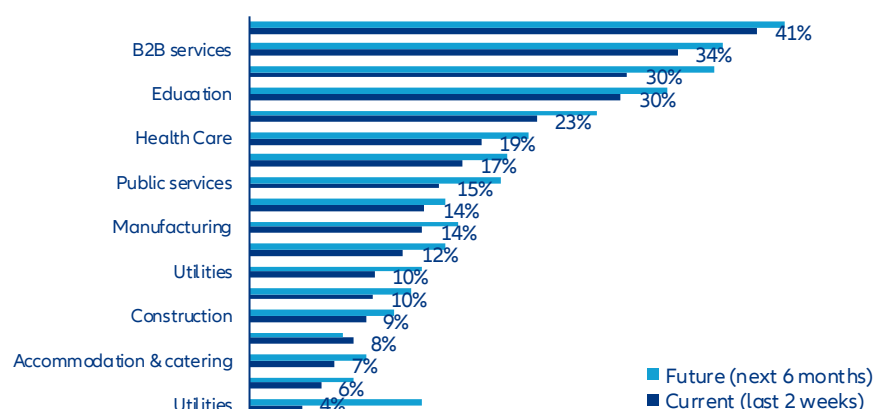


Left chart: data as of Q4 2025 / Right chart: data as of 18 March 2025. Sources: LSEG Datastream, Allianz Research

Beyond the noise: what actually shapes the AI capex cycle. The debate around AI investment has been too often reduced to market valuation stories – a narrative of soaring multiples, crowded trades and the occasional correction fueling breathless commentary about bubbles and busts. The more consequential discussion is industrial, structural and slower-moving. Four fault lines are quietly shaping how – and whether – current levels of AI capital expenditure can be sustained and productively absorbed. First, the pace of corporate and consumer adoption, which is tracking a natural learning curve rather than the vertical inflection that capital deployment implicitly assumes – a structural lag with direct consequences for return horizons. Second, a growing concern around misallocation: the breakneck pace of AI infrastructure buildout is not matched by equivalent investment in the underlying industrial capacity – power generation, grid infrastructure, advanced manufacturing – needed to underpin it, creating tangible shortage risks and inflating input costs across the supply chain. Third, a question of circularity: whether AI profits are genuinely creating new economic value or merely consolidating the dominance of a handful of firms, raising the specter of systemic spillover and contagion risks should any major actor stumble. Finally, new tensions in the Middle East, where energy supply disruptions could reignite inflationary pressure, complicate the rate outlook and dent the investor confidence on which this investment cycle critically depends. Taken together, these fault lines do not make the AI capex story one of inevitable disappointment but they do make it one that demands far more industrial rigor and strategic honesty than the market narrative has so far supplied.

- 1) Gradual adoption is fueling monetization debate, not calling into questions capex itself.** The professional adoption of AI remains gradual, exploratory and uneven – and that is not necessarily a bad signal. Corporates broadly recognize AI's long-term potential, yet the transition is proceeding cautiously for structurally sound reasons: firms still need clearer visibility on implementation costs, measurable productivity gains, cybersecurity risks and an evolving regulatory framework before committing to large-scale deployment. Psychological barriers compound the technical ones as companies remain reluctant to build deep dependency on providers lacking long operational track records. The result is that most organizations are currently engaged in incremental process improvements rather than transformative reinvention – a pattern entirely consistent with how major technological shifts have always unfolded. Early gains are predictably concentrated in digitally mature sectors such as consulting, finance and insurance, while construction, utilities or agrifood show only limited impact so far. Financial transfer costs further widen this gap, with adoption among very small enterprises running nearly 10pps behind large corporates. Rather than the binary outcome between automation and employment destruction that dominates media narratives, AI is more likely to act as a complementary technology enhancing existing tasks and business models – with capex implications already shifting visibly toward staff training, compliance, cybersecurity and data infrastructure, the unglamorous but essential prerequisites for durable migration. For technology companies, this pace differential between capital deployed and returns materializing is not merely an investor-relations inconvenience – it is a strategic constraint that demands greater investment discipline and a genuine rethink of how financial risk is shared across the ecosystem. A measured adoption curve is not evidence of deterrence; it is the bedrock on which a solid and sustainable industry gets built.

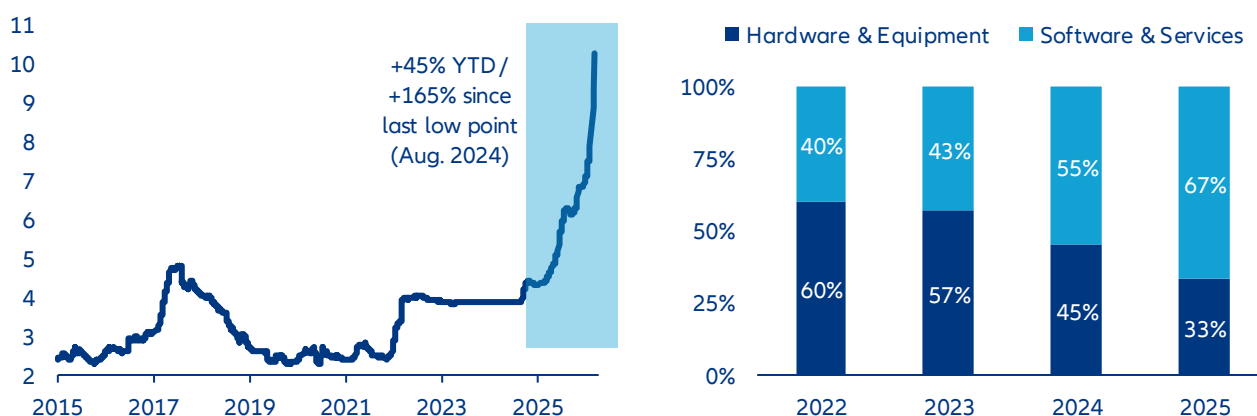
Figure 8: Survey of US firms about their current and expected use of AI technology, per sector breakdown



Data as of 22 February 2026. Sources: US Census bureau (biweekly survey on business trends and outlook), Allianz Research

2) AI cannibalization of global supply raises question on industrial capacity capex lag. A disproportionate share of global supply is being absorbed by the AI value chain – particularly for GPUs, high-bandwidth memory, advanced substrates, power electronics, silicon wafers and electronic manufacturing equipment. The result is tightening availability and rising input costs for other sectors. Memory chip prices, for instance, have more than doubled since last summer (see Figure 8) as limited fabrication capacity has been redirected almost exclusively toward AI-oriented demand, creating pass-through inflation for downstream customers and, in some cases, tangible shortage risks. Consumer electronics manufacturers, robotics and IoT producers, and especially the automotive industry – where software and semiconductor content per vehicle has surged in recent years – appear particularly exposed to these side effects. Higher component costs would compress industrial margins and/or raise final retail prices, potentially dampening end-demand for tech hardware. We estimate that manufacturers would have to increase retail prices by +7% for smartphones and +15% for premium laptops to protect half of current profit margins in case of doubling memory chip input costs. In turn, elevated equipment premiums may slow consumer adoption cycles, paradoxically constraining the diffusion of AI-enabled devices. While current AI usage among households remains largely concentrated in writing and search applications, scaling the technology into more embedded, hardware-intensive use cases requires affordable, dedicated equipment; inflationary pressures along the supply chain risk delaying that broader penetration and limiting the real economy spillovers that AI proponents anticipate. If we observe some lag in the capex programs of ICT equipment manufacturers, most of the capital is being captured by data-center development programs as industrial priorities are primarily focused on computing-capacity expansion (current 33%/67% allocation of capex between ICT hardware & manufacturing and ICT services – see Figure 9). Over the next two years, we see a change of capex structure and a stronger allocation of technology-related investment funds into new ICT hardware and equipment industrial capacity, narrowing the capex structure gap with digital & IT services toward a 50/50 ratio, like in 2024.

Figures 9 & 10: Memory chip spot price in USD (Flash NAND 64GB) / Capex distribution between technology hardware & equipment manufacturers and digital & software services providers

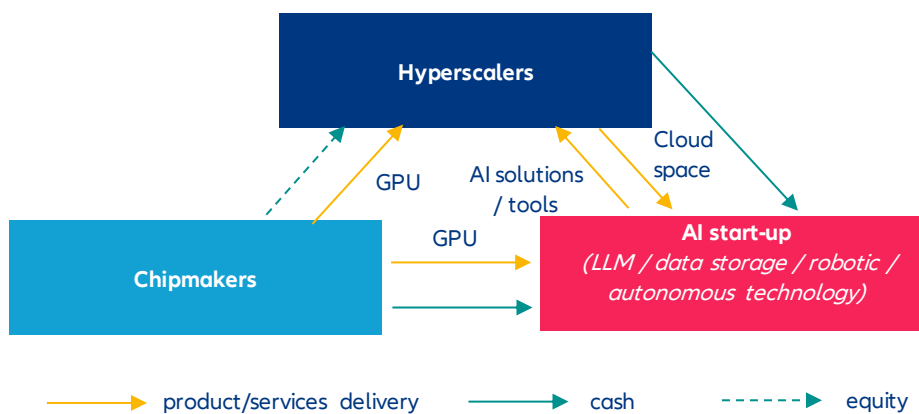


Sources: LSEG Datastream, Allianz Research

3) Capital circularity casts doubts about the productive role of capex. In the meantime, circular capital is increasingly dominating the AI ecosystem, especially across chips and cloud, creating a powerful – but potentially fragile – perception of strength along the entire supply chain. Semiconductor leaders such as Nvidia, TSMC or ASML sit at the core of this expansion, riding a +60% CAGR industry revenue surge since end-2022 and benefiting from multi-billion-dollar hyperscaler contracts, 30%+ CAGR cash accumulation and a global market revenue that could hit a USD1trn milestone this year if strong demand remains in check. Yet, beneath the surface, inventory growth among the top US chipmakers (+80% annually) is outpacing already explosive revenue gains, while part of demand stems from structurally unprofitable AI players reliant on external funding, raising questions about the durability of the cycle. More concerning is that this revenue boom has not translated into proportional industrial reinvestment capex intensity among the top five global foundries slowed last year to a five-year low at 24% (and hardly 2% for the top three US chipmakers), or almost 10pps below its 2023 peak. In the meantime, capex intensity

among top US designers stayed relatively flat at 2%, with profits being distributed to shareholders, invested in start-ups in early stages of development or directly to business partners to fund new data-center infrastructure. With hyperscalers and tech service providers now absorbing roughly two-thirds of total AI spending, capital allocation appears heavily skewed toward data-center infrastructure, exposing a systemic imbalance. Behind circularity stories, there is a deeper issue within the AI ecosystem: a strong capital interconnection between each key actor of the chain whose funding has been gradually outsourced to financial markets and private investors. That holds seamlessly as long as the AI monetization narrative holds. The moment investors seriously question the timeline – and the friction-heavy reality of enterprise technology adoption gives them every reason to – liquidity assumptions could crack across cash, credit and equity simultaneously, with spillover effects that would reach well beyond the technology sector.

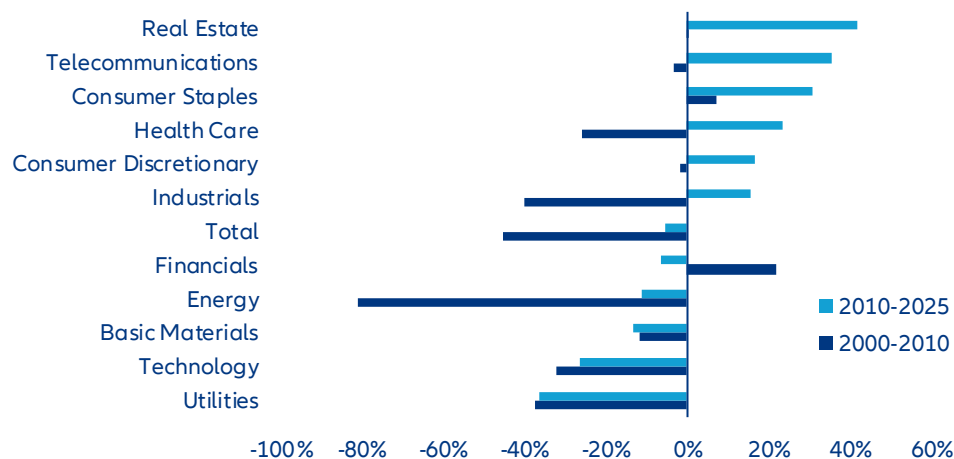
Figure 11: Circularity of investments from the AI ecosystem



Source: Allianz Research

- 4) Middle-East tensions revive bad memories: a double chokepoint to monitor.** The re-escalation of Middle East tensions introduces two distinct but mutually reinforcing pressure points on the AI investment cycle – one financial, one industrial – neither of which the market has fully priced in. On the funding side, an energy-driven inflationary shock would complicate the rate outlook at precisely the wrong moment. Under already-intense scrutiny over capex monetization, higher-for-longer rates would give investors and lenders legitimate cover to tighten standards, demand stronger return guarantees and quietly stall the most speculative infrastructure projects. Given the extreme capital intensity of AI – where a single hyperscaler data center can absorb several billion dollars before generating a dollar of revenue – even a modest repricing of risk appetite could trigger meaningful investment pauses across the pipeline. This is not a theoretical sensitivity: the correlation between energy price volatility and technology sector capex in the US is among the strongest across all S&P 500 industries over both the 2000–2010 and 2010–2025 periods, suggesting that energy shocks reliably translate into investment hesitation across the tech supply chain. The silver lining, if there is one, is that capital discipline tends to accelerate efficiency: constrained funding historically pushes R&D toward leaner architectures, and the current cycle would likely see inference optimization and cost-efficient model deployment prioritized over brute-force training at scale.

Figure 12 : Correlation between capex and energy prices among US firms, per industry breakdown (S&P 500 benchmark)

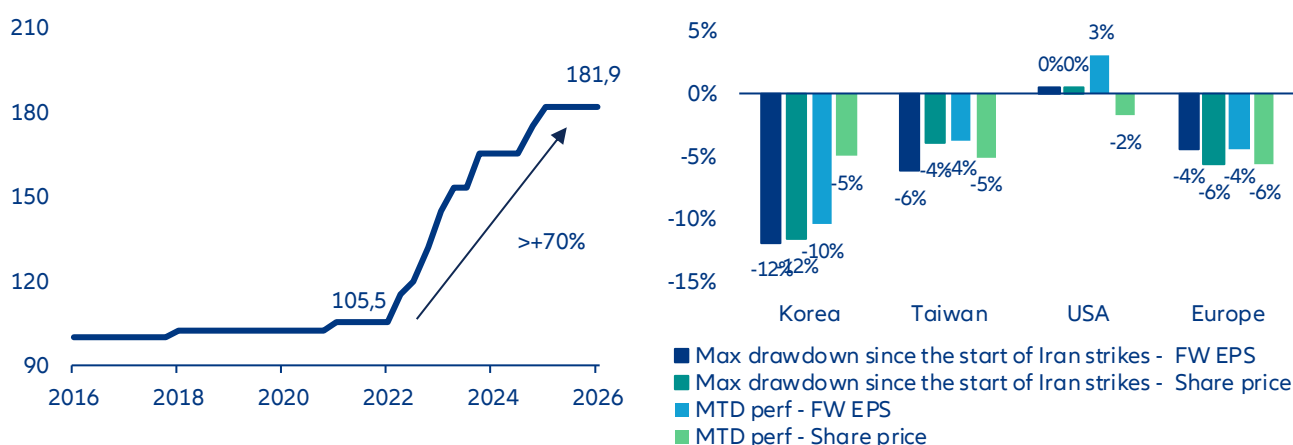


Data as of March 2026. Sources: LSEG Datastream, Allianz Research

The industrial pressure point is more immediate and more concrete. South Korea's industrial power price has surged over +70% since 2022, and both South Korea and Taiwan – home to the world's most critical semiconductor fabrication capacity – remain structurally dependent on Qatari LNG and helium supply as primary inputs for producing wafers. Any supply disruption or price spike flowing from Middle East instability hits Asian chip manufacturers directly in their cost base, compressing margins and risking output constraints at the worst possible moment for an AI ecosystem already running on tight GPU supply.

Is the capex cycle at risk from a chip/critical material shortage? At this stage we consider that risks of disruption in the super investment cycle are limited for two reasons: 1) capex is mostly driven by cash-rich and counter-cyclical companies whose revenue is less dependent on the macroeconomic outlook and 2) AI-related demand remains the top priority across the semiconductor supply chain. Regarding that second point, even moderate disruptions in wafer output are unlikely to materially derail ongoing capex dedicated to AI infrastructure. However, such constraints would limit any near-term acceleration in investment. They could also delay project timelines and increase implementation costs. However, a more volatile market environment will likely reinforce investor caution, particularly regarding datacenter monetization and the visibility of sustainable AI-driven revenue growth. The geopolitical stress does, however, carry one structural positive: it intensifies the urgency of supply-chain diversification, opening a credible investment case for semiconductor capacity in Europe and the US – a rebalancing that could, over time, reduce the systemic concentration risk that currently makes the entire AI buildout hostage to a handful of facilities in a narrow geographic corridor.

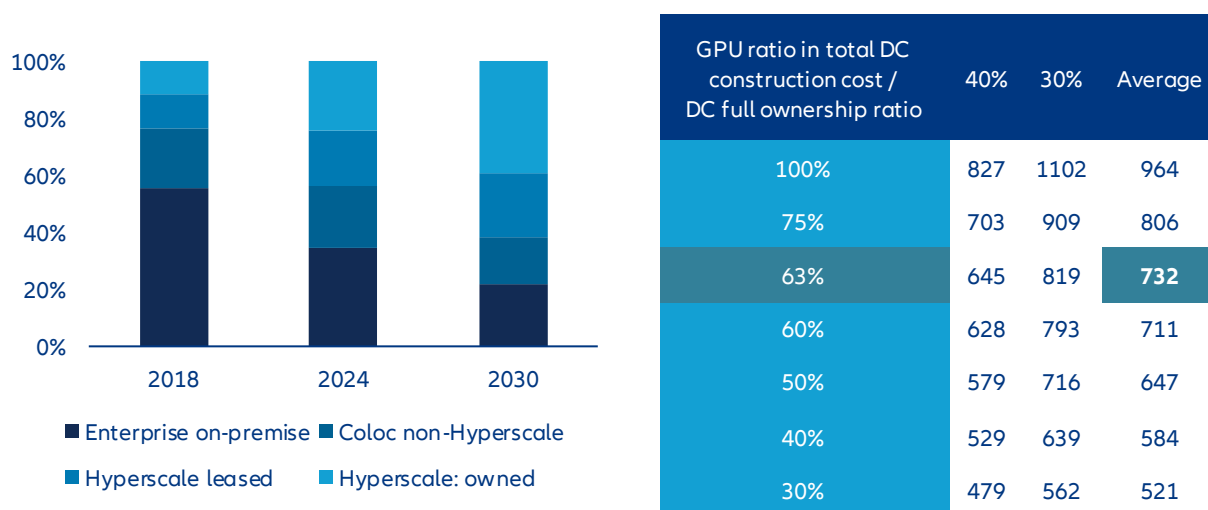
Figures 13 & 14 : Industrial power price in South Korea / EPS & share price variation of tech stocks since 27 Feb.



Data as of March 2026. Sources: Public statement from KEPCO, LSEG Datastream, Allianz Research

Smaller but smarter: monetization debate might lead further rationalization. Slowing AI adoption, compressing returns and volatile markets will inevitably test the conviction behind current capex programs. Yet reducing investment is not a credible option: pulling back signals retreat, cedes ground to competitors and risks losing the momentum that separates infrastructure leaders from fast followers. The capex expansion continues – but its risk profile is quietly being renegotiated. The scale of what is being built is extraordinary. Global data center capacity is on course to double by 2030, from roughly 130 GW today toward 260 GW, with hyperscalers as the overwhelmingly dominant engine – their share of total IT load expanding nearly 20pps to exceed 60%. At a 23% capacity CAGR, that implies approximately 100 GW of net new hyperscale deployment over five years. Applying current AI GPU cost structures and next-generation energy intensity assumptions, GPU procurement alone runs at roughly USD16bn per GW – implying a gross annual capex requirement approaching USD960bn if hyperscalers were to fund every megawatt themselves. But they won't bear that financial burden alone. Assuming current leasing ratios hold – where hyperscalers procure IT equipment directly but lease shell and core infrastructure – the annual capital commitment compresses to approximately USD730bn, a figure that aligns squarely with consensus estimates of USD760bn for 2028 alone. The next strategic frontier is pushing that ratio further: higher leasing penetration, more aggressive cost-sharing with co-investment partners and procurement structures that strengthen the AI service arsenal while keeping the balance sheet breathing.

Figures 15 & Table 4 : Distribution of current and future data center IT power load capacity per company profile breakdown / Simulation of yearly capex requirement from hyperscalers over the period 2026-2028 to fund datacenter estimated expansion

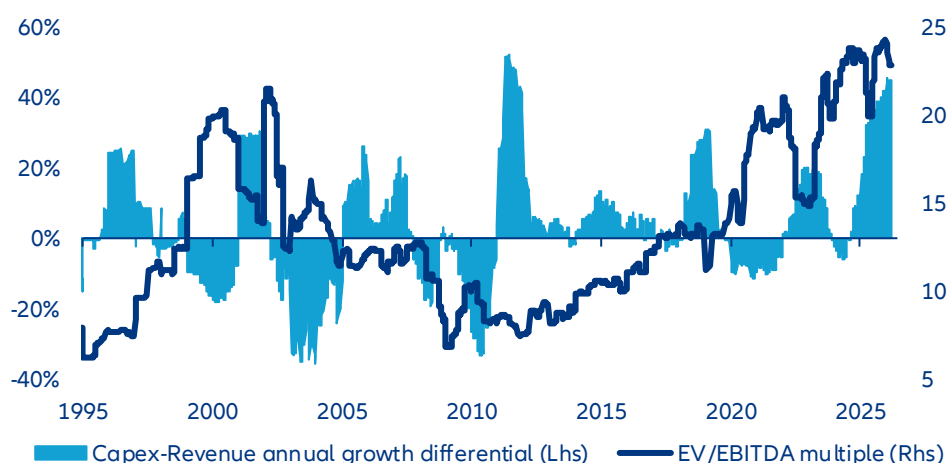


Sources: Synergy Group Research, Allianz Research

The changing economics of Big Tech: AI investment, profitability and valuation

Too highly valued? Capex monetization is the new compass for market mood. Despite the recent correction, US technology and AI equities remain richly valued relative to earnings, with EV/EBITDA multiples near 25x, close to historical extremes and above telecom valuations preceding the 2000 dot-com peak. The core issue is no longer AI potential but timing: capex is expanding far faster than revenues, with a ~46% growth gap between investment and sales, exceeding the 32% divergence observed during the 2001 telecom excess cycle. Infrastructure is scaling ahead of monetization, forcing investors to question whether current valuations already price in profits that remain distant. As early expectations of rapid AI earnings acceleration fade, markets are recalibrating toward execution risk and cash-flow delivery. This cooling of sentiment may ultimately mark a healthy transition – from narrative-driven valuation to discipline anchored in tangible returns.

Figure 16: Relative valuation and growth differential of revenue and investment from US technology industry

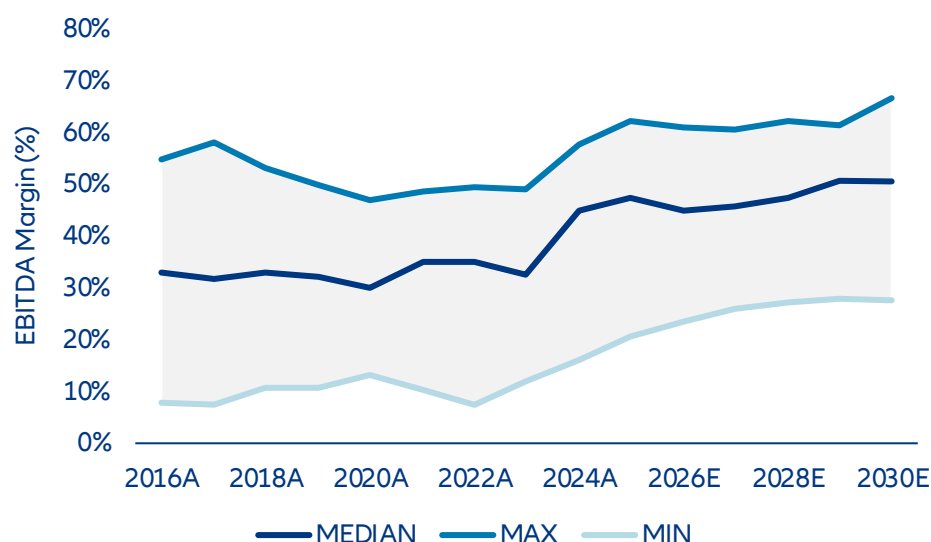


Data as of 16 march 2026. Sources: LSEG Datastream, Allianz Research

What are investors in Big Tech implying for AI growth and profitability? Assessing the profitability of AI-related activities remains challenging at the current stage of development. We are not trying to forecast the growth and profitability of AI companies but to form an opinion on legacy business contribution vs. AI expectations. We are also not trying to assess individual winners or losers but gauge sensitivities of the AI-complex to key assumptions. As a starting point we take consensus and past dynamics of legacy businesses. Segment disclosures and SEC filings (Forms 10-K and 10-Q) can be used to model legacy business activities separately, enabling a consistent projection of underlying operating performance. Given ongoing uncertainty surrounding AI monetization, particular emphasis is eventually placed on sensitivity analysis across key financial variables, with return on equity (ROE) serving as the central link between operating performance and valuation outcomes.

The changing capital intensity increasingly shapes the outlook for profitability. We focus on ROE which best combines the trade-off between capex and monetization. As illustrated in Figure 15, EBITDA margin development suggests that the expansion phase observed in previous years is gradually moderating. Amazon is an outlier at the lower bound, reflecting the still significant contribution of its lower-margin retail business, while hyperscalers remain influenced by the ongoing capex expansion cycle. Profitability remains structurally elevated, yet incremental improvements appear limited. This reflects the structural characteristics of large technology companies, many of which already operate with comparatively low cost bases and optimized operating structures. In fact, somewhat higher EBITDA margins are to be expected for a more capital-intensive business and still imply lower net profitability. However, we can resonate cloud margins with the insights we have on existing cloud businesses, e.g. from cloud providers. The sensitivity analysis shown in Figure 18 highlights what we see as key drivers for financial performance and investor assessment via valuation. Variations in EBITDA margins exert a slightly lower influence on long-term outcomes, whereas changes in revenue growth assumptions more materially affect projected profitability as measured in ROE. This is also reasonable as transparency on data center profitability can already be better judged from existing operations than the unknown revenue potential from additional AI adoption and speed.

Figure 17: EBITDA margin development and peer range (2016–2030E)



Sources: Bloomberg Intelligence, Allianz Research

With the profitability engine under scrutiny, ROE sensitivity will gain attention on top of sales growth. Within our financial analysis, capex monetization via revenue growth therefore emerges as the primary focus channel for financial performance, which we gauge by ROE. At the same time, the analysis highlights a delicate balance between investment intensity and returns. Our capex-to-sales sensitivity further illustrates this trade-off, as higher investment intensity would reduce ROE across identical growth scenarios, with returns declining from around c.25% to c.23–24%, even before considering potential margin pressure from faster hardware depreciation. In this framework, a capex-to-revenue ratio of around 23%, as discussed in the previous analysis of AI investment dynamics, would broadly correspond to the +5% capex scenario in our sensitivity table and therefore reflects a moderate 0.4pp increase in investment intensity relative to the base case. At the same time, the previously discussed estimate of around 200bps margin compression from faster hardware depreciation would broadly be captured by the -2% EBIT margin scenario in the sensitivity analysis and would translate into roughly a 1pp reduction in ROE, broadly consistent with the sensitivity illustrated in our framework. This indicates that expanding the capital base alone does not enhance profitability unless supported by sufficient revenue monetization. Big Tech companies rush into capex to ensure market share in the structural growth trend. This comes at the risk of higher capital base with insufficient monetization. A lower capital expenditure ratio combined with stronger revenue realization support higher ROE outcomes. Big Tech companies therefore appear to operate along a narrow path between sustained investment and maintaining stable return expectations.

Table 4: ROE sensitivity to growth, margin and capex assumptions

ROE		EBIT-Margin Increase				
		-5%	-2%	0%	2%	5%
5Y Sales CAGR	-5%	21.81%	22.59%	23.11%	23.63%	24.41%
	-2%	22.10%	22.89%	23.42%	23.94%	24.73%
	0%	22.29%	23.09%	23.62%	24.15%	24.94%
	2%	22.49%	23.29%	23.82%	24.36%	25.16%
	5%	22.78%	23.59%	24.13%	24.67%	25.48%

ROE		5Y Sales CAGR				
		-10%	-5%	0%	5%	10%
CAPEX	-10%	24.35%	24.86%	25.36%	25.87%	26.37%
	-5%	23.92%	24.43%	24.93%	25.44%	25.94%
	0%	23.50%	24.00%	24.51%	25.01%	25.51%
	5%	23.07%	23.57%	24.08%	24.58%	25.09%
	10%	22.64%	23.14%	23.65%	24.15%	24.66%

Source: Allianz Research

ROE is key – beyond being a profitability indicator it is also one driver for fair valuation. Forward valuation metrics based on consensus estimates suggest broadly stable to slightly moderating P/E ratios from c. 35x this year to c. 23-24x in three years. Technology equities therefore remain premium-valued, yet forward multiples indicate limited scope for further expansion. Market expectations appear increasingly focused on realized earnings delivery rather than additional valuation rerating. In this environment, future equity performance is likely to depend more strongly on the successful monetization of AI-related investments and sustained top-line growth, while multiple expansion plays a diminishing role and rests on long-term growth. High ROE is a key determinant for investors to inform a “fair” valuation multiple because it directly drives future earnings growth from retained earnings. What actually matters is the spread between ROE and cost of equity. The latter is also influenced by AI reshaping companies’ capex and sales via increased leverage and potentially higher revenue growth variability. Beta has increased from below 1.2 in 2016-24 to 1.5 in 2024-26. We apply our analysis on ROE to evaluate potential PE ranges for Big Tech and conclude that current valuations appear fair under current assumptions but with some sensitivity to sales and capex intensity. Via this multiplier, future financial performance will add an even higher impact for share price performance. The framework presented in Figure xx illustrates a sensitivity analysis, showing how different assumptions for five-year sales CAGR and capex intensity translate into varying long-term valuation outcomes, with the indicated PE centering around a c. 23x earnings multiple by 2030, consistent with a structurally strong but more mature profitability profile. Sensitivity on sales growth is highest and above implication from capex which anyhow is unlikely to drop notably soon while upside surprises are more likely and can be expected to dampen both, EPS and ROE via higher depreciation as well as PE.

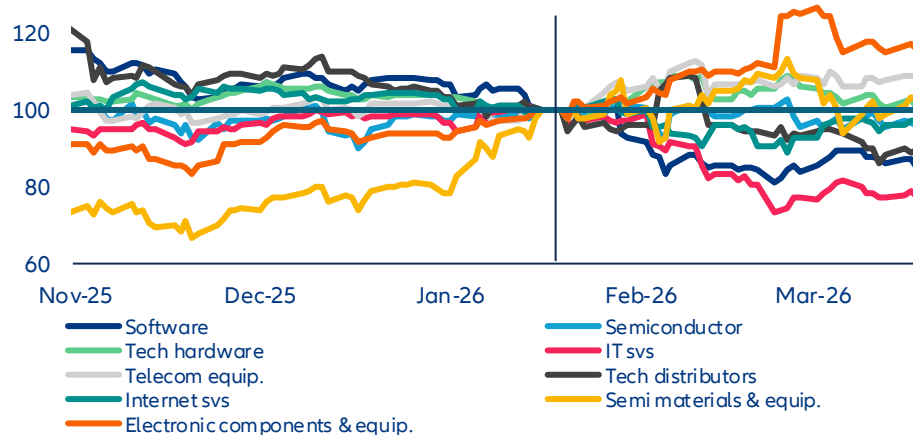
Table 5: Impact of growth and capital intensity on long-term valuation

		Sales CAGR (surprise p.a.)						
P/E		-9%	-6%	-3%	0%	3%	6%	9%
CAPEX (surprise p.a.)	-10%	23x	24x	25x	27x	28x	29x	31x
	-5%	22x	23x	24x	25x	26x	27x	29x
	0%	21x	21x	22x	23x	24x	25x	27x
	5%	20x	20x	21x	22x	23x	24x	25x
	10%	19x	19x	20x	21x	22x	22x	23x

Source: Allianz Research

The long-term outlook of the tech industry still looks rosy but uneven and unequal. We expect a more uneven performance trajectory for US technology stocks, with downside risks driven by valuation pressure and a broader shift toward risk-off positioning. Rotation away from megacap tech had already begun ahead of the Middle East escalation, suggesting that recent geopolitical events are amplifying, rather than initiating, the correction. Investor scrutiny is intensifying around the long-term monetization of elevated capex, particularly among hyperscalers, where the scale and timing of AI-related returns remain uncertain. At the same time, sentiment toward parts of the software sector is deteriorating, reflecting concerns over business model dilution as AI capabilities become more commoditized across corporate ecosystems. This combination is likely to sustain a degree of multiple compression and limit near-term upside for the most richly valued names. However, the outlook is not uniformly negative. Select segments within the tech value chain, notably semiconductors and infrastructure suppliers, continue to benefit from strong datacenter demand, with pricing dynamics potentially reinforced by rising commodity costs linked to geopolitical tensions. These areas appear structurally better positioned to capture near-term earnings visibility. In parallel, US leadership in AI infrastructure could attract incremental capital reallocation, particularly from Middle Eastern investors whose domestic investment pipelines may face delays. Over the longer term, the structural case for US tech remains intact, supported by innovation leadership and sustained demand for AI capabilities. That said, performance is likely to become more selective, with greater dispersion across subsectors and a less uniformly supportive environment than in previous cycles.

Figure 18: US equity performance of technology subsectors (rebased to 100 on 19 January)



Data as of 19 March 2026. Sources: LSEG Datastream, Allianz Research

These assessments are, as always, subject to the disclaimer provided below.

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Allianz Research | 23 March 2026

Signal without response: Why the EU ETS needs resolve, not redesign

In Summary

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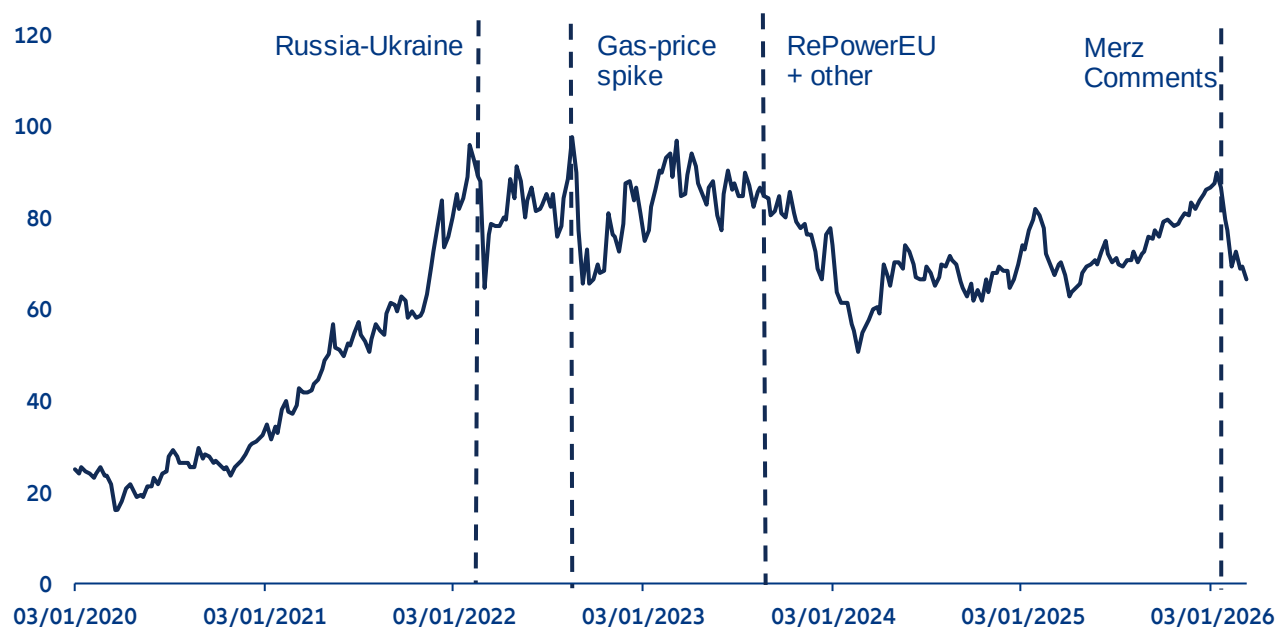
- **The EU Emissions Trading System (ETS) is at a political and structural inflection point, with allowance prices falling sharply by around -24% in the first two months of 2026. The conflict in Iran and associated energy price and inflation expectations have additionally spurred proposals to use the ETS as a lever for short-term price relief.** Unlike earlier episodes of price volatility rooted in energy-market fundamentals, the current turbulence reflects growing political questioning of the ETS's long-term design, compounded by concerns over industrial competitiveness as free-allowance phase-outs begin. Geopolitical pressure around Iran adds to this risk. The use of ETS revenues for price support or direct market intervention risk defeating the steering purpose of the system or creating dangerous lock-in effects.
- **Three ETS fault lines: free allocation has shielded more than 90% of industrial emissions from direct carbon costs but this is set to change; the ETS has driven substantial emission reductions in the power sector but not in industry and revenue recycling is falling short of its potential.** At current prices, full exposure would cost 0.9% of gross value added in the industry sector, a real burden for energy-intensive firms that cannot pass carbon costs through to customers given high energy costs, strong international competition and the limited offsetting potential of the Carbon Border Adjustment Mechanism (CBAM). Since 2005, power sector emissions have fallen by -54%, while industrial combustion emissions declined by a more moderate -33%. Renewables have made decarbonization viable at prices below EUR50/tCO₂, while industrial options such as green hydrogen and low-carbon steel carry abatement costs well in excess of EUR100/tCO₂. Persistent price uncertainty, with allowances oscillating in a EUR50–98/tCO₂ corridor since 2022, has further weakened the investment case for capital-intensive industrial transformation. Last, only 16% of recycled revenues flow back into energy and industry, the sectors directly covered by the ETS, while 51% is directed toward non-covered sectors. A cumulative EUR41bn went undeployed for climate action between 2013 and 2024, risking a financing trap where industry bears rising carbon costs without the capital needed to decarbonize.
- **ETS2 is better positioned than ETS1 but that advantage is eroding.** Unlike ETS1, where abatement economics were the binding constraint, low-carbon alternatives in transport and buildings are already cost-competitive. The remaining barriers are political and financial: EUR113bn in annual fossil-fuel subsidies undermining the price signal, policy reversals on fossil boiler phase-outs, unaffordable EVs and financing frameworks still unequipped to meet household-level transition costs at scale. With household exposure potentially reaching EUR420 per year by 2030, these are policy choices that should be addressed before the carbon price arrives in 2028.
- **The ETS does not need a redesign but rather targeted reforms to restore price credibility and close the investment gap.** Seven priorities stand out: establishing a credible long-run EUA price corridor; scaling up Carbon Contracts for Difference to bridge the abatement cost gap in hard-to-abate sectors; introducing binding revenue recycling standards linked to the new decarbonization bank; prioritizing shared infrastructure for CO₂ transport, hydrogen and industrial clusters; conditioning the free allowance phase-out on the availability of abatement technologies and transition funding; expanding CBAM to cover downstream sectors currently left exposed and ensuring ETS2 revenues are transparently earmarked for households most exposed to its regressive cost distribution.

The ETS under fire: Market volatility and political pushback

The EU Emissions Trading System (ETS) entered 2026 under unusual strain. After reaching a two-year high of over EUR92/tCO₂ in January, the EU Allowance (EUA) price corrected sharply by -14% within the same month and another -10% in February, falling to approximately EUR69/tCO₂ (Figure 1). While the initial drop was triggered by geopolitical uncertainty over US tariffs, the future of Greenland and Iran, the second leg of the decline came amid growing political critique from member states, including Germany and Italy, which called into question not only the phase-out schedule of free allowances, but the long-term design of the mechanism itself. This turbulence arrives at a particularly consequential moment as the European Commission conducts its review of the ETS to determine whether its architecture remains fit for purpose in light of evolving market conditions and the EU's 2040 climate targets.

The observed price volatility is not unprecedented within the ETS, but earlier episodes were driven by fundamentally different forces. Between 2020 and 2022, allowance prices rose sharply, reflecting the post-Covid demand recovery, strengthened EU decarbonization ambition and an accelerated free-allowance phase-out schedule. The Russian invasion of Ukraine in February 2022 reversed this trajectory as anticipated gas supply disruptions curtailed industrial output and reduced compliance demand. Prices weakened further in 2023 amid declining industrial activity and the injection of additional allowances to finance RePowerEU. As Europe's energy dependence gradually shifted from Russian pipeline gas to US LNG, geopolitical risk remained the principal external driver of price formation, with US trade policy increasingly substituting pipeline politics as the key source of market uncertainty. Across these episodes, price movements were primarily rooted in energy market fundamentals or deliberate supply-side interventions, rather than in a broader questioning of the ETS's institutional design.

Figure 1: ETS allowance price and key market drivers (EUR/tCO₂)



Sources: LSEG, Allianz Research

The key distinction from earlier episodes lies in the structural changes to the ETS taking effect from 2026, compounded by broader concerns about industrial electricity prices. From 2026 onwards, the free allowances allocated to European industry under the ETS begin to be phased out. The rationale was straightforward: as the Carbon Border Adjustment Mechanism (CBAM) enters into force to address international competitiveness concerns, the justification for shielding domestic industry through free allocation would progressively diminish, allowing the carbon price signal to drive further decarbonization. In practice, however, the transition has proved more contentious than anticipated. The CBAM, as finally adopted, covers a narrower set of sectors and a more limited range of emissions than originally proposed, leaving significant parts of European industry, particularly in downstream sectors, exposed to carbon costs without equivalent border protection. This concern is further reinforced by electricity prices that, while lower than their post-energy crisis peaks, remain structurally higher than those faced by key international competitors. At an EUA price of EUR65/tCO₂, the carbon cost component of industrial electricity bills can reach up to 9% in the most carbon-intensive power systems, which disproportionately affects energy-intensive firms for which energy costs represent a larger fraction of total expenditure.¹

Against this backdrop, political reactions have been swift. In Germany, the government announced plans to introduce a subsidized industrial electricity price of EUR0.05/kWh from 2026, roughly a third of the prevailing market rate, applicable to approximately 2,000 energy-intensive companies at an estimated fiscal cost of EUR3-5bn over three years. In Italy, a 2026 energy decree worth over EUR3bn proposed reimbursing gas-fired power plants for their ETS compliance costs, a measure that, given the role of gas in setting marginal electricity prices, would effectively decouple wholesale power prices from the carbon price signal. The European Commission has since opened a formal review of the measure's compatibility with EU state aid rules. Taken together, these interventions reflect a broader pattern in which the convergence of elevated energy costs and rising direct carbon-cost exposure is prompting member states to pursue unilateral measures that risk fragmenting the role of the ETS as a pan-European pricing instrument.

The conflict in Iran and associated energy price and inflation expectations have additionally spurred proposals to use the ETS as a lever for short-term price relief. These range from deploying ETS revenues for energy price support and adjusting the free allowance removal schedule to calls for direct market intervention to curb volatility. While some of these measures, such as the proposed ETS financed EUR30bn decarbonization booster, have their merits, others, such as the use of ETS revenues for price support or direct market intervention, risk defeating the steering purpose of the system or creating dangerous lock-in effects. The review of the ETS which was advanced to July 2026 is important and adjustments to the system can be warranted, however, the mechanism should not be misused as a short-term energy price management tool. For this purpose, other measures such as reducing non-steering levies on electricity including VAT, temporary state aid mechanisms for the most exposed energy-intensive industries, or targeted household transfers have a more direct and targeted impact on energy costs without undermining the carbon price signal the ETS is designed for.

Carbon costs in context: Limited exposure, rising trajectory

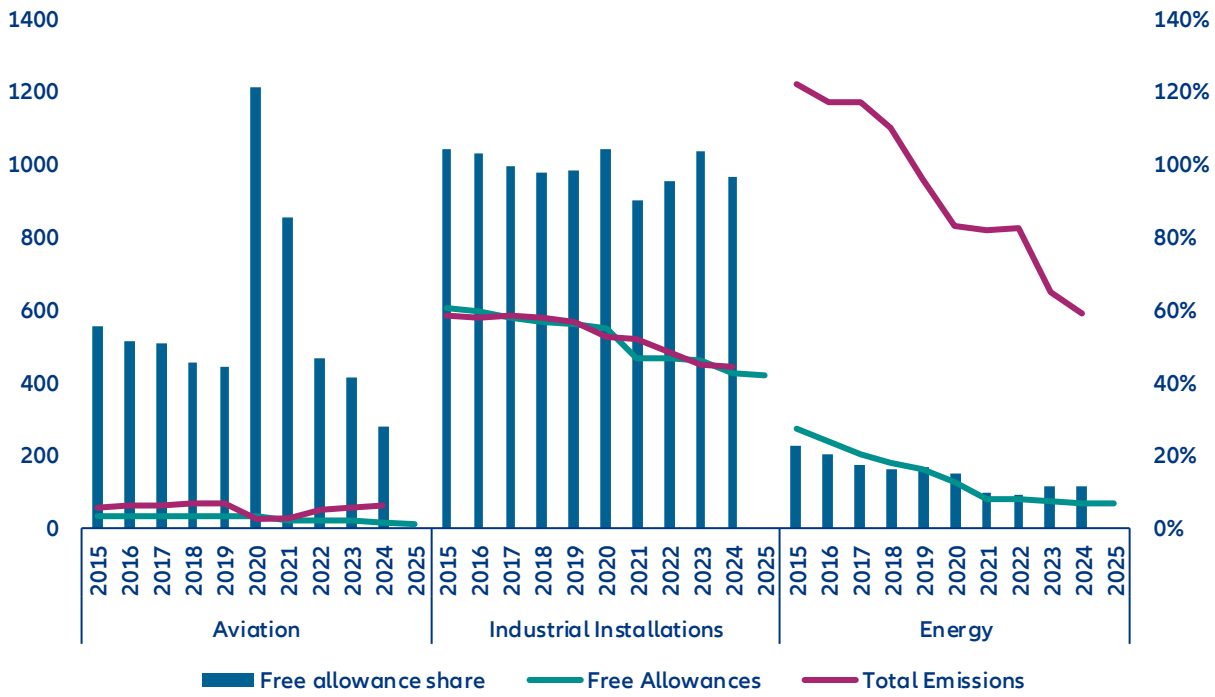
Despite the political concerns, the direct cost burden imposed by the ETS on European industry has thus far been limited. As shown in Figure 2, more than 90% of Scope 1 emissions in covered industrial sectors have been offset by free allowance allocation, effectively shielding most of the sector from direct carbon-cost exposure while some companies even generated profits from selling surplus allowances on the market. Even in a theoretical scenario with full emission coverage, ETS compliance costs in industry would amount to approximately EUR29bn, or around 0.9% of gross value added (GVA) across European industry in 2024 (Figure 3). The power sector bears a considerably higher burden in relative terms, at EUR38bn or 11.3% of sectoral GVA.

The concern is therefore less about the current level of exposure than its trajectory. Unlike utilities, industrial companies have limited ability to pass higher carbon costs through to consumers, making them more directly exposed to margin compression as free allowances are phased out. This is compounded by the gradual reduction in the overall supply of allowances, which will place upward pressure on EUA prices over time even

¹ [ECB](#)

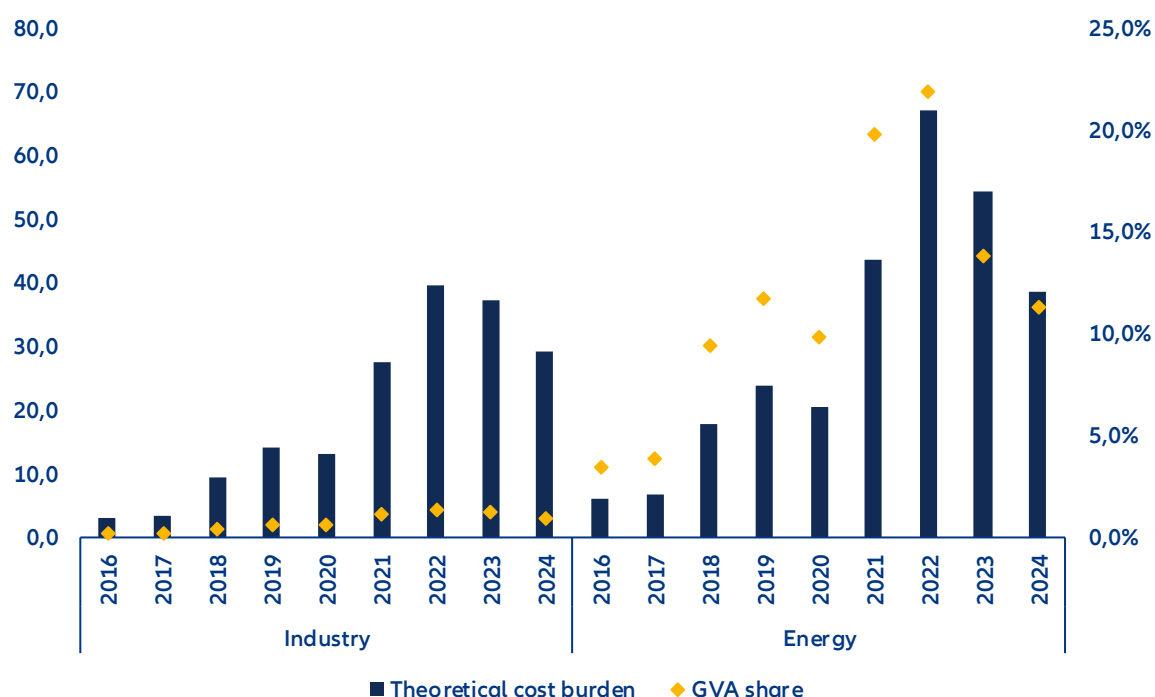
absent further policy changes. While the aggregate burden appears manageable at the economy-wide level, it is distributed unevenly across sectors and firm types, with energy-intensive industries facing the sharpest increase in net carbon costs as their allocation diminishes. A further structural issue is that the tradability of free allowances has not, in practice, generated the expected pace of industrial decarbonization. While the opportunity cost of holding rather than selling surplus allowances should in theory incentivize emission reductions, this mechanism has not translated into meaningful abatement investment across much of European industry. Understanding why requires looking beyond cost exposure to the sector-specific barriers that the carbon price signal has so far failed to overcome.

Figure 2: Sector emissions and free allowances (MtCo2, lhs) and free allowance share in total emissions (% , rhs)



Sources: EEA, Allianz Research

Figure 3: Theoretical cost burden under full exposure (EUR bn, lhs) and share in sector gross value-added (% , rhs)

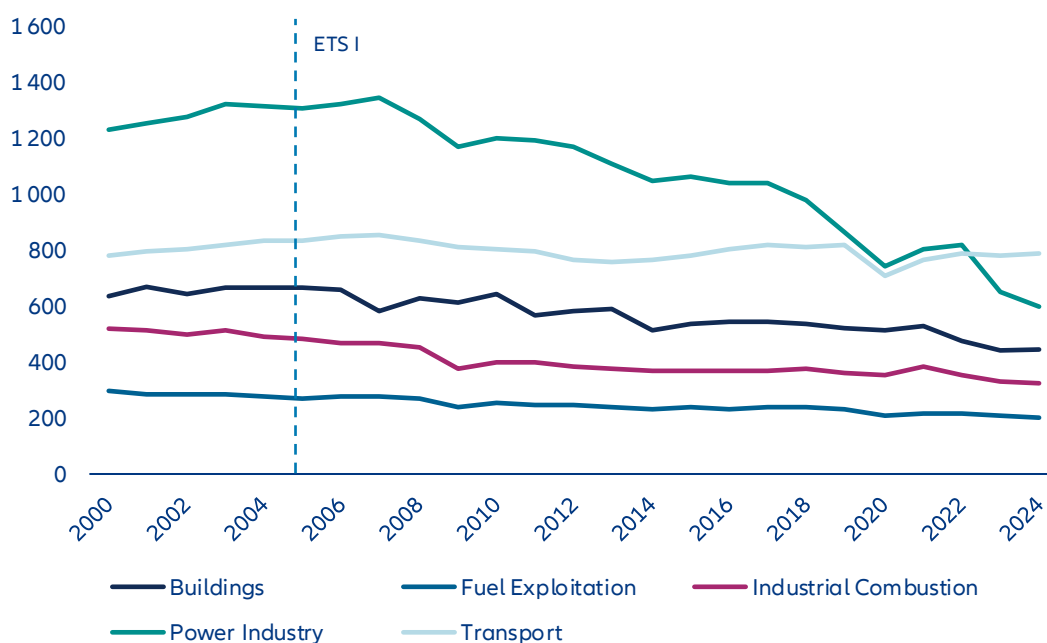


Sources: LSEG, Allianz Research

A tale of two sectors: Why carbon pricing works better for power than industry

The EU ETS has proven effective as a carbon-pricing instrument, yet its decarbonization impact varies markedly across sectors. Since its inception in 2005, emissions in covered sectors have fallen by more than -48%, compared with only -19% in non-covered sectors (Figure 4). However, the reduction is largely driven by the power sector, where emissions declined by -54%, while European industrial combustion emissions experienced a meaningful but more moderate decline of around -33%, reaching 324 MtCO₂ in 2024. While free allocation is one mitigating factor in industrial decarbonization, firms retain incentives to abate as surplus allowances can be sold on carbon markets. The more fundamental constraints lie in sector-specific abatement economics. The power sector benefits from relatively short investment cycles, readily available low-carbon substitutes and competitive market structures that facilitate fuel switching. Industry, by contrast, faces longer capital stock turnover, technologically embedded process emissions and decarbonization options with higher marginal abatement costs – that is, higher costs for reducing an additional ton of CO₂. These challenges are compounded by stronger exposure to international competition, which limits firms' ability to pass carbon costs through to product prices. As a result, carbon pricing may exert weaker investment and abatement signals in trade-exposed industrial sectors, even when allowances remain tradable.

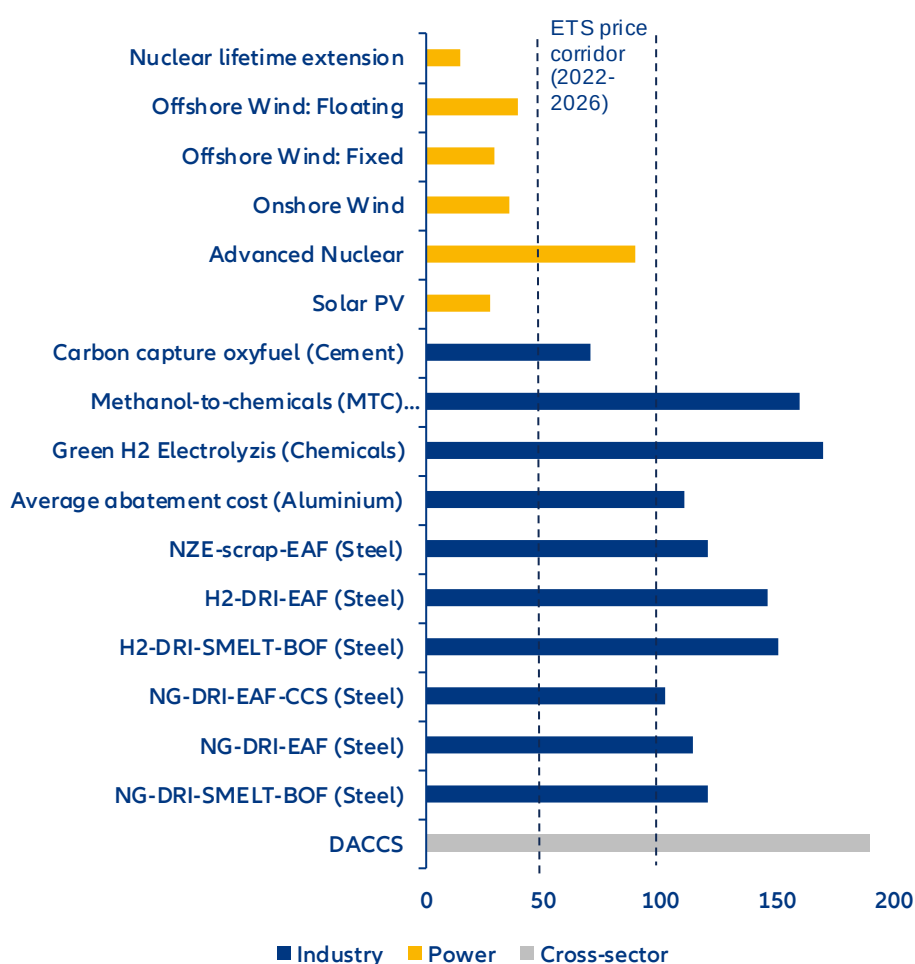
Figure 4: EU 27 emissions trajectory since introduction of EU ETS (MtCO₂eq)



Sources: JRC EDGAR

High marginal abatement costs and price uncertainty represent the two principal barriers to industrial decarbonization under the current ETS framework. While the power sector has benefited from dramatic cost reductions in renewables that enable technology switching at prices below EUR50/tCO₂, industrial decarbonization options such as green hydrogen, low-carbon steel and carbon capture typically carry abatement costs well in excess of EUR100/tCO₂ (Figure 5). This cost gap reflects both the technological complexity of transforming energy-intensive production processes and the fact that many promising abatement technologies have yet to reach commercial maturity, leaving firms exposed to considerable cost and performance risk. Persistent price uncertainty adds a further barrier: although the post-Covid tightening of allowance supply did generate upward price pressure, since the energy crisis of 2022 allowance prices have largely oscillated within a EUR50–98/tCO₂ corridor with considerable volatility. For capital-intensive investments with long payback periods and large upfront commitments, this unpredictability weakens the investment case precisely where long-term price credibility is most needed, and risks deferring the structural transitions that deep industrial decarbonization requires.

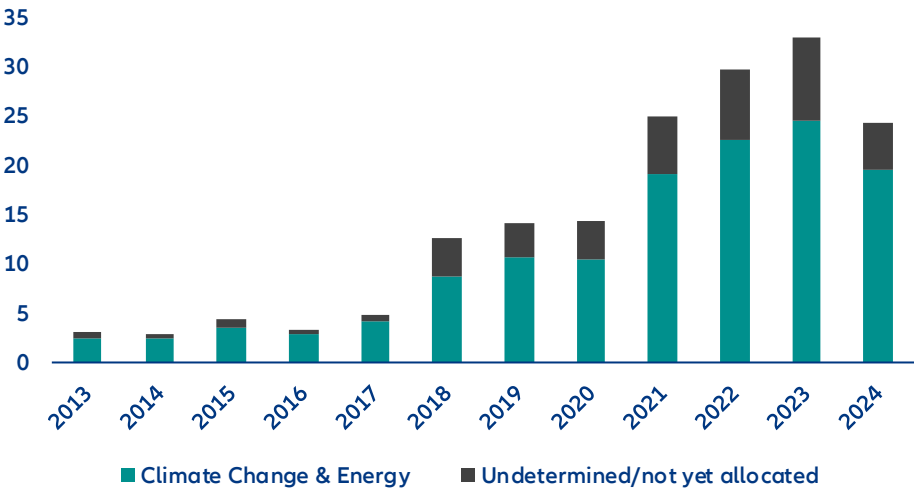
Figure 5: Abatement costs of selected decarbonization technologies by sector (EUR/tCO₂)



Source: Allianz Research based on Agora & Wuppertal Institute [1, 2], MPP, EDF and IEA; Note: Abatement cost estimates can vary widely depending on sector, technology and region specific factors. Depicted values indicate cost averages.

ETS revenue recycling represents a significant underutilized lever for bridging the industrial-abatement cost gap. While the ETS obliges member states to reinvest allocated revenues in climate-related action, the mechanism underperforms in two key respects: the completeness of fund deployment and the strategic targeting of investments. Between 2013 and 2024, 13–31% of ETS revenues per year have remained unallocated or lacked a specific climate purpose, producing a cumulative deficit of approximately EUR41bn in effective revenue recycling (Figure 6). This structural shortfall limits the extent to which the ETS revenue mechanism can complement carbon price signals and support industrial transformation.

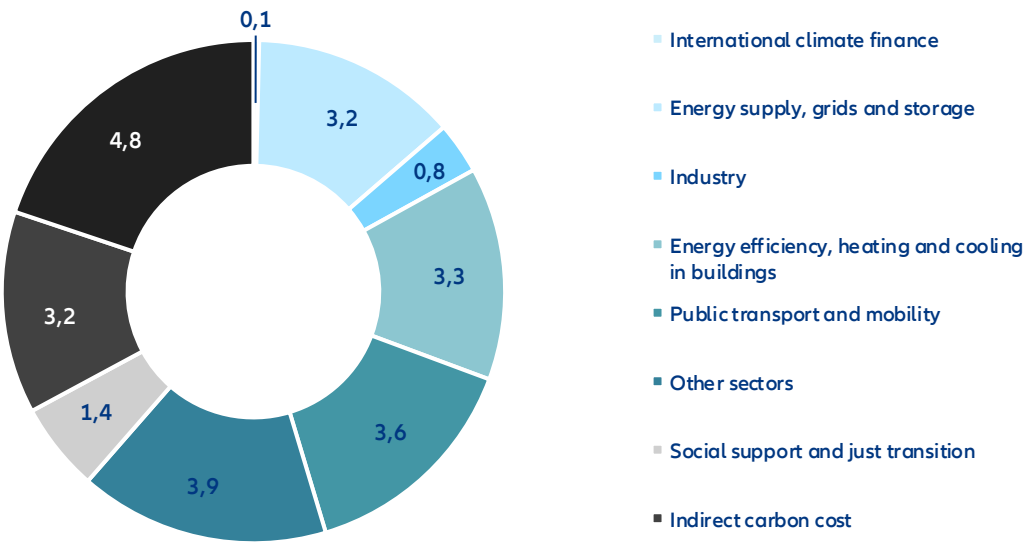
Figure 6: ETS revenue allocation gap (EUR bn)



Sources: EEA, Allianz Research

Of the funds that are recycled, the sectoral distribution raises further concerns. Only around 16% flows back into energy and industry transformation, the sectors directly covered under the ETS, while 44% is directed toward non-covered sectors such as buildings and transport (Figure 7). Although such cross-subsidization can be justified as a means of capturing near-term abatement opportunities and preparing these sectors for ETSII, an insufficient share returning to covered industries risks creating a financing trap, whereby firms bear the cost of carbon pricing without adequate access to the capital required to decarbonize. Equally important is the nature of recycling itself: in 2024, 13% of ETS revenues were directed toward "indirect carbon cost compensation" for energy-intensive industries, offsetting the very cost pressure the ETS is designed to create and thereby weakening the incentive to decarbonize. The same is true of support directed at technologies that have already reached cost-competitiveness, such as feed-in tariff schemes for mature renewables, where additionality is limited. To improve the efficiency of ETS revenue recycling, all revenues should be directed toward high-additionality decarbonization activities, ensuring covered sectors are not left underfinanced in the transition.

Figure 7: ETS revenue allocation by sector and purpose (%)

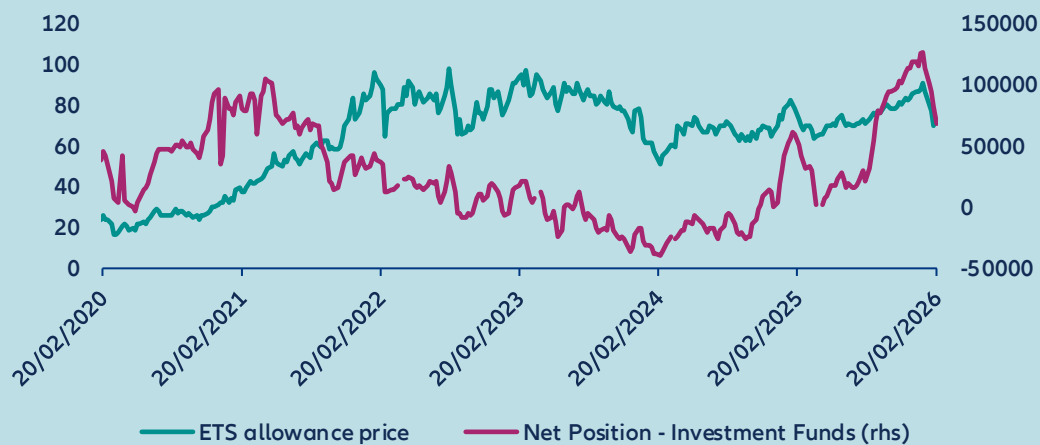


Sources: LSEG, Allianz Research

BOX 1: What is the effect on capital markets?

The financial sector constitutes a primary participant in EU ETS secondary-market trading by volume. While non-financial corporates and compliance entities accumulate net long positions, banks predominantly serve as counterparties on the short side. Investment funds represent a smaller but notable participant cohort, exhibiting positioning dynamics that more closely reflect prevailing market expectations for price developments. Following the Russian invasion of Ukraine, funds rotated to net short positions, consistent with anticipated contractions in industrial output and EUA demand (Figure 8). This positioning reversed to net long in November 2024, before funds began unwinding exposure in early January 2025, contributing to the pronounced price decline observed over that period. Prior to the price decline, investment funds had built up a record net-long position.

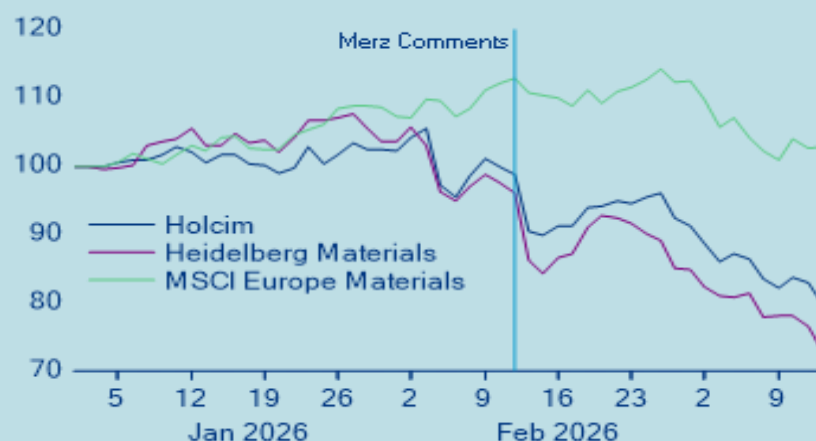
Figure 8: Investment funds' net positioning in EUA futures



Sources: Bloomberg, Allianz Research

The ongoing policy debate surrounding the future of the EU ETS has materially influenced investor expectations, particularly within the cement sector. Following the news of discussions on the future of the EU ETS market, the share price of Heidelberg Materials and Holcim, which are seen as transition leaders in the industry (see Transition Pathway Initiative assessment, for example), underperformed the broader materials sector (Figure 9). A prolonged phase-out of free allowances would disproportionately disadvantage companies that have already committed significant capital to decarbonization. Firms that invested early in low-carbon technologies or operational upgrades incurred substantial costs in anticipation of a tightening regulatory environment and rising carbon prices – an environment in which their abatement investments would generate a clear competitive return. An extension of free allocation effectively subsidizes higher-emitting peers, compressing the cost differential between decarbonization leaders and laggards and eroding the competitive advantage that early movers sought to secure. Simultaneously, lower prevailing CO₂ prices reduce the financial viability of capital-intensive abatement technologies such as Carbon Capture, Utilization and Storage (CCUS), for which the economic case depends critically on a sufficiently high and predictable carbon price signal. In aggregate, policy signals pointing toward a more lenient allocation regime risk undermining both the relative positioning of decarbonization leaders and the broader investment case for emission-reduction technologies across the sector.

Figure 9: Price reactions in European cement equities following statements on EU ETS reform



Sources: LSEG, Allianz Research

EUA price dynamics represent a meaningful driver of equity returns in carbon-intensive sectors. To quantify this relationship, sector index returns were regressed on both STOXX Europe 600 returns and the returns of rolled December EUA futures contracts from 2022 onwards. The results reveal a statistically significant and negative coefficient for EUA returns in the case of the STOXX Europe 600 Construction Materials Index and the STOXX Europe 600 Chemicals Index, indicating that rising carbon prices weigh on equity performance in these sectors. By contrast, no such relationship was identified for the STOXX Europe 600 Utilities or Basic Resources subindices. In the case of Basic Resources, this outcome is largely a function of index composition, given the limited share of steel producers among its constituents. For Utilities, the absence of a significant carbon price sensitivity is more structural in nature, reflecting the sector's substantial progress in decarbonization over recent years and the correspondingly reduced reliance on purchased allowances.

For now the market seems to price in an extreme scenario of adjustments to the EU ETS for some of the affected companies rather than a delayed phase out. Changes to the EU ETS are necessary to improve its effectiveness, but the phase-out of free allowances should continue. For investors aiming to decarbonize their portfolios and invest into transition leaders, these market reactions present a good opportunity to build up exposure to companies in hard-to-abate sectors that are actively decarbonizing their operations and that have credible transition plans.

Bracing for impact: Getting buildings and transport ready for ETS2

The EU ETS experience offers both a proof of concept and a cautionary tale for the next phase of European carbon pricing. Confirmed to begin in 2028 following a one-year delay, ETS2 will extend carbon pricing to fuel combustion in buildings and road transport, sectors that together account for 52% of EU greenhouse gas emissions and where decarbonization progress has significantly lagged. Unlike ETS1, ETS2 will operate as a separate emissions trading system with its own distinct carbon price, reflecting the different cost structures and abatement dynamics of these sectors. Regulated entities will be fuel distributors rather than end-users, who will bear the cost indirectly through fuel prices. To limit affordability pressures during the start-up phase, ETS2 includes a transitional price cap of EUR 45/tCO₂ in 2023 real terms (approximately EUR 59/tCO₂ in nominal 2028 terms), below which the carbon price is prevented from rising freely. The central lesson from ETS1 is that carbon pricing works when abatement alternatives are cost-competitive and enabling infrastructure is in place before the price signal bites. The cap is therefore an acknowledgment that those conditions are not yet fully met, and that the transition needs time to mature before the full price signal can do its work.

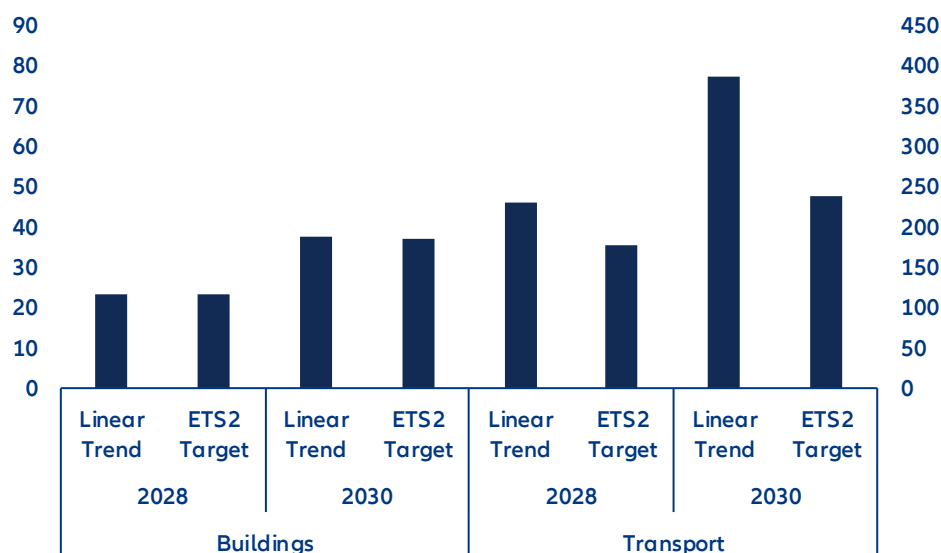
Cost-competitive low-carbon alternatives exist in both sectors, but remain underdeployed. In road transport, battery costs have fallen by over -75% since 2015, yet European consumers have not fully benefited. Pack prices in Europe remain around 56% above Chinese levels, and carmakers' focus on high-margin premium models pushed the average EU EV price up by EUR 5,000 between 2020 and 2024 to EUR 44,600.² Passing battery cost reductions through to vehicle prices, alongside a continued expansion of charging infrastructure, will be essential to make EVs cost-competitive before ETS2 enters into force. In buildings, accelerating energy-efficiency renovations, expanding heating networks in urban areas and scaling heat pump adoption are the central levers, yet all three face high upfront costs that current financing frameworks are not yet equipped to meet at scale.³

Closing these gaps before 2028 is urgent as inaction carries a measurable cost. In a pessimistic scenario with full sector coverage and only marginal reductions in emissions over the coming years, the annual ETS2 cost could be as high as EUR 69bn by 2028 and EUR 114bn by 2030 (Figure 10). Should ETS2 achieve its targeted 42% emission reduction against 2005 levels, these figures fall to EUR 58bn in 2028 and EUR 85bn in 2030. While this would alleviate some of the pressure on households, decreasing the cost burden by 15%-26%, the annual additional household expenses could come in as high as EUR 420 per year by 2030. Reducing these costs is achievable, but hinges on adequate redistribution and well-designed supporting policies.

² [BNEF](#) and [T&E](#)

³ For a more detailed analysis on heat pumps see [The heat is on: Unlocking Germany's heat-pump potential](#)

Figure 10: Projected ETS2 revenues per sector: annual total (EUR bn; lhs) and per household (EUR; rhs) under full sectoral coverage



Sources: JRC EDGAR, Eurostat, Allianz Research; Note: For 2028 an initial maximum allowance price of EUR59/tCO₂ was assumed which increases to EUR100/tCO₂ in 2030; The ETS Target scenario is based on the 42% ETS reduction target for 2030 while the linear trend assumes an annual emission reduction rate aligned with the average annual reduction over the last 20 years

Making ETS2 work requires addressing these conditions well before the carbon price arrives. ETS1 revenues have already been partially directed toward buildings and transport, providing a foundation on which ETS2 can build, but the gaps remain substantial. Fossil-fuel subsidies across the EU still amount to EUR113bn annually, suppressing the relative cost of carbon-intensive heating and driving and blunting the investment case for cleaner alternatives. A credible partial phase-out would simultaneously strengthen price incentives and free up fiscal space for the infrastructure and household support the transition requires. Equally important is policy consistency as repeated reversals on fossil boiler phase-outs, subsidy schemes and regulatory timelines have fostered a wait-and-see mentality among households and investors, deferring the long-cycle decisions on heat pump installations, building retrofits and EV purchases that need to be made within the coming years.

Social acceptability is the defining political challenge for ETS2, given that its costs fall more directly on households. The aggregate macroeconomic impact is manageable: at a carbon price of EUR 59/tCO₂, the estimated inflationary effect amounts to approximately 0.54pp, while the GDP impact is projected at around 0.02pp provided revenues are recycled rather than absorbed into general fiscal accounts.⁴ However, these aggregate figures mask a regressive distribution, with lower-income households facing a disproportionate burden as energy and transport represent a larger share of their expenditure. Ensuring that revenues are recycled toward those most exposed, through direct transfers, subsidized access to low-carbon technologies and investment in shared infrastructure, will therefore be central to maintaining the public legitimacy on which ETS2's long-term viability depends.

From price signal to investment signal: Seven priorities for ETS reform

The EU ETS is fundamentally sound, but the political commitment to making it work has not matched its ambition; what the system requires is not a redesign but the resolve to make it effective and predictable. The core challenge is not that the ETS is too stringent, but that it has failed to provide the certainty and complementary support that capital-intensive industries require to commit to deep decarbonization. That failure carries a forward-looking dimension: With ETS2 set to extend carbon pricing to buildings and road transport from 2028, the structural lessons of ETS1 – on price credibility, revenue recycling and enabling infrastructure –

⁴ See [Climate policy: Europe's industrial shield or a drag on competitiveness?](#)

are also the design requirements that will determine whether the next phase succeeds. The following seven recommendations address this commitment gap and represent the priorities the Commission should act on in its 2026 ETS review:

- 1. A credible and predictable EUA price path is a prerequisite for long-term investment planning in carbon-intensive industries.** Many of the most consequential decarbonization decisions, such as switching to hydrogen as an industrial feedstock, involve long capital cycles and require sufficient and stable carbon price expectations to be financially justified. The Market Stability Reserve has broadly fulfilled its role in correcting surplus-driven price weakness, but should be refined to better contain sharp volatility and support a credible long-run price corridor. Publishing a transparent indicative price trajectory would materially reduce investment uncertainty and strengthen the carbon price as a basis for industrial decision-making.
- 2. Bridging the abatement cost gap requires scaling up Carbon Contracts for Difference (CCfDs) as a primary instrument for de-risking investment in breakthrough technologies.** CCfDs work by guaranteeing producers a fixed return for low-carbon production, paying out the difference between an agreed strike price and the prevailing carbon price when the latter falls short of what is needed to make the investment viable. This ensures that decarbonization investments in hard-to-abate sectors such as steel, cement, and chemicals remain financially attractive independent of carbon price volatility. Scaling up CCfD programmes and ensuring sufficient public backing to underwrite strike price commitments should therefore be a central priority of the ETS reform agenda.
- 3. Revenue recycling must be made more effective through binding standards that prevent underspending and ensure funds are directed toward activities where additional decarbonization can be achieved.** The newly established decarbonization bank provides a potential vehicle for channeling industrial transformation funding at scale, and its mandate should be explicitly linked to ETS revenue flows. Alongside this, a coordination mechanism is needed to prevent unilateral national measures, such as subsidized industrial electricity prices or ETS cost reimbursements, from fragmenting the integrity of the pan-European carbon price signal. The same discipline must apply to ETS2 revenues from the outset: the EUR113bn in annual fossil-fuel subsidies across the EU that currently suppress the relative cost of carbon-intensive heating and transport represent both a fiscal and a political opportunity. A credible phase-out would simultaneously strengthen price incentives and free up resources for the household support and infrastructure investment that ETS2 requires.
- 4. Decarbonization of energy-intensive industries also depends on shared infrastructure that no individual firm can finance alone.** Public investment should prioritize CO₂ transport and storage networks, hydrogen pipelines and the development of industrial clusters where infrastructure costs can be pooled. Without this foundation, even well-funded firms face structural barriers to acting on the carbon price signal.
- 5. The phase-out of free allowances should continue, but its pace must be made more explicitly contingent on the availability of abatement technologies, transition funding and infrastructure.** A phase-out that runs ahead of these enabling conditions risks creating a financing trap in which firms face rising compliance costs without a viable decarbonization pathway. The schedule should also incorporate a more systematic assessment of carbon leakage risk and competitive asymmetries, particularly for sectors not yet fully covered by CBAM.
- 6. The Carbon Border Adjustment Mechanism should be expanded to cover downstream sectors and indirect emissions currently left exposed by its narrow adoption.** As free allocation is phased out, border protection must keep pace to ensure that European industry is not placed at a structural competitive disadvantage relative to international competitors operating under less stringent carbon regimes. A broader CBAM scope is therefore not only a competitiveness measure but a precondition for the phase-out of free allocation to proceed without undermining the industrial base the ETS is intended to transform.
- 7. Social acceptability must be treated as a first-order design requirement for ETS2, not an afterthought.** Unlike ETS1, where carbon costs fall primarily on industrial firms, ETS2 will reach households directly through fuel prices for heating and road transport from 2028. The cost distribution

is regressive by nature – lower-income households spend a larger share of their income on energy and transport and will bear a disproportionate burden unless revenues are actively recycled toward direct transfers, subsidized access to low-carbon technologies and investment in shared infrastructure. Ensuring that ETS2 revenues are transparently earmarked for those most exposed is not merely an equity concern: it is the precondition for maintaining the public legitimacy on which the long-term viability of European carbon pricing depends.

These assessments are, as always, subject to the disclaimer provided below.

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(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,

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Not all Emerging Markets are equal: Hormuz, triple deficits, and the new energy risk premium

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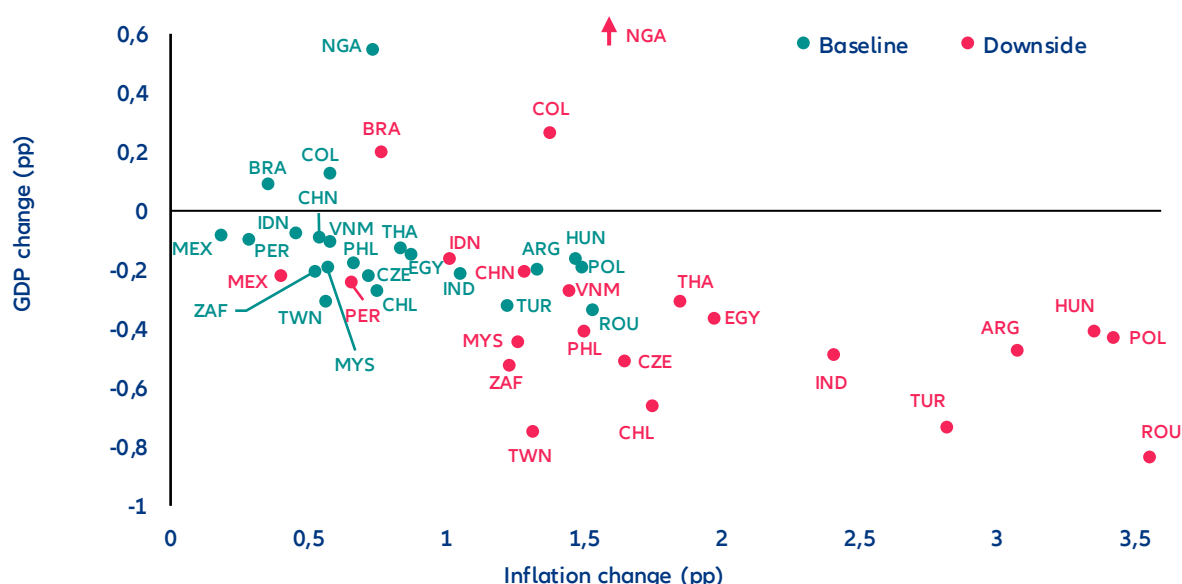
In Summary

- **Less than 2 months' disruption of the Strait of Hormuz could push average EM inflation higher by +0.8-1.0p with limited recessionary effects – apart from GCC countries.** We estimate that the closure of the Strait of Hormuz up to six weeks would result in a -1.6pps decrease in GDP for Saudi Arabia and -3.3pps for the UAE. Tourism – a key pillar of diversification across the Gulf – would also be hit in the short term, with knock-on effects on FDI and mega-project timelines including AI.
- **From price shock to supply shock? As the conflict drags on, Asian economies could face supply disruptions on top of stronger inflationary shocks, given that 56% of their oil imports and 30% of their total gas imports originate from the Middle East.** In Asia, Taiwan, Vietnam, Thailand, Pakistan, Bangladesh and Sri Lanka are more exposed to a supply shortage while in Africa, Egypt, Ethiopia, Kenya and Tunisia would suffer the most from a global oil supply shortage, given their exposure to Middle Eastern hydrocarbons. A temporary shortfall could be partially mitigated through adjustments in the energy mix (i.e. coal and renewables to a lesser extent), but energy supply disruptions for an extended period would require demand rationalization of -5 to -7% in the final energy consumption should prices double.
- **Beyond three months of closure for the Strait of Hormuz, many more EM countries are at high recession risk as they run triple deficits (fiscal, current account, energy).** GDP growth impact would average at least -0.5pp to 3.1% for emerging markets excluding China. Bangladesh, Egypt, Ethiopia, Jordan, Kenya, Morocco, Pakistan, Poland, Romania, Sri Lanka and Tunisia would be most at risk. Meanwhile, a second group of economies sits in moderately high risk as they have more room to maneuver to support their economies: Chile, China, Hungary, India, the Philippines, Taiwan, Thailand and Türkiye. By contrast, large commodity exporters such as Brazil and Mexico appear structurally resilient despite fiscal deficits as energy exports cushion the impact of higher prices.
- **The shock came at a supportive moment for EM carry. It calls for selectivity along a targeted energy risk premium.** Early market repricing has begun: FX markets reacted quickly, with the Egyptian pound experiencing the largest depreciation (-9.2%), followed by the Hungarian forint (-8%) and the Chilean peso (-4.9%). Repricing in local bond markets reveals a highly differentiated picture. In Mexico, the rise in nominal yields is largely explained by higher inflation expectations, while in Central and Eastern Europe – where the sell-off has been strongest – markets are pricing a larger share of risk and liquidity premia. The shock also complicates the policy outlook: With energy-driven inflation risks rising, many EM central banks are likely to remain on hold for longer despite slowing growth. A prolonged conflict could see inflation expectations repricing more forcefully across EM curves, steepening local yield curves and delaying monetary easing cycles. Overall, the adjustment is likely to remain selective rather than systemic. The most likely outcome is therefore the emergence of a targeted energy risk premium across vulnerable EM economies rather than a broad-based sell-off across the asset class.

From price shock to supply shock?

The 40% spike in energy prices in the first week of the conflict is the most rapid transmission channel to the global economy. On 9 March, the oil benchmark briefly reached USD120/bbl, later dropping to USD80/bbl. At the time of publication, oil remains around 15% above its pre-conflict level. Even if energy transportation is disrupted for only a short period, the conflict will still have a lasting impact on energy prices as it would take several weeks for production and supply to go back to pre-conflict levels. We expect prices to return closer to USD70/bbl, which would still be 16% above the pre-conflict baseline. This shift could push average EM inflation higher by 0.8-1.0pp, but the magnitude will depend on countries' energy exposure (particularly across Asia and energy-importing EMs). CEE economies – particularly Hungary and Romania – face the largest GDP hit given acute energy import dependency, followed by Thailand and Chile. Oil exporters such as Nigeria, Colombia, and Brazil would be relatively shielded, while Indonesia stands out among importers as more resilient given significant domestic energy production capacity.

Figure 1: Change to inflation and GDP growth rates in 2026 in selected EMs, baseline vs downside scenario



Sources: Oxford Economics, Allianz Research

The most immediate economic consequences are concentrated in the countries closest to the conflict — across the Gulf and the wider Middle East — where normal economic activity has been directly disrupted by the conflict. Early estimates of a short-term conflict show a GDP drop for Saudi Arabia and the UAE of -3pps and -4.3pps, respectively, considering major economic disruptions, the fall in tourism and a temporary drop of energy exports due to the effective closure of the Hormuz Strait. However, a short-lived conflict would also bring a quick rebound, with rates of +6.5% in Saudi Arabia and +7.6% in the UAE. The GDP loss in the entire Gulf Cooperation Council would be -3.3pps, with a considerable rebound of +6.4% of GDP growth in 2027. Dubai's real estate sector — one of the world's most dynamic property markets in recent years — took a significant hit on the Dubai financial market in the week since the conflict began, with main listed developers repricing sharply between -13% and -17%. The rest of the region, specially Kuwait and Bahrain, will be the most impacted given its dependence on the Hormuz Strait for both exports and imports. Bahrain's sovereign CDS spreads have widened by nearly 40% since the outbreak of hostilities — the sharpest move within the GCC complex and a clear market signal that investors are differentiating sharply between Gulf credits on the basis of fiscal resilience and hydrocarbon self-sufficiency.

The long-term war scenario would result in harsher consequences via a large drop in hydrocarbon exports and reduced confidence in the region. History indicates several scenarios for how the conflict could impact the region. The Iraq-Iran tanker war in the 1980s, which threatened the closure of the Strait of Hormuz, had large long-term

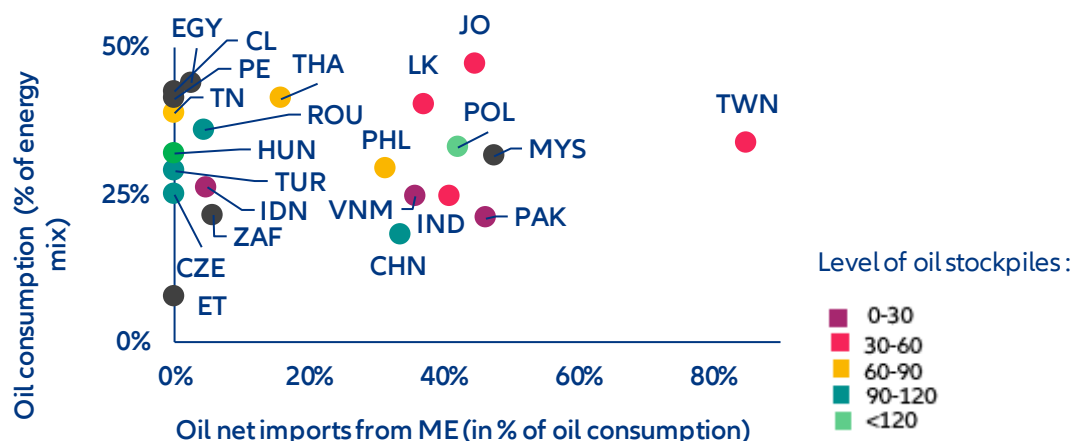
implications for Saudi Arabia, with the Kingdom growing at an average of +0.5% between 1981-1988 due to lower exports of oil. While both Saudi Arabia and the UAE both have some capacity to continue oil exports through different pipelines that connect their oil fields to ports outside of the Gulf, a sustained closure of the Hormuz Strait would greatly reduce both countries' hydrocarbon exports. Kuwait, Qatar, Bahrain and Iraq, which do not have much capacity to export without circulating the Strait of Hormuz, would suffer the most. Saudi Arabia and the UAE have both also enjoyed large inflows of investment and people, especially since the pandemic due to their open borders, tax exemptions for residents and increasing leisure and tourist attractions. Historical precedent suggests Gulf tourism could recover within one to two years. But if the conflict drags on and reshapes the region's security perception durably – as happened with Egypt between 2013 and 2017 – the recovery timeline extends to five to seven years, with compounding effects on FDI, mega-project timelines, the broader Vision 2030 ambitions and the region's ambition to become a global AI hub. The physical risk of data centers (Iran has targeted at least three data centers operated by Amazon in the UAE and Bahrain) and the consequences that this brings to economic activity in the country as it could paralyze banks, government offices, etc. Beyond the GCC, the rest of the region could be further impacted, with countries as far as Egypt or Türkiye recording drops in tourism.

A second wave of impact would come from hydrocarbon shortages from a longer closure of the Strait of Hormuz. This would turn into a significant supply shock – a qualitatively different and more damaging scenario that in most cases would lead to a recession in countries dependent on energy from the Gulf. Asia would be the most impacted region, given the high dependence on Middle Eastern hydrocarbons, with 56% of the region's oil imports coming from the Gulf. Gas prices could potentially double, which could trigger a fall in gas consumption of 5-7% in Asia. Building from the European precedent, we estimate that every -1% drop in gas consumption would equal 0.08–0.10pp GDP growth loss. Hence, for Asia, this could mean an impact above -0.5pp of GDP for the most impacted countries such as South Korea (-0.7pp) or a drop below 0.2pp as it is the case for India (-0.1pp).

The impact across Asian economies would be asymmetric, with Taiwan, Pakistan and Vietnam among the most impacted while Malaysia, Indonesia and China would remain shielded. Taiwan emerges as the most exposed country through its high dependence on Middle Eastern hydrocarbons, high dependence on oil in the energy mix and very low levels of oil stockpiles domestically. Pakistan and Vietnam are also in a delicate situation, with around 40% of oil consumption dependent on Middle East sources and very low reserves. However, their energy mix is slightly less dependent on oil than other EMs with a similar dependence on the Middle East but higher reserves. Despite reserves of around a month, India, and more particularly Sri Lanka, present similar characteristics and are also highly exposed. Thailand is another economy at risk: Despite relatively well-filled reserves and a low dependence on the Middle East, the country's high reliance on oil in its energy mix could result in a higher inflationary impact as it will need to buy more oil compared to peers. Similarly, if the conflict and closure of the Hormuz strait were to last, the Philippines and Indonesia could also start seeing some inflationary impact as more and more countries start competing for new partners. Despite a relative dependence on imports from the Gulf, China benefits from one of the highest levels of reserves in the region combined with a relatively low dependence on oil in its energy mix. And Indonesia should be shielded from an inflationary shock despite low reserves, given its low dependence on the Middle East, but also on the rest of the world.

Non-Asian emerging markets are comparatively better insulated from the Strait of Hormuz disruption. European emerging markets are relatively shielded by their low exposure to Middle Eastern crude – with the exception of Poland – relatively low oil dependency in the broader energy mix and solid strategic reserves. Despite higher reliance on oil, Latin America countries are amongst the most isolated from the shock due to a very low reliance on Middle East imports.

Figure 2: Oil dependency on the Middle East in selected EMs



Note: Oil dependency is computed as net imports of crude oil from Middle East divided by total oil consumption.

Sources: IEA, UN Comtrade, Allianz Research

The final macroeconomic impact would also depend on the scale of government support measures implemented to cushion households and firms. Policy responses could significantly mitigate the inflation shock, as seen during the 2022 energy crisis in Europe. At that time, European governments deployed energy-support measures equivalent to roughly 4% of GDP over a year, including price caps, tax cuts and transfers. Assuming the shock remains roughly half the size of the 2022 European energy shock, Asian economies, given their higher dependence on imported energy, would likely require subsidies of around 0.25% of GDP (or about 2% annualized) to smooth the impact on households and firms. In the CEE region, Hungary has already introduced fuel price caps, increasing pressure on the fiscal deficit running already at -5.1%. In Asia, Indonesia, South Korea, and Japan are providing continued support to their populations through energy subsidies and oil price caps. In the Middle East, Egypt sits in a precarious position, subsidies remain substantial, with the 2025/26 budget already allocation 0.6% of GDP, with a fiscal deficit already at -10% and a matched external deficit, Cairo could fall into fiscal slippages. During the last shock, UAE and Qatar supported Egypt with large transfers of capital, but with new priorities in the Gulf capital's due to the war, it remains a question how Egypt could sustained a long-period of high energy prices.

Despite potential mitigations channels, energy supply disruptions would require demand rationalization.

While part of the shortfall could be mitigated through adjustments in the energy mix – for instance via a temporary ramp-up in coal generation – and roughly half of the disrupted volumes could potentially be rerouted or offset by higher oil production elsewhere (notably in the US or Russia), supply substitution would only partially compensate for the disruption. In that scenario, energy-demand rationalization would become unavoidable, affecting both companies and households. Several Asian economies — from Japan to Thailand — are feeling the strain of the Hormuz closure and have moved quickly to manage supply, implementing measures ranging from fuel export bans and energy-saving policies such as four-day workweeks and remote working mandates, to ramping up oil purchases from Russia. The European experience in 2022 illustrates the scale of adjustment that may be required. At the peak of the crisis when gas prices tripled to 330 EUR/MWh, and for a dependency to Russia of more than 40% of total EU gas imports, Europe managed to reduce gas consumption by almost -20% driven by high prices, supply shortages and emergency policy measures.

The Middle East represents 30% of total natural gas imports to Asia, again with some disparities across individual countries. With 80% of its imports coming from the Gulf, India is the most exposed to the repercussions of the conflict on gas prices, followed by Vietnam and Indonesia. However, as natural gas does not represent a high share of these countries' energy supply, the impact should remain relatively muted. Though the shock will be much less than that of oil, Thailand, Taiwan and Pakistan should be carefully monitored as they present a larger share of

natural gas in their consumption mix compared to the region combined with a relative dependence on imports from the Middle East, especially for Taiwan and Pakistan where the Gulf represents more than 25% of their consumption.

More severe and systemic spillover effects would materialize if the Strait of Hormuz remains closed beyond the short-term threshold, transforming what began as a price shock into a structural disruption. Each additional week of Hormuz closure compounds recessionary pressure as reserves deplete and supply shortages broaden. In a scenario extending beyond three months, EM GDP takes an average hit of -0.5pp or more, with the most energy-dependent economies bearing a disproportionate share. In that scenario, emerging markets running twin deficits – fiscal and current account – would face acute pressure as deteriorating energy import bills compound already-stretched external balances and financing needs. Those carrying a triple deficit – where an energy balance deficit layers on top – would be most severely impacted, facing simultaneous pressure on their currencies, sovereign spreads and growth trajectories, with limited policy space to respond.

Countries combining fiscal deficits, external imbalances and energy import dependence emerge as the most exposed to a prolonged disruption in Middle Eastern energy supply. Economies such as Romania, Poland and Tunisia display the clearest triple-deficit configuration, where sizeable fiscal deficits coincide with current account gaps and structurally negative energy balances. In these cases, higher oil prices would simultaneously widen external deficits, worsen fiscal dynamics through energy subsidies or weaker growth and weaken currencies through deteriorating terms of trade. Several frontier and lower-income importers – notably Egypt, Sri Lanka, Kenya, Ethiopia, Jordan, Morocco and Bangladesh – also appear particularly vulnerable given already elevated financing needs and limited macroeconomic buffers. In contrast, commodity exporters such as Nigeria, Colombia and Indonesia remain comparatively insulated as positive energy balances provide a natural hedge against higher oil prices, supporting both fiscal revenues and external accounts.

A second group of economies sits in an intermediate zone where vulnerabilities stem primarily from energy dependence rather than broad macroeconomic imbalances. Chile, China, India, the Philippines, Hungary, Taiwan, Thailand and Türkiye fall into this category. These economies run structurally negative energy balances and would therefore face pressure on external accounts if prices remain elevated, but the overall macro impact depends on policy space and external buffers. In several cases, relatively manageable current account positions, diversified economies or stronger reserve coverage could mitigate the shock. By contrast, large commodity exporters such as Brazil and Mexico appear structurally resilient despite fiscal deficits, as energy exports cushion the impact of higher prices. Overall, the table highlights that the transmission of a prolonged oil shock across emerging markets would remain highly uneven, with risks concentrated in economies where external imbalances, fiscal constraints and energy dependence overlap.

Table 1. Emerging markets exposure, market reactions and coping mechanisms

Country	Exposure to the Middle East crisis				Market reaction since Feb 27		Coping mechanisms					
	Energy balance (% of GDP)	Strategic oil reserves (days of consumption)	Vulnerability to energy price shock	Vulnerability to ME supply shock	FX (% change vs USD)	Bond yields (bps)	Fiscal balance (% of GDP)	Current Account (% of GDP)	FX reserves (months of imports)	FX outlook	Central Bank stance (by mid-)	Risk of fiscal slippage throughout
Argentina	0.6	NA	Medium	Low	-0.04	11.0	-1.5	-0.4	3.8	Neutral	On hold	Low
Bangladesh	-3.5	49	High	High	-0.41	32.1	-3.9	-0.9	4.9	Negative	On hold	High
Brazil	0.9	NA	Low	Low	-3.77	88.3	-7.5	-2.3	12.1	Positive	On hold	Medium
Chile	-4.4	25	High	Medium	-4.94	18.5	-0.6	-2.2	6.7	Negative	On hold	Low
China	-2.4	100	Medium	Medium	-0.56	38.0	-5.0	2.8	12.3	Neutral	On hold	Medium
Colombia	3.9	NA	Low	Low	1.31	N/A	-5.7	-2.6	9.6	Negative	Hike	Medium
Czechia	-2.4	117	High	Medium	-4.47	58.8	-2.1	0.4	9.3	Negative	On hold	Medium
Egypt	0.0	NA	Medium	High	-9.16	40.0	-10.7	-4.3	4.3	Negative	On hold	High
Ethiopia	-4.0	NA	High	High	-0.47	N/A	-1.7	-2.6	3.7	Negative	On hold	Medium
Hungary	-3.6	215	High	Medium	-8.02	94.0	-5.1	0.9	3.7	Negative	On hold	High
India	-3.7	30	High	Medium	-1.61	2.0	-1.8	-1.4	9.1	Neutral	On hold	Medium
Indonesia	1.1	20	Low	Medium	-1.04	40.7	-2.7	-1.2	7.1	Negative	On hold	High
Jordan	-8.0	45	High	High	0	-50.7	-3.5	-5.5	7.7	Negative	On hold	Medium
Kenya	-4.5	NA	High	High	-0.27	10.0	-5.6	-3.4	5.7	Negative	On hold	High
Malaysia	-0.4	NA	Medium	Medium	-1.23	7.6	-3.6	1.8	5.3	Negative	On hold	High
Mexico	0.7	NA	Low	Low	-4.25	48.5	-4.1	-0.3	4.3	Neutral	On hold	Medium
Morocco	-5.0	30	High	Medium	-3.28	21.5	-4.5	-1.5	7.4	Neutral	On hold	Medium
Nigeria	12.2	NA	Low	Low	-1.91	61.3	-3.7	3.6	12.0	Neutral	On hold	Medium
Pakistan	0.0	28	High	High	0.02	66.0	-4.1	-0.4	11.6	Negative	On hold	High
Peru	-0.5	NA	High	Low	-3.1	30.7	-2.2	1.2	14.8	Negative	On hold	Low
Philippines	-4.2	60	High	Medium	-3.59	68.8	-0.3	-3.5	8.2	Negative	On hold	Medium
Poland	-2.1	121	High	Medium	-4.86	83.1	-6.3	-0.8	5.7	Negative	On hold	High
Romania	-1.7	92	High	Medium	-3.54	101.0	-6.2	-6.6	6.0	Neutral	On hold	High
South Africa	-2.3	NA	Medium	Low	-6.39	96.0	-5.6	-1.2	5.6	Neutral	On hold	Low
Sri Lanka	-4.5	35	Medium	High	-0.63	4.4	-6.5	0.5	4.5	Negative	On hold	High
Taiwan	-5.1	40	Medium	High	-2.25	4.0	-0.2	13.1	15.9	Negative	On hold	Medium
Thailand	-7.8	60	High	High	-4.58	33.5	-2.5	1.3	8.9	Negative	On hold	Medium
Tunisia	-4.0	60	High	High	-3.07	N/A	-6.0	-2.0	4.9	Negative	On hold	High
Türkiye	-3.6	94	High	Medium	-0.64	233	-0.7	-1.3	2.7	Neutral	Hike	Medium
Vietnam	-2.5	15	Medium	High	-0.89	7.7	-2.3	2.4	2.3	Negative	On hold	Medium

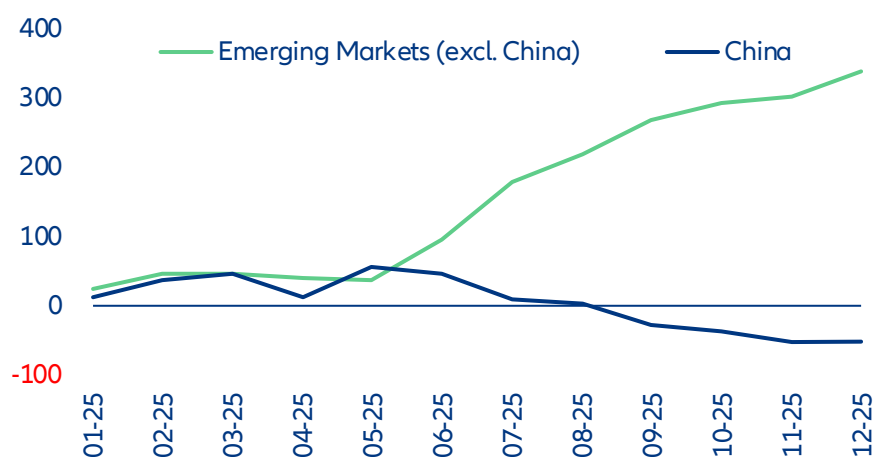
Sources: LSEG, Allianz Research. Note: Data as of 13/03/2026. In green central banks that were cutting before the conflict in the Middle East escalated.

Türkiye and India in particular sit at the intersection of competing blocs – geographically indispensable, politically non-aligned, economically interdependent – and risk paying a price. From a market perspective, both countries continue to post twin deficits (fiscal and current account balance). Last year, Türkiye returned to a positive primary balance for the first time since 2022, while India has had positive primary balance for some time. In the case of Türkiye, recent history shows that when energy prices were at their highest (2022, but also in the 2012-2014 cycle), Ankara has maintained a positive primary balance – at the expense of inflation. The current account will tend to be more negative this year, potentially hitting 2-2.5% of GDP if energy prices remain elevated, with effects on the lira and domestic inflation, but there may be room for subsidies. Fiscal discipline remains in place, but with debt/GDP at 25%, the value of gold reserves increasing further and the ever-present debate about bringing forward the presidential elections before their natural schedule in May 2028, the temptation to mitigate the effects of price increases in some way could also increase. India is also positioned with better footing than the 2022 scenario, with the fiscal deficit improved from the 2022 period (-0.8% in 2025 vs -2% in 2022) and the external balance at -0.2% of GDP. While an energy shortage could harm the country, India could shift oil and natural gas imports to domestic coal consumption, mitigating part of the shock. FX reserves remain very high at 11 months of imports.

Energy price premium ahead for emerging markets?

The new escalation in the Middle East could reverse the record gains of emerging markets. 2025 began with pronounced outflows for emerging markets (excluding China), reaching a cumulative low of -USD10.8bn around the implementation of President Trump's "Liberation Day" tariffs. But that marked a turning point as market sentiment and dollar depreciation turned in EMs' favor, bringing back flows. As a result, 2025 ended with record portfolio flows (USD410bn), almost double from the previous year, much above the historical average and a turnaround from the capital outflows experienced after the pandemic. EM bond funds concluded 2025 with their first annual net inflows since 2021, totaling +USD31.8bn.

Figure 3: Capital flows towards emerging markets, USDbn



Sources: LSEG Workspace, Allianz Research

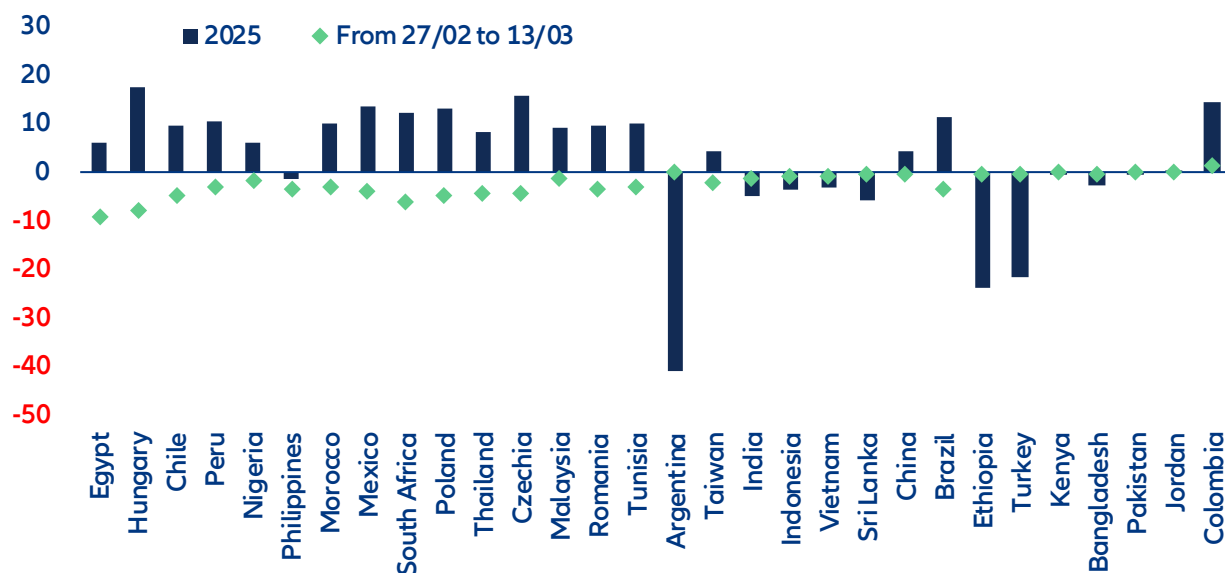
Looking to 2026, while the EM asset class is structurally stronger, selectivity will be an essential aspect of the path ahead. Direct benchmark exposure to the most vulnerable countries (Egypt, India, the Philippines, Thailand, Türkiye) remains limited, as they represent less than 3% of the MSCI Emerging Markets ex-China index. The most vulnerable European economies (Poland, Romania) would indeed feel the pinch of higher inflation but the risk of supply shortages would probably be offset by European mechanisms likely to be reinstated should the conflict last for longer.

Foreign exchange markets reacted quickly to the escalation in the Middle East conflict, with most emerging market currencies weakening over the week. Between 27 February and 13 March, several currencies recorded sharp declines as higher oil prices and a stronger US dollar triggered a broad risk-off move (Figure 4). The Egyptian pound saw the largest depreciation (-9.2%), reflecting its vulnerability as a large net energy importer with significant fiscal and external deficits. Central European currencies also weakened notably, with the Hungarian forint (-8%), Polish zloty (-4.9%) and Czech koruna (-4.5%) under pressure as the region's strong dependence on imported energy combined with the unwinding of investor positions. In Latin America, the Chilean peso (-4.9%) stood out among the underperformers given its negative energy balance, while in Asia the Philippine peso (-3.6%) and Thai baht (-4.6%) also weakened in line with the region's heavy reliance on Middle Eastern oil supplies. Part of the sell-off reflects the unwinding of earlier investor positioning: several currencies that had performed strongly earlier in the year were among the largest underperformers during the recent risk-off move.

As market conditions stabilize, currency movements are likely to more clearly reflect differences in countries' energy exposure. Higher oil prices tend to support currencies of energy exporters while weighing on importers, suggesting that the currencies of some Latin American exporters, such as the Brazilian real and Colombian peso, could stabilize once the initial risk-off adjustment fades. By contrast, currencies such as the Hungarian forint, Korean won, South African rand and Chilean peso appear to have already incorporated part of the energy shock and may remain sensitive to how the conflict and oil prices evolve.

Some currencies have remained relatively resilient despite their exposure to higher oil prices, notably the Indian rupee and Turkish lira, where active central bank management has helped limit volatility. However, the longer energy prices remain elevated, the harder it may become to maintain this stability. Looking ahead, the duration of the disruption in the Strait of Hormuz will remain the key factor determining further FX pressure: a prolonged disruption would keep energy prices elevated and sustain US dollar strength, while a faster resolution would likely allow part of the recent currency weakness to unwind.

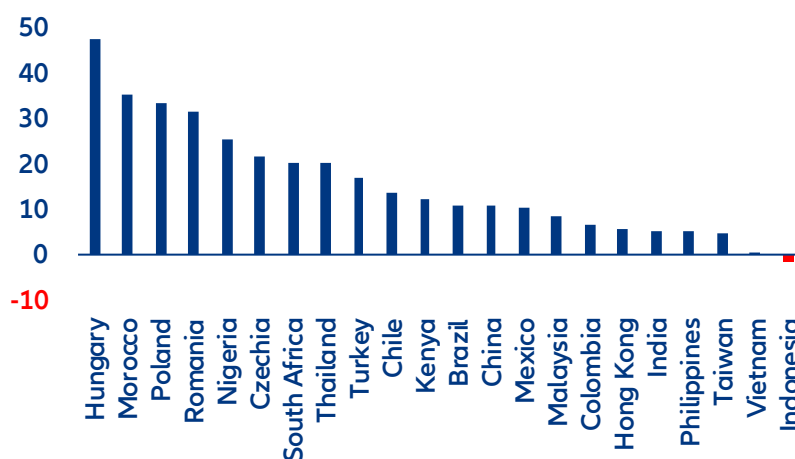
Figure 4: FX moves since the start of the Middle East conflict



Sources: LSEG Refinitiv, Allianz Research

Even with the ongoing shock, we continue to see EM fundamentals as strong, partially mitigating part of the war impact. FX reserves have remained elevated as many EMs used 2025 conditions to rebuild them, despite the challenges of US tariffs. India, South Korea, Taiwan and several Southeast Asian central banks recouped about USD132bn in FX reserves in late 2025 and early 2026, more than half of what they lost during earlier defensive currency interventions, aided by a weaker dollar and inflows. The Indian central bank has been particularly aggressive in rebuilding stockpiles to better defend the rupee on dips.

Figure 5: FX reserves have grown across most EMs over the last year (y/y growth)



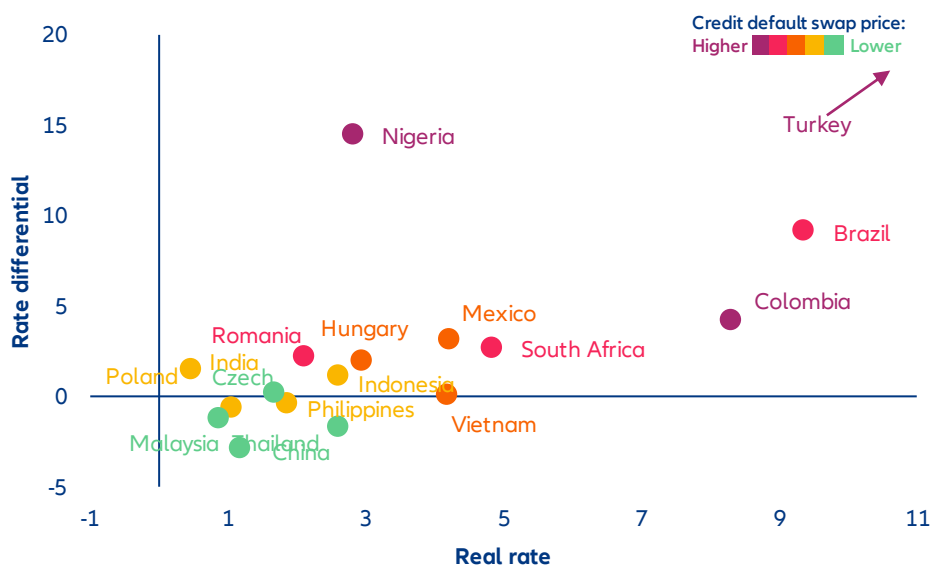
Note: International reserves including gold

Sources: LSEG, Allianz Research

In this context, the Middle East escalation arrives at a positive moment for rate differentials as the US benchmark Treasury saw a broad fall, defined by a structural repricing of the US fiscal risk premium during 2025. During 2025, real rates improved as inflation across EMs decelerated faster than nominal rates, allowing central banks to preserve a meaningful real rate buffer without undermining currency stability or triggering disruptive capital outflows. This parallel configuration revealed a broad improvement the EM universe while highlighting clear groupings within the universe. Türkiye, Brazil, Colombia, Nigeria, stand out with the widest nominal differentials to UST, though the investment case differs substantially across these markets. Türkiye, Brazil and Colombia also offer

elevated real rates, creating a rare alignment of internal and external value. South Africa, together with Mexico sit in an intermediate position, with an elevated differential and a high real rate, though less extreme than Brazil and Colombia. Meanwhile, China, Thailand and Malaysia offer small rate differentials to the US, suggesting these markets are priced primarily for domestic investors.

Figure 6: Real rate, rate differential and credit default swaps in selected EMs



Sources: LSEG Workspace, Allianz Research

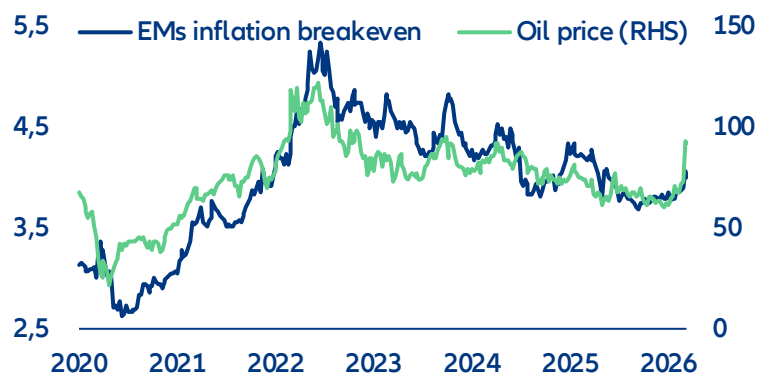
However, this new geopolitical shock renews stagflationary fears, with central banks on hold due to higher inflationary pressures. Inflation expectations have surged given the quick increase in prices during the one week of closure of the Strait of Hormuz – a dynamic already visible in US Treasury markets, where yields have risen sharply rather than fallen, as bond markets price the conflict primarily as an inflation shock rather than a growth one. This puts central banks in an acutely uncomfortable position: slowing growth would ordinarily call for rate cuts, but persistent energy-driven inflation prevents them from acting. The Fed, which had been on a gradual easing path, could now change path and keep on hold, or even hike through the rest of 2026. For emerging market central banks – many of which, like Egypt and Türkiye, are already navigating fragile disinflation paths – the constraint is even more binding, as currency depreciation pressures compound imported inflation, leaving little room to support growth without risking a renewed inflation spiral.

Emerging-market sovereign spreads have widened modestly, reflecting the tone of cautious sentiment. The move has been more pronounced across Africa, the Middle East and CEE Europe. The sharpest adjustments have occurred in the most directly exposed countries, such as Bahrain or Pakistan, where acute energy-import vulnerabilities have intensified market sensitivity. In contrast, the rest of the Gulf has remained relatively tight, supported by strong oil-related revenues that partially offset elevated geopolitical risks. This resilience should nonetheless be interpreted carefully. Historically, spread markets have tended to reprice geopolitical shocks with a delay, responding more forcefully once hard economic data begins to reveal the underlying impact. Should the Strait of Hormuz remain closed beyond roughly four weeks, and supply disruptions start feeding into macro indicators, a broader and more disorderly widening across EM credit, particularly among energy-import-dependent sovereigns, cannot be ruled out.

The critical question is whether local bond markets are beginning to price the inflation risk. Breakeven inflation (BEI) offers a real-time measure of market-implied inflation expectations. Since oil prices are an important driver of inflation compensation (Figure 7), a rise in oil should normally push EM breakevens higher. However, before the strikes, inflation protection across EM looked unusually cheap. For a representative basket of economies, the average 10-year breakeven stood at just 3.89%, while the historical sensitivity to a 10% rise in oil prices averaged

only +8bp in BEI – well below what our simulations suggest on actual inflation rate. In other words, inflation expectations were still responding to oil, but much less than in past stress episodes. This matters because the sensitivity of BEI to oil tends to rise when markets start to view the shock as more persistent and structural. If the conflict proves prolonged, inflation expectations across EM curves are therefore likely to adjust more forcefully.

Figure 7: EM 10Y inflation breakeven (excl. Türkiye) and oil price

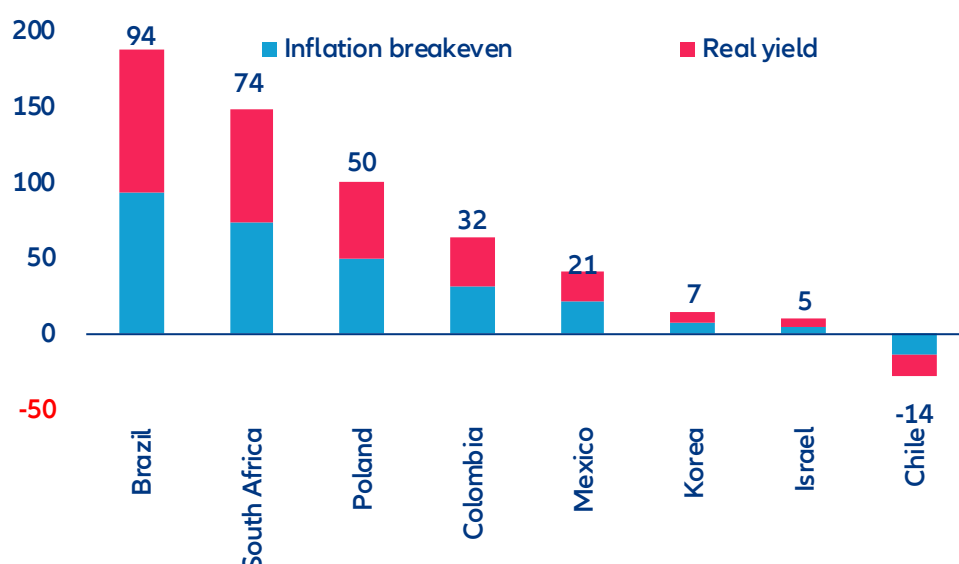


Sources: Bloomberg, LSEG Datastream, Allianz Research. Notes: Inflation breakeven is derived only for countries that have an active inflation-linked bond market. Countries considered are Brazil, South Africa, Poland, Mexico, South Korea, Türkiye, Chile, Israel and Colombia.

Has that adjustment already begun? Early evidence suggests that repricing is underway, but not uniformly. In the first week after the strikes (27 February to 9 March), South Africa recorded the largest breakeven widening, at +57bps, from 4.32% to 4.89%, consistent with its current-account vulnerability and energy import dependence. Poland's breakeven rose by +34bps and Mexico's by +28bps – meaningful moves in markets where pre-shock inflation expectations were running close to, or even below, central bank targets. However, the adjustment has not been universal. Colombia's breakeven fell by 45bps, as markets priced in the terms-of-trade gains of a net oil exporter, while Israel's rose only +10bps.

A look at nominal 10-year yield moves helps clarify the forces behind the repricing and the extent to which it reflects inflation versus broader risk aversion (Figure 8). Chile now stands out as the clearest case of inflation-led repricing: its +18bps rise in nominal yields was more than explained by a +33bps widening in breakevens, while real yields fell by 15bps, indicating that the move was entirely driven by higher inflation expectations. Turkey (+233bps nominal, including +181bps from breakevens) and Korea (+26bps, of which +20bps came from breakevens) also saw most of their repricing driven by inflation compensation. Mexico, which initially looked almost entirely inflation-driven, has since experienced a broader sell-off: nominal yields are now up +49bps, with +28bps attributable to breakevens and +21bps to real yields. This still points to an inflation-led move, but with a more visible risk-premium component than before. Brazil presents a much sharper contrast. Nominal yields rose by +88bps even as breakevens fell by 6bps, implying a +94bps increase in real yields and pointing clearly to higher credit and liquidity premia rather than inflation. South Africa has also moved in that direction. With nominal yields now up +96bps, breakeven widening has largely reversed to just +22bps, leaving +74bps accounted for by higher real yields, suggesting that the move is now dominated by risk aversion rather than the inflation repricing seen initially. Colombia (-13bps) remains the outlier, with nominal yields still rallying as markets continue to price terms-of-trade gains for a net oil exporter, while Israel (+14bps) has shifted from a modest rally to a mild sell-off. In CEE, Türkiye, Romania, and Hungary have recorded the sharpest sell-offs in local rates markets, with Poland not far behind. Türkiye's move (+233bps) – the most pronounced across all EM – reflects a confluence of acute oil import dependency, geographic proximity to the conflict, and a market that was already pricing fragile disinflation dynamics. Romania (+101bps) has overtaken Hungary (+94bps) as the second-largest mover in the region: both had benefitted from a strong rates rally going into the conflict, and the sell-off is in part a technical correction as investors take profit on stretched long positions, compounded by the region's energy vulnerability and broad CEE risk-off repricing. Poland (+83bps) and the Czech Republic (+59bps) round out a picture of broad-based CEE weakness.

Figure 8: EM 10Y local yield moves after the conflict: inflation breakeven vs real yield contribution, bps



Source: Bloomberg, LSEG Datastream, Allianz Research. Notes: Changes in yield from 27/02/2026 to 13/03/2026.

The outlook for EM capital flows in 2026 is now firmly scenario-dependent. In a short-lived conflict – contained within four to five weeks – EM inflows should remain broadly positive, with markets normalizing relatively quickly toward pre-Liberation Day conditions. Investors would nevertheless become more selective, differentiating more sharply between countries on the basis of energy exposure and inflation vulnerability rather than treating EMs as a homogeneous asset class. A prolonged conflict would alter that picture materially. Flows would rotate toward safer assets, while the most exposed economies – Egypt and Pakistan foremost among them – would face the sharpest outflow pressure as the combination of currency stress and imported inflation reshapes their risk profile. In this environment, the repricing is likely to take the form of a selective energy risk premium, differentiating sharply between exposed and insulated sovereign issuers rather than triggering a broad-based EM sell-off.

This scenario dependency comes against the backdrop of an exceptionally strong year for EM debt issuance. On the hard-currency side, sovereign issuance rebounded from roughly USD72bn in 2022 to around USD236bn in 2025 – the highest level on record – reflecting genuinely renewed access to international funding markets. Saudi Arabia and Türkiye were the primary drivers, with Türkiye’s issuance alone rising from USD12bn in 2022 to roughly USD31bn in 2025. Poland also contributed significantly, with issuance climbing to around USD30bn in 2024, while the UAE and Mexico provided additional support. Local-currency issuance expanded in parallel, led by Brazil, Poland and India, with the Czech Republic emerging as a particularly notable issuer at USD195bn – the largest absolute increase over the period – further supported by Thailand and Mexico. The scale of this recovery underscores how much is at stake: a prolonged conflict risks interrupting a multi-year rebuilding of EM market access at precisely the moment it had regained its strongest footing in years.

Slightly more than two weeks into the conflict, we observe modest underperformance among the more exposed sovereign issuers. While the Philippines continues to trade broadly in line with the wider market, Egypt – and in particular Türkiye and India – have experienced more pronounced spread widening. If the Ukraine conflict is taken as a reference point, spreads could widen by roughly one-third to one-half of pre-crisis levels. In practical terms, this would imply an estimated widening of around 80bps for Türkiye, 35bps for the Philippines, 180bps for Egypt and 35bps for India. It is worth noting, however, that Türkiye’s macro-financial position is materially stronger today than in early 2022, and that energy-related risk premia during the Ukraine episode ultimately proved short-lived.

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Warsh's double dilemma: when the Middle East rewrites the Fed's playbook

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In Summary

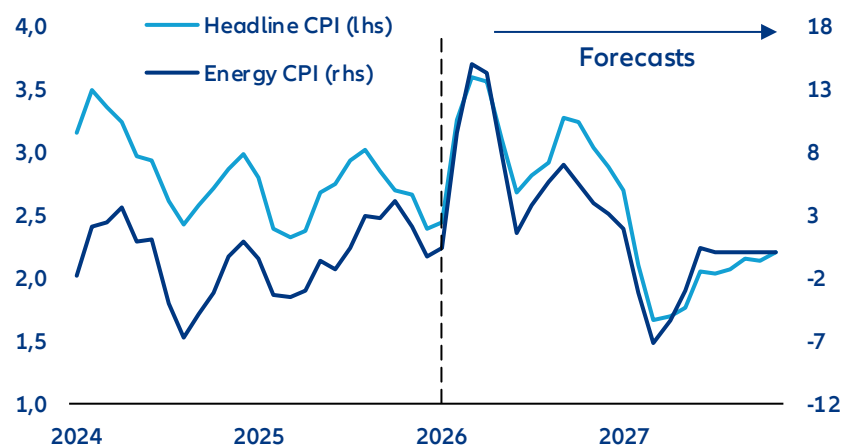
- **The energy price shock will delay the Fed's single rate cut in 2026.** Rising energy prices should push US inflation towards +3.6% y/y in April-May, up from +2.8% expected before the Middle East conflict, under the assumption that oil prices remain around 90 USD/bbl on average in Q2. Despite a still weak labor market, the Fed will have to keep rates on hold at least through the summer amid risks of de-anchoring inflation expectations. We continue to expect only one 25bps rate cut this year, but pushed out to September.
- **Fed chair nominee Kevin Warsh combines a dovish view on interest rates with a hawkish approach to the Fed's balance sheet, which could drain liquidity from a highly leveraged financial system. Increasing frictions in the US money market would have a global impact on financial markets mainly through the channels of FX and interest-rate volatility.** Warsh opposed additional rounds of quantitative easing (QE) in the 2010s, warning that prolonged asset purchases fueled financial excess and risked inflation. With hindsight, his concerns about loose financial conditions and asset valuations appear partly validated. But reducing the Fed balance sheet drastically or even returning to a scarce-reserves regime would ignore the intermediation mechanisms on which the US funding market has been founded since the GFC. The critical point is not the amount of reserves but the dealers' balance sheets available to warehouse Treasuries and intermediate repo flows. Dealers face regulatory limits that are capping the size of their balance sheets. They cannot do both: absorb heavy Treasury issuance and provide smooth funding for the private sector. It would drive up prices for hedging instruments (swap spreads and cross-currency basis) but in a worst-case scenario such mismatch could trigger a deleveraging spiral affecting valuations of risky assets and increasing default risk for highly leveraged entities (e.g. hedge funds). The Treasury and the Fed have options to mitigate this, but it would require a massive easing of leverage regulation and/or a substantial decrease in Treasury issuance, the first being more likely than the latter.
- **We expect the Fed to move cautiously towards a modestly smaller balance sheet from Q4 2026 at the earliest, keeping Treasury holdings steady while continuing the run-down of the USD2trn MBS holdings. This would limit money-market volatility but still risk higher mortgage rates. Wars typically involve monetizing deficits, i.e. restarting QE and departing from Warsh's pledges for rapid quantitative tightening (QT).** The Fed will likely adopt a hybrid model: a leaner balance sheet combined with standing repo facilities as permanent liquidity backstops, preserving rate control while mitigating systemic funding risks. Regulatory moves on bank liquidity regulations could also support the transition toward lower bank's reserves. We would expect banks' reserves balances to drop gently from 9.5% of GDP currently to reach the level of the 2019 money-market meltdown (below 7% GDP) only by Q4 2028, though uncertainties are large and episodes of money market volatility will likely become more frequent. The MBS reduction would however blunt the administration's attempts to lower mortgage rates. The conflict in the Middle East could also drastically change the course of monetary policy in the US. In a downside scenario, quantitative easing may be needed to help finance the effort of the war.

The energy price shock will delay the Fed's single rate cut in 2026

The Fed is likely to keep interest rates on hold at its next meeting on 18 March amid upward pressure on inflation, which we expect to peak at +3.6% by April/May. The conflict in the Middle East poses a difficult dilemma for the Fed, with inflation set to pick up amid higher energy prices while the labor market still looks fragile. Non-farm payrolls declined by -92K in February, and though part of the weakness was due to strikes in the healthcare sector, the private sector excluding healthcare continued to shed jobs. But with inflation now stuck above the 2% target for five years, the Fed clearly does not have the luxury to focus on labor market risks. Inflation expectations are especially sensitive to energy (and food) prices and could risk de-anchoring if the Fed is perceived as too complacent with inflation risks. We expect the Strait of Hormuz to open again by the end of April. In the meantime, partial re-retouring, additional production (Russia, US) and tapping strategic reserves should cover over 50% of the gap in oil and gas, capping oil prices at 90 USD/bbl on average in Q2 2026. We estimate that US energy CPI will rise from +0.4% year-on-year in February to peak at around +15% in April. Headline inflation would rise from +2.4% to a peak of +3.6% in April-May (Figure 1).

We continue to expect one 25bps rate cut this year, but pushed out to September. We have long argued that the Fed will be limited in its ability to cut interest rates in 2026, and we were expecting only rate cut in June prior to the conflict in the Middle East – a much more hawkish view than what is currently priced in financial markets. We now expect the Fed to wait until September, when inflation should start to decline though still remain above target. The labor market is likely to remain weak, or even weaker further, through the summer as higher inflation eats into households' incomes and some corporates' profit margins. If the Fed stays on hold in the near term, the risks of second-round effects on prices, which would compound the initial energy price shock, may be smaller than in 2022.

Figure 1: US CPI inflation forecast (left)



Sources: LSEG Datastream, Allianz Research

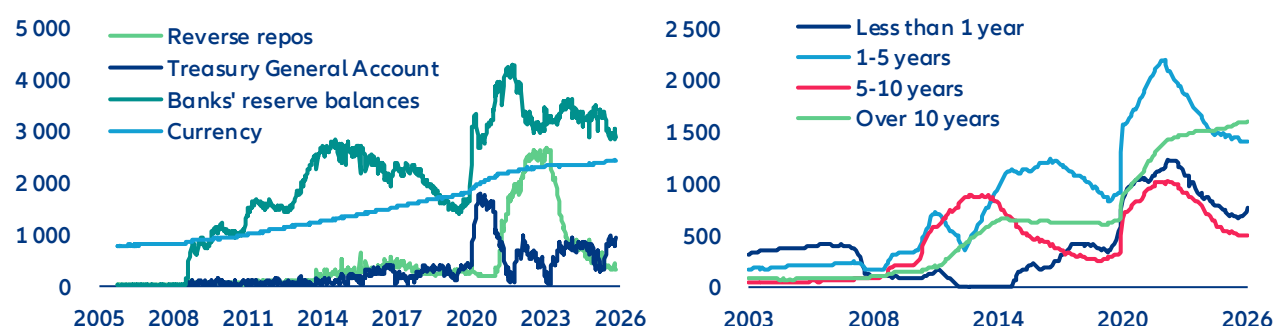
Kevin Warsh's push for a lower Fed's balance sheet could gain traction...

Kevin Warsh, President Trump's nominee for the next Fed Chair, has assuaged financial markets, thanks to his strong credentials and perceived prudent approach on monetary policy. Warsh, who is expected to take over in May, served on the Fed Board from 2006 to 2011 during the height of the Global Financial Crisis (GFC). At the time, he supported an aggressive monetary response to stabilize markets. However, once the recovery gained traction, he opposed the second and third rounds of quantitative easing (QE) and stepped down in 2011, reportedly amid policy disagreements over continued asset purchases. Importantly, his concerns about QE were centered on the blurring of monetary and fiscal policy. He has warned about financial stability risks, asset bubbles and inflation pressures stemming from an expanded balance sheet. With the benefit of hindsight, many of Warsh's views proved to be well founded: Financial conditions have been very loose since the aftermath of the GFC, equity markets have been buoyant, financial risks have built up and inflation picked up – though at a much later stage. Other critics of the Fed's balance sheet policy include Treasury Secretary Bessent, whose line of attack is on the net operating losses that the Fed makes by paying interest on banks' reserves – although Bessent is not pushing for a sharp shrinkage of the Fed's balance sheet. More recently, Warsh argued in op-ed in 2025 for a significant reduction in the Fed's holdings.

However, Warsh's hawkish views on the balance sheet sit alongside more dovish views on policy rates. Warsh argues that money is too tight for small corporates and calls for lower policy rates. He believes strong GDP growth is being driven by a positive supply shock – notably AI – which should generate disinflationary forces, which will in turn be reinforced by the Administration's deregulatory agenda. Besides, in 2025, Warsh wrote that the Fed "should abandon the dogma that inflation is caused when the economy grows too much, and workers get paid too much," signaling limited concern about demand-driven inflation pressures. He also suggested that balance sheet "largesse can be redeployed in the form of lower interest rates to support households and small and medium-size businesses." While the operational implications remain unclear, this could imply a preference for shifting from asset purchases toward more direct credit-support mechanisms.

Warsh's criticism of the Fed's bloated balance sheet could find support among FOMC members. The Fed has already shrunk its balance sheet significantly from its 2022 high of 35% of GDP to less than 20% through a reduction of asset holdings (Treasuries and MBS). All Treasuries maturities were reduced except long-term ones (Figure 2, left). The pre-GFC average of the Fed's balance were close to 5% of GDP, when the Fed operated under a "scarce" reserve system rather than an "excess" reserves one: banks' reserve balances were essentially zero prior the GFC (Figure 1, right). In end-2025, following tensions in the repo market, the Fed decided to launch Reserve Management Purchases (RMPs), i.e. Treasury purchases at short maturities (T-bills) to increase reserve balances again. The T-bills purchases are partly funded by the reinvestments of MBS and longer-dated Treasuries paydowns. However, there was some disagreement among FOMC members around the extent to which the Fed should increase its purchases, with the minutes noting "a couple of participants added that effective standing repo operations may allow for a smaller balance sheet".

Figure 2: Fed's balance sheet main liabilities items (left) ; Fed's Treasury holdings by maturity (right) – in USD bn



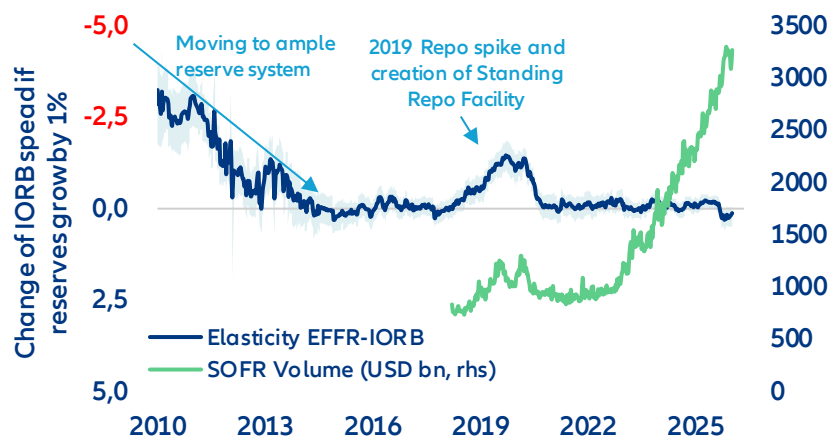
Sources: LSEG Datastream, Allianz Research

...but it would be a risky strategy for little return

The transition towards a reduced balance sheet would entail risks for financial stability as the monetary policy system has shifted from reserve fine-tuning to private-sector intermediation. The current ample reserve balance sheet policy is the result of the structural breaks of the GFC. Before 2007, the Fed ran a scarce-reserves corridor system in a funding market structured by large scale unsecured lending, small dealer balance sheets, loose leverage constraints (pre-Basel III), off balance-sheet repo and a limited role of non-banks (money market funds, hedge funds etc.) in cash supply. After the liquidity collapse during the GFC, the Fed expanded its balance sheet by large-scale asset purchases – creating such excess reserves that the corridor system could no longer be handled with fine-tuned open-market operations – and endorsed the role of market maker of last resort. The US funding market structure shifted from one where banks arbitrated small reserve shortages via interbank lending to one where administered rates and central-bank facilities anchor pricing and balance-sheet-constrained dealers intermediate between non-banks and the Fed. Consequently, the critical point of the system shifted away from the amount of reserves to the amount of dealer balance sheet available to warehouse Treasuries and intermediate repo flows. If balance-sheet capacity is constrained, market liquidity can be scarce despite ample reserves. Going back to a pre-GFC scarce reserve system would not be "doing what worked for decades" but simply ignoring the intermediation nature of the USD funding market. The current ample-reserves floor system with Interest on Reserve Balance (IORB) and standing facilities (Overnight Reverse Repo ON RRP, Standing repo facility SRF) has been a crucial pillar of central banks'

volatility compression in the post-GFC era. It has immunized the monetary policy system against shifts in the reserve demand. Changes in reserves today only have a minimal impact on movements in money-market spreads. Under the previous “scarce reserves” regime, a 1% change in reserves could trigger a response of up to 3–4 bps in the money-market spreads (Figure 3). A return to scarce reserves with daily open market operations would create volatility and money-market rate dislocations as rather than simple management of reserves, intermediation capacity is the key point of friction.

Figure 3: Reserve demand elasticity: EFFR* - IORB spread reaction to 1% change in reserves



*EFFR = Effective Fed Funds Rate

Reserve Demand Elasticity is the responsiveness of money-market spreads (Effective Fed Funds-IORB, SOFR-IORB) to changes in reserve supply, i.e. the slope of the reserve demand curve. When frictions are low, this slope is near zero and spreads hardly move. When transmission is impaired the curve steepens and small reserve shocks lead to large changes in money market spreads. In 2009, a 1% expansion of reserves led to 3-4 bps contraction of money market spreads, versus only 0.15bp today. SOFR-IORB elasticity is more volatile as it captures the transmission between unsecured and collateralized money market rates.

Sources: LSEG Datastream, Allianz Research

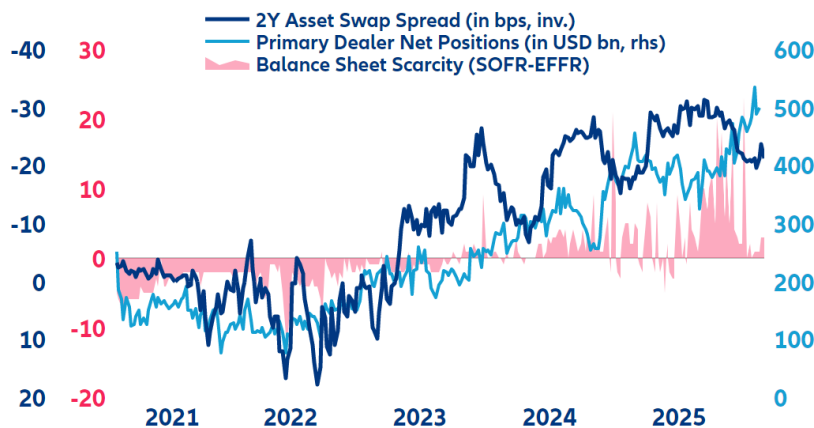
A removal of the Interest on Reserve Balance (IORB) would have more negative effects than positive ones – making it unlikely. Alternatively to the Fed balance sheet discussion, there is an ongoing debate on removing the Interest On Reserve Balances. (IORB). The IORB is intended to steer banks’ behavior by guaranteeing an administered return on their reserves. The costs and benefits of operating this system are politically challenged. Critics see the IORB as a subsidy for the US banking sector. The Fed sees the IORB as the price to sustain bank credit flow. Eliminating the IORB “would be extraordinarily disruptive” as it would impair the Fed’s control of short-term rates, reduce the volume of bank-intermediated transactions, and thereby diminish private-sector liquidity. In addition it would generate massive money market volatility and downward pressure on short-term rates as banks would substitute reserves with interest-bearing alternatives such as newly issued Treasuries or the Fed’s reverse repo facility (RRP, which is the lower bound of the policy rate corridor). Replacing reserves with Treasuries would increase banks’ liquidity risk and raise Basel III capital charges, boosting banks’ demand for central bank liquidity and therefore counteracting efforts to shrink the Fed’s balance sheet. Shifting to the RRP would also compress banks’ net interest margins, reduce their lending capacity and restraining credit provision to the economy. Given these adverse consequences, the costs of a IORB removal outweigh fiscal benefits.

The Fed is already operating in a framework of scarcity

The Fed is facing a funding paradox where an ample balance sheet coincides with scarce intermediation capacity. While the discussion is focused on the scarcity of reserves, we find that the Fed is already operating in a framework of scarcity but from the intermediation side. Intermediation in funding markets is the willingness and ability of balance-sheet-constrained dealers and banks (subject to regulatory leverage and liquidity limits) to act as a broker between cash-rich non-banks (money market funds, pension funds etc.) and collateral-rich issuers (US Treasury, corporates etc.). During the QE era, balance-sheet constraints were rarely the binding margin. With QT,

excess liquidity declined and dealers' balance-sheet capacity decreased as did their debt-absorption ability. This situation prevails today. With Treasury (notably T-Bills) issuance taking over an increasing part of the scarce dealers' balance sheet, funding becomes more expensive for other investors, especially those running leveraged risky strategies (i.e. basis trade, asset swap spread). In Figure 4, we can see the effect on balance sheet scarcity: the more Treasuries issuance increases, the more dealers must increase their holdings on their books. Their cost of carry is reflected in the risk premium, which is the asset swap spread, and in the increased demand for cash reflected by the SOFR-Fed Funds spread (SOFR can be understood as the price for balance-sheet capacity) as well as volatility in short term rates.

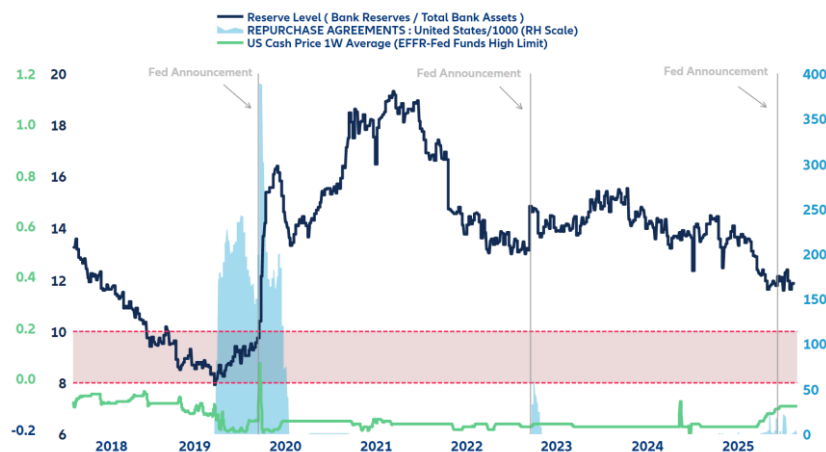
Figure 4: Balance-sheet scarcity illustrated



Sources: LSEG Datastream, Allianz Research

The recent decision of the Fed to resume buying short-term US Treasuries (T-Bills) must be seen as a reaction to this scarcity, acting as cash support to absorb heavy US Treasury issuance. If intermediation scarcity prevails we will see further Fed interventions mostly through the SRF (Temporary Open Market Operations) and further asset purchases. The probability of Fed interventions is linked to the ratio of bank reserves on bank total assets. Above 10% reserves are "abundant", below 10% reserves are "ample" while 8% marks reserves as "scarce". As shown in Figure 5, when the market reaches the level of absorption stress the Fed generally intervenes and restores market liquidity. These interventions are often accompanied by announcements of new facilities (SRF in September 2019) or programs (Bank Term Funding Program following Silicon Valley Bank Crisis, March 2023).

Figure 5: The Fed intervention framework - cash price, reserve levels and standing Repo facility use



Sources: LSEG Datastream, Allianz Research

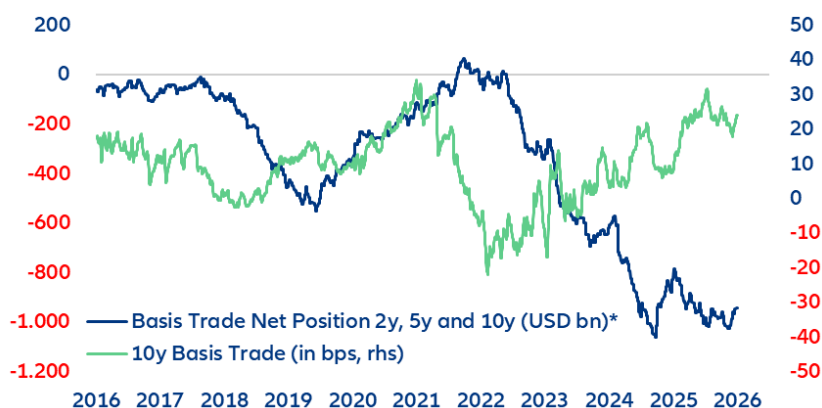
The Fed is moving from being a structural provider of liquidity to a relief valve while the balance sheet is playing a limited role. The problem is that non-banks (esp. leveraged hedge funds) are not "plumbed" to the Fed's valves.

Elevated and volatile repo rates with tighter haircuts can force them to unwind risky leveraged strategies (such as basis trades) and sell Treasuries into less liquid market, amplifying price moves and volatility. Such a destabilizing deleveraging spiral was seen in March 2020, for instance. The Treasury and the Fed have option to mitigate these risks. A substantial easing of leverage regulation (i.e. SLR, ISLR) could alleviate some balance-sheet constraints and free up cash that could ease the liquidity pressure. A substantial slowdown in Treasury issuance could also free balance-sheet capacity, but remains unlikely. Both would anyway only be temporary.

The Fed could lose its dampening grip on global volatility

US money markets are the primary providers of liquidity and leverage across the global financial system. When US money-market spreads widen and volatility rises due to pressure on SOFR, the FX swap market and interest-rate swaps become the main transmission channels. For FX swaps this occurs because the same intermediaries use their constrained balance sheets to price FX derivatives. Therefore intermediaries can pass on the cost of scarce balance sheets through higher risk premia onto the end users, resulting in higher FX volatility and widening the cross-currency basis, appreciating the USD, which tightens global financial conditions. The transmission channel through interest-rate swaps operates via Treasury issuance dynamics. Swap spreads reflect liquidity at specific maturities as well as the banking system's absorption capacity. If newly issued debt is not enough subscribed by the private sector, primary dealers (banks) must by law keep it on their books, affecting their funding capacity of the private sector. Negative swap spreads are a sign that issuance absorption is tight. This reduces the demand for duration, increases bid-ask spreads, tightens trading volumes and steepens the curve. This effect is reinforced by huge positions of hedge funds in bond basis trades (long cash bond, short future) funded in US money markets. Official numbers from the CFTC (Commodity Futures Trading Commission) indicate a total volume of USD1,300bn with a USD1,000bn net short position in the US basis trade (Figure 6).

Figure 6: Hedge funds have a minimum net short position of USD1000bn in US Treasury futures

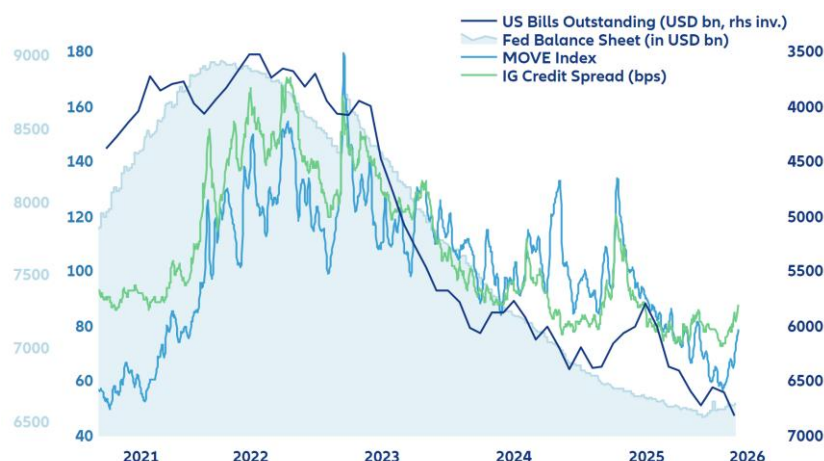


*net open interest in USD for leveraged funds as reported by the CFTC (Commodity Futures Trading Commission)

Sources: LSEG Datastream, Allianz Research

Scarce money market liquidity therefore creates a risk of fixed income market selloff and increases the risk of a massive deleveraging spiral. The US Treasury market is now more exposed to this risk as hedge funds have become the marginal buyer of US Treasuries since the of the US curve (on a FX hedged basis) has become relatively unattractive for foreigners. But hedge funds are not buy-and-hold investors; they use these US Treasuries as collateral to borrow cash in the repo market to fund leveraged positions such as yield curve arbitrage, swap spreads, credit spreads, securitized products on bonds, crypto or stock indices. This demand from leveraged investors compresses implied volatility on many asset classes and is a reason for the unusually low global volatility. But this mechanism only works as long as there is subdued volatility on money-market rates. This is why any change in the monetary policy system by the Fed would be very risky (Figure 7).

Figure 7: Volatility compression is linked to monetary and fiscal policy



Sources: LSEG Datastream, Allianz Research

How would a global volatility shock unfold?

The transmission of rising money-market rates volatility runs via higher risk premia that would hurt leverage, affect risky-asset valuations and increase default risk within the banking and non-bank system. It would unfold the following way: First, a margin call due to rates volatility would trigger emergency refunding demand and so a selloff in leveraged assets. Fringe assets would be the first in line to correct (leveraged crypto, highly leveraged ETFs). Second, default risk among leveraged investors (hedge funds) would rise. Since hedge funds usually fund themselves on the sponsored repo market¹, the sponsoring banks would finally have to step in and bail out the clearing house if hedge funds fail. This procyclicality is the result of the “Active Treasury Issuance” (ATI) strategy. Its objective is to massively issue T-bills to release excess liquidity created by QE and parked into the RRP (reverse repo program) to counter restrictive effects from Quantitative Tightening (QT). But this aggressive supply of T-Bills also increased the potential for leveraged trades for non-banks (hedge funds). ATI therefore contributed to fuel asset prices and compresses asset volatility. So far we do not see stress on sponsored repo, but outstanding volumes indicate a slight deleveraging trend since the beginning of the year. The deleverage risk from the non-bank sector is reinforced by additional layers of leverage: collateral transformation and collateral re-use. Collateral transformation refers to the practice where counterparties swap lower-quality assets, such as investment-grade corporate bonds, for high-quality assets like US Treasuries in uncleared bilateral markets. These transactions occur off-balance sheet, their outstanding amount is hard to quantify. Collateral re-use (rehypothecation) occurs when dealers re-use received collateral forming collateral chains in which the same asset runs through multiple transactions. This is a widely used practice as around 85% of collateral received by the biggest primary dealers is said to be re-used. In a massive sell-off scenario, collateral re-use might trigger a chain reaction across markets that the Fed liquidity back stop could only partially contain as it is outside its sphere of influence in the non-bank and/or uncleared segment of USD money markets (Eurodollar system).

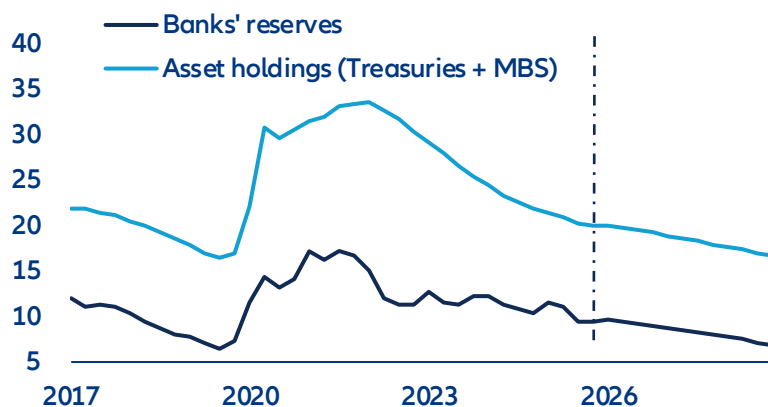
The Fed will reduce its balance sheet in slow-motion

Given these market fragilities, we expect the Fed to embark cautiously on a balance-sheet reduction path, from Q4 2026 at the earliest. Treasury holdings could be maintained at flat levels, while the Fed could continue the run-down of the USD2trn MBS holdings. The Fed would then instead be relying more heavily on standing repo facilities as permanent liquidity backstops, preserving rate control while mitigating systemic funding risks while reserves decline. Regulatory moves on bank liquidity regulations, such as a lowering of liquidity requirements for banks, which include banks’ reserves, could support the transition towards a smaller balance sheet and lower reserves. This would maintain financial market stability but risk higher mortgage rates. We would expect it would

¹ Sponsored repo market refers to cleared repo transactions in which a dealer (bank) sponsors non-dealer clients (such as hedge funds or money market funds) into the Fixed Income Clearing Corporation’s central clearing platform, allowing those clients indirect access to centrally cleared repo while the dealer guarantees their obligations.

take a bit of time for Warsh to convince a majority of the FOMC to start reducing the Fed's balance sheet. Most likely, a compromise could be found on flattening total Treasuries holdings, rather than shrinking them, but to let the MBS run-down continue at the current pace of around -USD17bn per month. In this baseline scenario, we would expect the Fed to start shrinking its balance sheet in Q4 2026. Banks' reserves would drop from 9.5% GDP currently to less than 7% in Q4-2028 – a level close to the 2019 money-market meltdown. Put otherwise, under prudent balance-sheet reduction, it would take a bit of time before the Fed potentially faces money-market volatility on the back of scarcer reserves. However, forecasting is fraught with large uncertainties. In particular, should nominal GDP grow faster than we expect, we could see a faster reduction of reserves as a share of GDP.

Figure 8: Banks' reserves at the Fed & Fed's asset holdings (Treasuries + MBS), % GDP



Sources: LSEG Datastream, Allianz Research

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